17 April 2026

WESTPAC NOWCAST Q1 2026: SECOND ESTIMATE

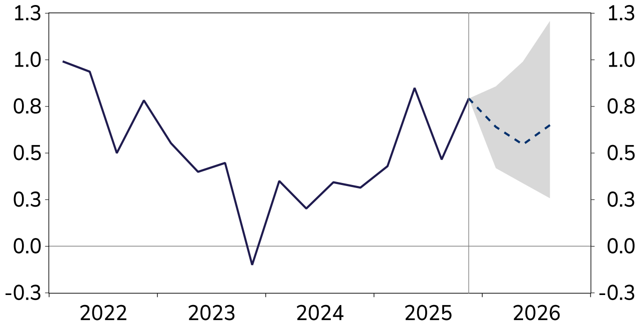
The cyclical upswing is maturing

Key points

- Consistent with our first estimate, Westpac Now points to GDP growth of around 0.6%qtr in Q1 2026 (range: 0.55–0.75%qtr), lifting year ended growth to 2.8%yr.
- Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending an upswing that began in May 2025 even before the recent tightening in monetary policy could take effect.
- Recent sharp falls in consumer and business confidence were largely 'looked through'; our framework would take more signal from a sustained drop.
- While growth appear to have remained resilient in Q1, a prolonged Middle East conflict increases the risk that weak confidence spills over into a broader set of indicators (many of which have already softened), exacerbating supply chain dislocations and lower real incomes.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

- Our framework suggests growth will ease to around 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026, but these estimates by design do not allow for the wider effect of the conflict and differ from our actual GDP forecasts.
- Westpac Now updates are released monthly, with details in Appendix A.

The Upswing Is Maturing, Even Before Rate Hikes Bite

Pat Bustamante
Senior Economist

In November 2025, we introduced Westpac-Now, a real time measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of growth for the March quarter 2026, using domestic and international data released up to and including the March Labour Force Survey (released 16 April 2026). Future updates will be published monthly (see Appendix A for the release schedule).

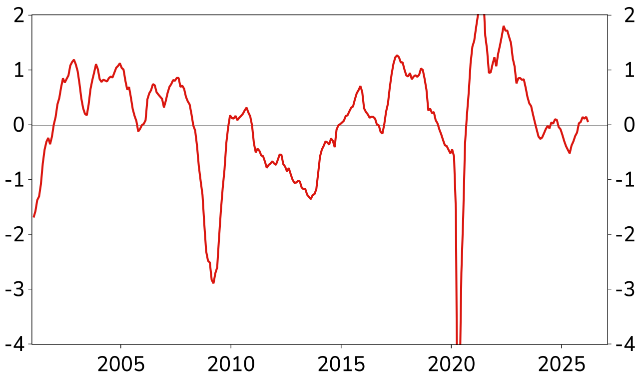
Monthly activity index declines over March

Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending a steady upswing that began in May 2025 even before the recent tightening in monetary policy could take effect. The monthly activity index is now sitting around the levels recorded in September 2025.

Importantly, there is greater than usual uncertainty around the monthly activity estimate amid heightened inflationary pressures. Faster price growth can cause nominal indicators, such as consumer spending, to rise strongly even though 'real', inflation adjusted spending may be soft. The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps manage some of this uncertainty but it remains higher than usual given above average inflationary pressures.

Westpac Monthly Activity Index

Index. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

Confidence: More noise than signal for now

At this stage, our framework largely looks through the recent sharp falls in consumer and business confidence. Historically, these measures can be volatile, and other indicators have not yet moved in the same direction. In that sense, the decline in confidence is inconsistent with broader domestic economic conditions.

This interpretation is intuitive: the shock triggering the confidence response appears exogenous, or linked to the conflict in the Middle East, rather than arising from domestic economic fundamentals. As such, the declines are currently treated as large idiosyncratic shocks.

That assessment would change if the fall in confidence were sustained or if other high frequency indicators, such as banking transaction data, began to corroborate the signal. In that scenario, the model would revise its treatment and place greater weight on the information coming from confidence measures.

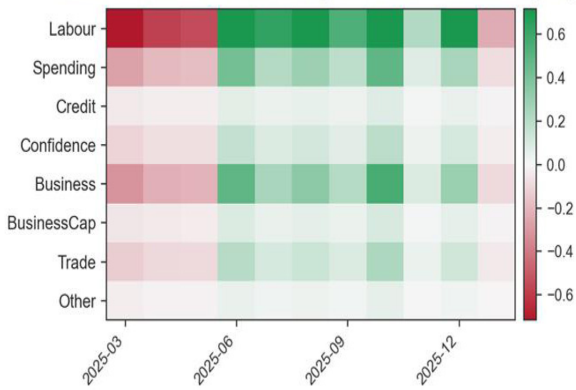
But there are risks with key indicators shifting to neutral

While growth remained resilient in Q1, the longer the Middle East conflict persists, the greater the risk that the weakness evident in confidence starts to show up in a broader set of indicators, such as investment and consumer spending.

Our indicator heatmap decomposes changes in the monthly activity index into group level contributions, allowing us to assess which components drove the recent moderation. For ease of interpretation, indicators are grouped into broad categories. For example, the labour market category includes both official ABS Labour Force Survey outcomes and more timely survey based measures of labour demand and job advertisements.

The heatmap shows that labour market conditions, consumer spending and credit growth lost momentum and shifted to neutral in March, after ending 2025 strongly.

The Common Activity Factor Heatmap by Groups



Westpac Now: Growth moderating even before the recent tightening in monetary policy take effects

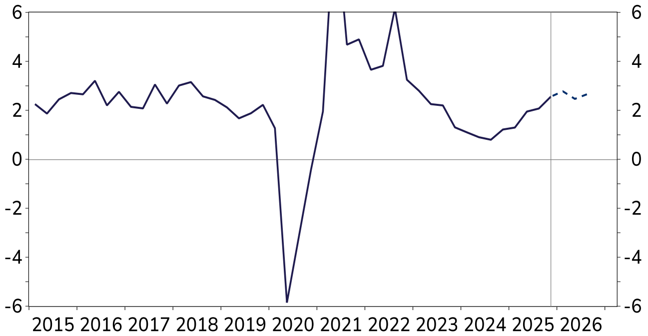
Recall that the Westpac-Now estimate is a more refined indicator that combines our monthly activity indicator using advanced econometric techniques to produce point estimates of GDP growth. As previously noted, the fit is not expected to be exact, as measured GDP includes components that are not well captured by other activity measures, such as imputed rents for owner occupiers, public and business inventories, and the depreciation of buildings and equipment. To bridge monthly and quarterly data, we employ a MIDAS framework, which allows us to combine mixed frequency data and incorporate partial information for the current quarter when producing GDP forecasts.

Based on our current forecast equations, the Westpac-Now Q1 2026 second estimate points to GDP growth of 0.6%qtr (range: 0.55–0.75% qtr), lifting year ended growth to 2.8% yr.

Projections further out, based on the indicator's internal dynamics, suggest growth will ease to 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026. However, these projections should be treated as tentative, with heightened uncertainty given the reliance on projected inputs rather than realised data. The potential impact of the Midde East conflict implies that these forward projections are even more uncertain than usual.

Westpac-Now Estimates and Projections*

Year-ended % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

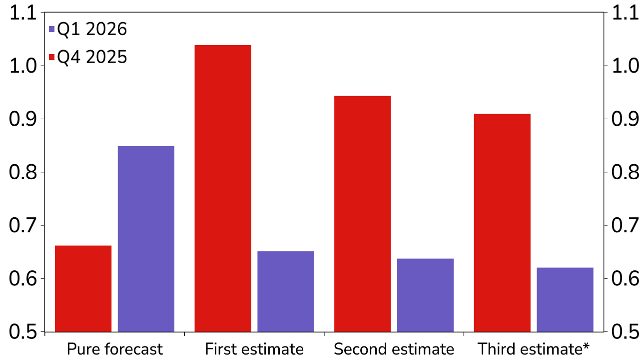
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

March quarter data signal a moderation in growth

Data released over the March quarter point to growth moderating from the previous quarter. Once data released through the quarter are incorporated, our nowcast estimates Q1 growth at 0.6%qtr. This contrasts with the 0.8%qtr 'pure forecast' estimate that we obtain using only data available up to and including December. The pattern of softer estimates once actual data for the quarter begin to be included in the nowcast also contrasts with Q4 in that the nowcast for that quarter remained higher than the 'pure forecast' estimate as more data were included in successive estimates.

Evolution of Westpac-Now

Within quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

*Preliminary third estimate, to be updated when the full suite of monthly March data becomes available

Bottom line

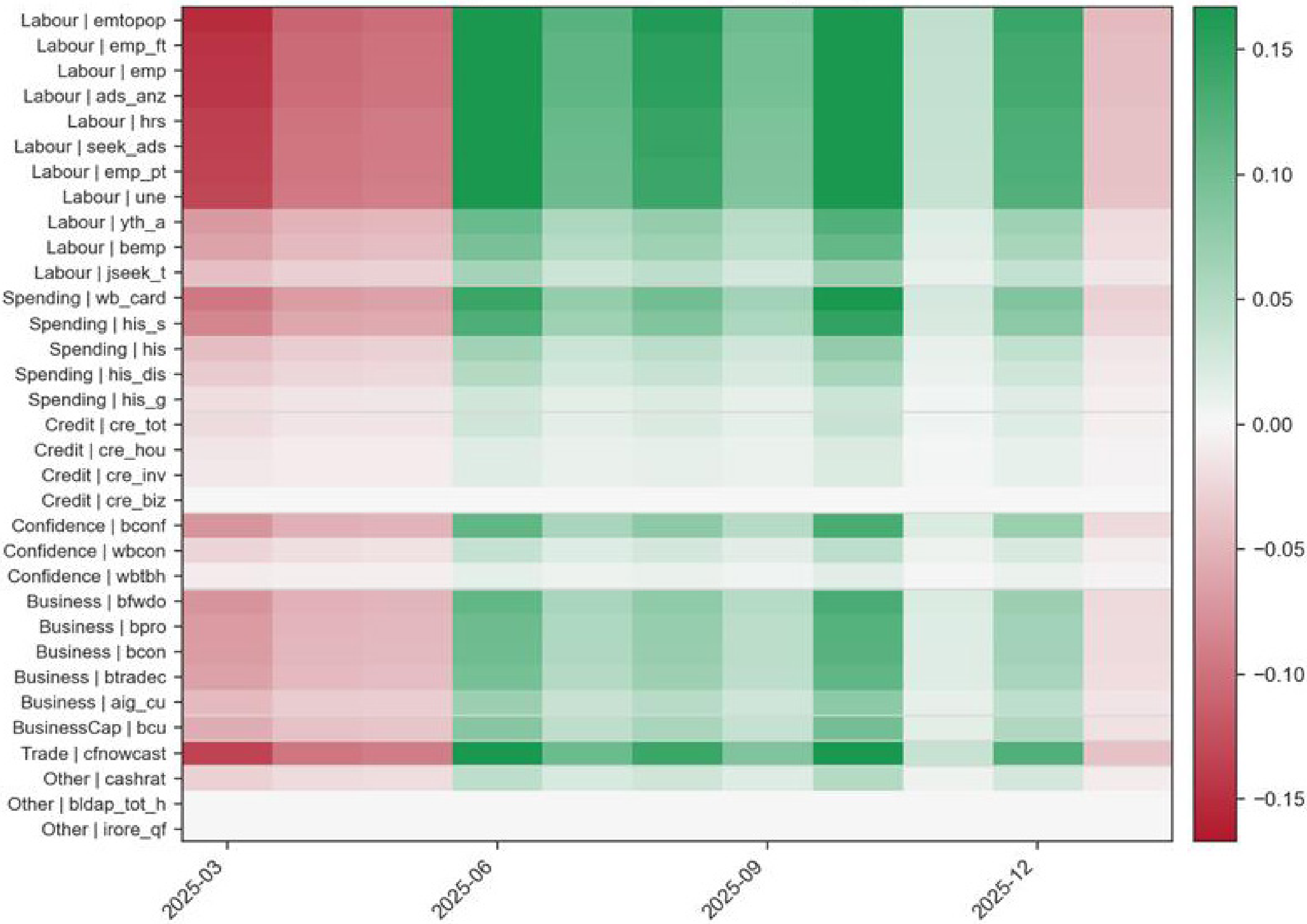
Westpac Now points to moderating growth, with GDP tracking at around 0.6%qtr in Q1 2026. While recent sharp declines in confidence are currently being 'looked through', momentum has softened across key indicators, including labour market conditions, consumer spending and credit growth, even before the RBA's rate hikes took effect on the economy. Growth remains resilient for now, but a prolonged Middle East conflict raises the risk that weak confidence and supply chain disruptions reinforce each other, posing a more material downside risk over coming quarters.

Appendix A: Westpac Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
22 May 2026	April 2026	Q1 2026 – final estimate	Near complete read on Q1 activity
19 June 2026	May 2026	Q2 2026 – first estimate	Initial assessment of Q2 momentum
17 July 2026	June 2026	Q2 2026 – second estimate	Refined Q2 signal as activity data accumulate
21 August 2026	July 2026	Q2 2026 – final estimate	Near complete read on Q2 activity
18 September 2026	August 2026	Q3 2026 – first estimate	Initial assessment of Q3 momentum
16 October 2026	September 2026	Q3 2026 – second estimate	Refined Q3 signal as activity data accumulate
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: ceasefire optimism to be tested

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Mantas Vanagas

10:47 April 10 2026

Share

Key insights from the week that was.

Ahead of the worst of the current conflict, the ABS' household spending indicator gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the cost shock already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, in the fulness of time, pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, the RBNZ maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the Atlanta Fed's GDPNow nowcast. This is before the sentiment and cost of living shock emanating from the Middle East is felt.

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the latest meeting minutes indicate "a vast majority of participants" see "risks to the employment side of the mandate… [as] skewed to the downside", the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#cliffnotes

Cliff Notes: conflict in the Middle East to cast a long shadow

April 17 2026 • 5 mins

By Elliot Clarke & Ryan Wells

#cliffnotes

Cliff Notes: mixed messages

April 02 2026 • 5 mins

By Elliot Clarke

#cliffnotes

Cliff Notes: a fork in the road

March 27 2026 • 5 mins

By Elliot Clarke & Ryan Wells

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Draw a line on just drawing a line

#australia #luciellis #fx #interestrates #rba

By Luci Ellis
Chief Economist Westpac Group, Westpac

11:05 April 17 2026

Share

Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.

- You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible.

Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.

- There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.
- The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its previous full *World Economic Outlook* report in October, it did this week. Similarly, we have published several scenario iterations over the past six weeks and will provide an update later today in our *Market Outlook* report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the 'severe' scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from "this particular bad thing happened". But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our April *Market Outlook* goes to publication later today, it is helpful to recall last April's edition. The 'Liberation Day' tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of 'flood the zone' headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again surprised on the upside relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

Related articles

#australia

Australia and NZ Weekly 20 April 2026

April 20 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

#australia

Australia and NZ Weekly 20 April 2026

April 17 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

#australia

Australia and NZ Weekly 13 April 2026

April 13 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: mixed messages

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke
Head of International Economics, Westpac

09:28 April 02 2026

Share

Key insights from the week that was.

At the turn of the week, Chief Economist Luci Ellis and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20%

of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the March Monetary Policy Board meeting minutes, the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, the Government's financial position is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. Cotality home values increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. Dwelling approvals remained volatile in February, a 29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mth. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#cliffnotes

Cliff Notes: conflict in the Middle East to cast a long shadow

April 17 2026 • 5 mins

By Elliot Clarke & Ryan Wells

#cliffnotes

Cliff Notes: ceasefire optimism to be tested

April 10 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Mantas Vanagas

#cliffnotes

Cliff Notes: a fork in the road

March 27 2026 • 5 mins

By Elliot Clarke & Ryan Wells

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Still the lucky country: Conflict, Gold and Inflation to Lift the Budget

#federalbudget #australia #aud #inflation #fiscalpolicy #government

By Pat Bustamante
Senior Economist, Westpac

10:27 March 31 2026

Share

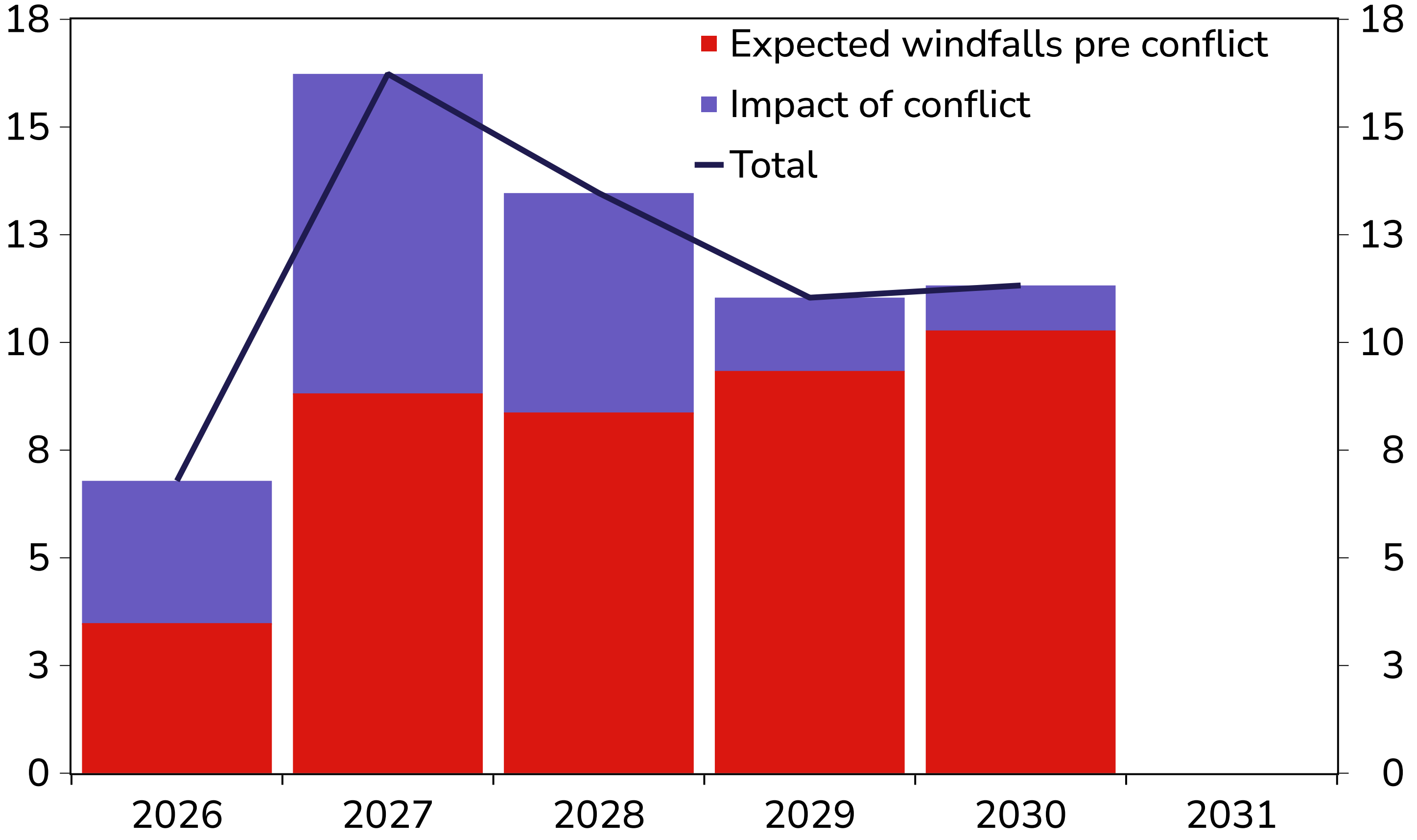
Stronger commodity prices and elevated inflation are boosting nominal incomes and tax collections, driving a net budget improvement.

- Higher-than-assumed commodity prices are expected to deliver the Federal budget a windfall of almost $60bn over the five years to FY30.

- Around $20bn of this uplift reflects the impact of the Middle East conflict, particularly via higher coal and LNG export prices. This more than offsets the $2.6bn cost of halving the fuel excise for three months.
- The run-up in gold prices since FY24 is estimated to add around $19bn to Treasury revenues over the next five years. This broadly aligns with Department of Industry forecasts showing gold export receipts rising by around $40bn in FY26 relative to FY24.
- Higher inflation and the cyclical upswing are boosting nominal incomes, consistent with the March monthly statements showing income and indirect tax revenue were around $7.0bn and $2.5bn ahead of MYEFO estimates, respectively. The inflationary impulse from the conflict is expected to provide further near-term support to revenues.
- We will provide a full update of revenue and expenses before the May Budget.

Expected company tax upgrades

Financial years, $bn



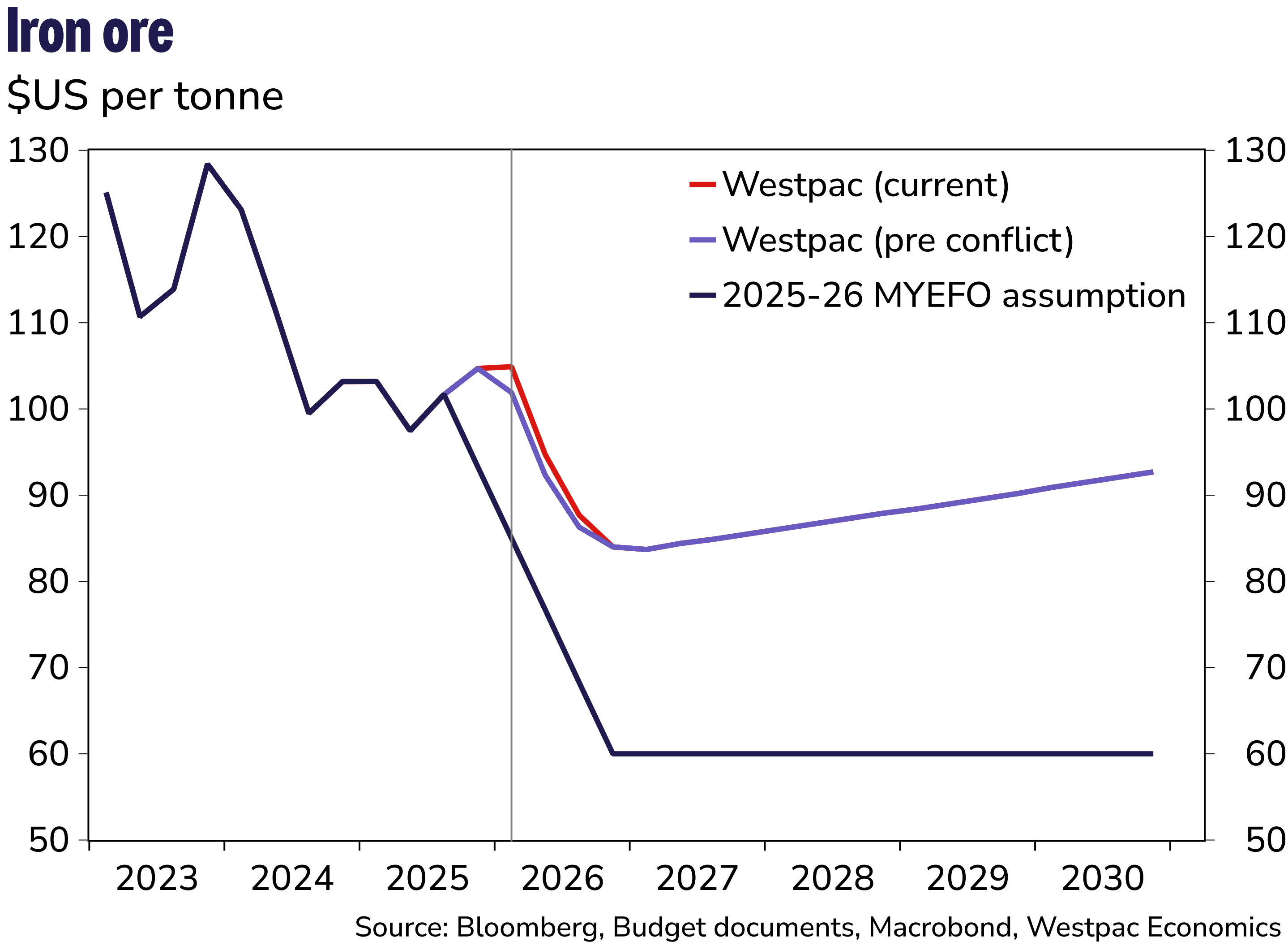
Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Federal Treasurer has warned that the economic fallout from the Middle East conflict could be "just as serious" as the GFC, the COVID-19 pandemic and Russia's invasion of Ukraine. But there is a countervailing force: higher commodity prices and elevated inflation are lifting Treasury tax collections. Because the tax system operates in the nominal world, tax receipts can continue to rise even as real economic activity slows over the coming years, as we expect.

Using actual spot prices and Westpac commodity price forecasts, we estimate that **higher-than-assumed commodity prices will deliver the Federal budget a windfall of almost $60bn over the five years to FY30**.

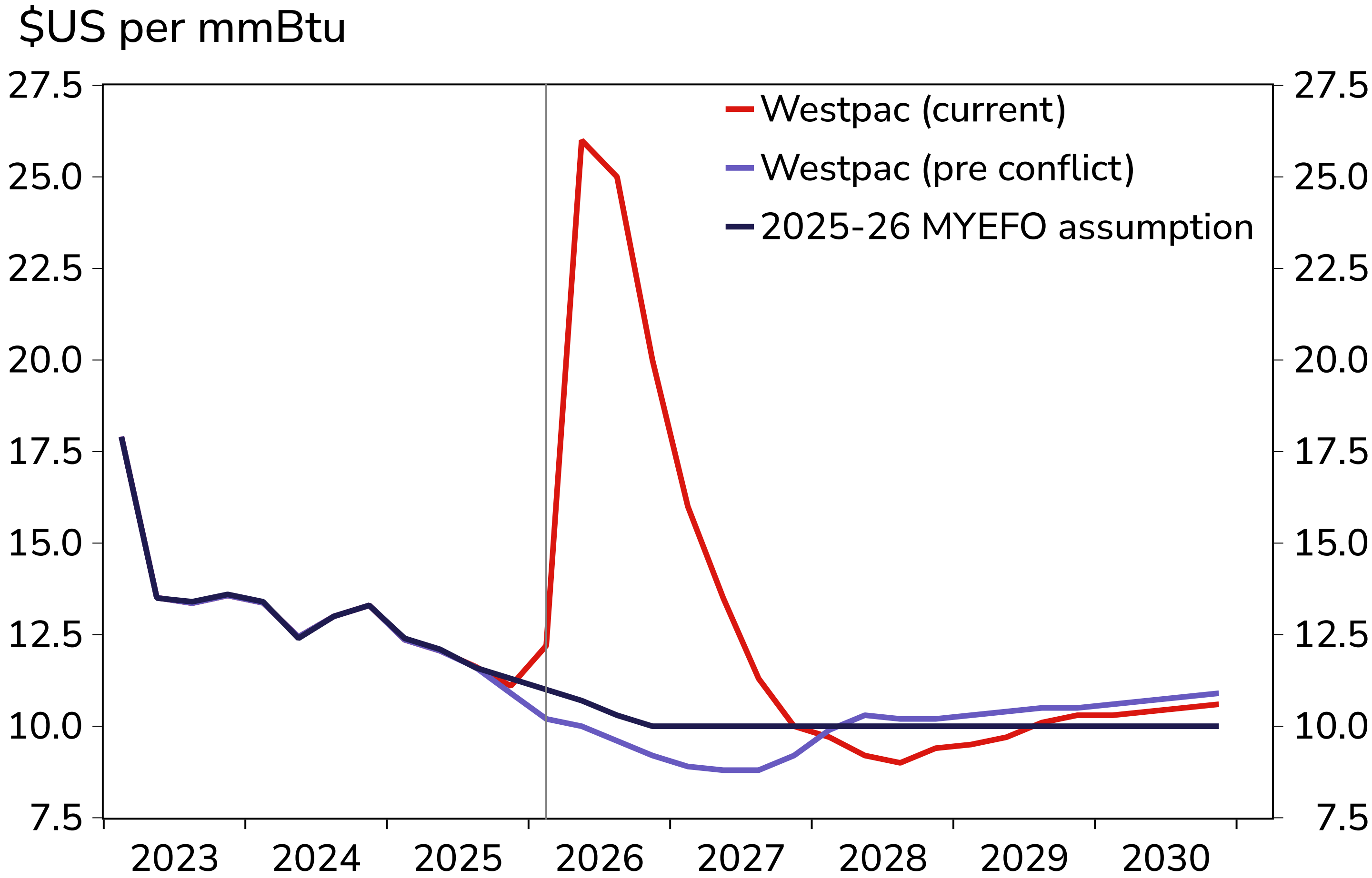
Relaxing some of the conservatism in budget forecasts

It is well known that Treasury's revenue forecasts remain highly conservative, anchored on commodity prices reverting to long-run assumptions. In practice, elevated prices had already proven more persistent before the conflict (see iron ore chart below), and the conflict itself has delivered a further lift.



The Middle East conflict also is pushing energy export prices higher, most notably for coal and LNG export prices. The longer the conflict persists, the greater the upside risk to commodity price forecasts. **At this stage, we estimate that around $20bn of the total budget windfall can be attributed directly to the Middle East conflict, with the gains front-loaded over the next few years. This additional revenue more than offsets the estimated $2.6bn fiscal cost of halving the fuel excise for three months, leaving a substantial net improvement in the budget position.**

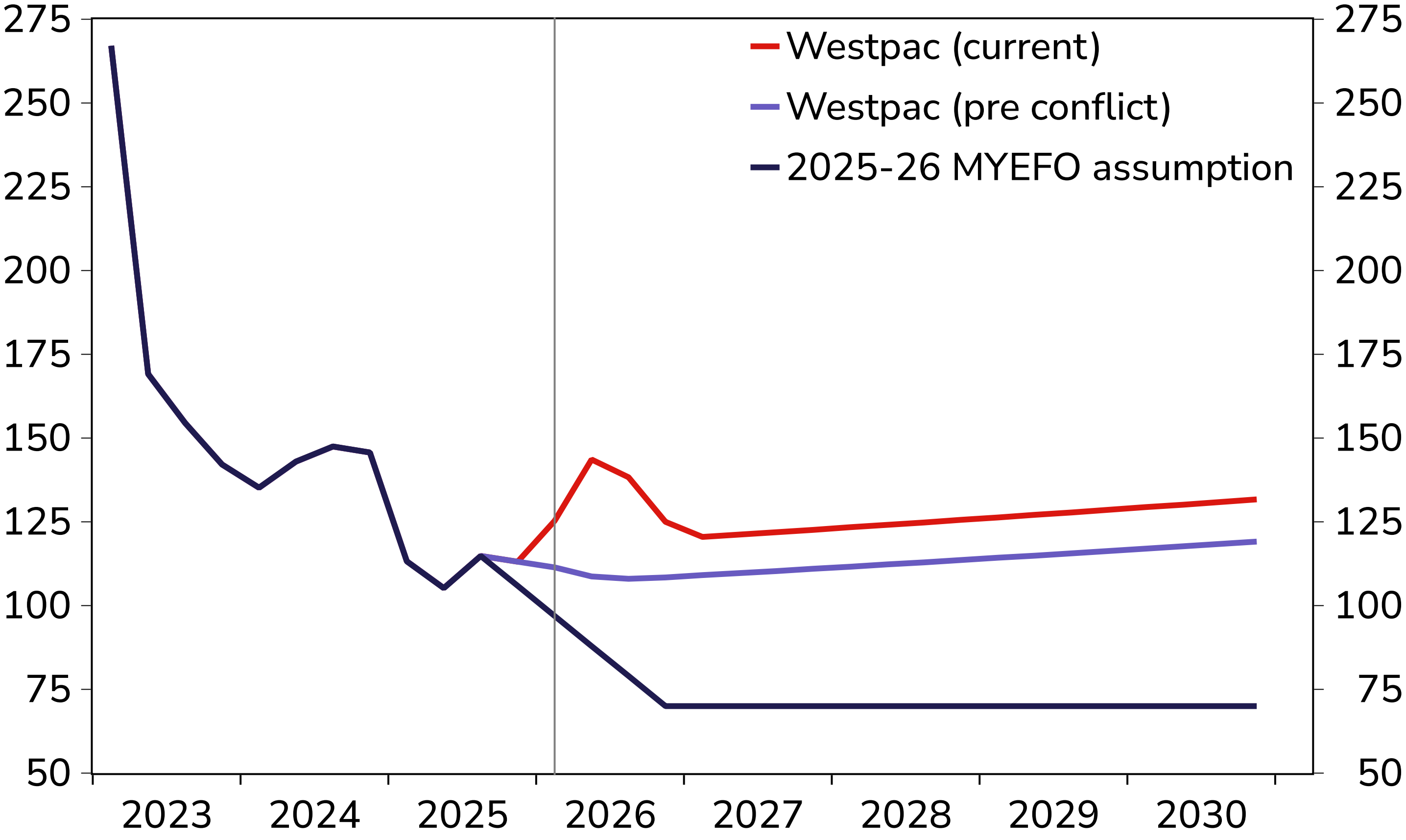
LNG export prices



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Thermal coal

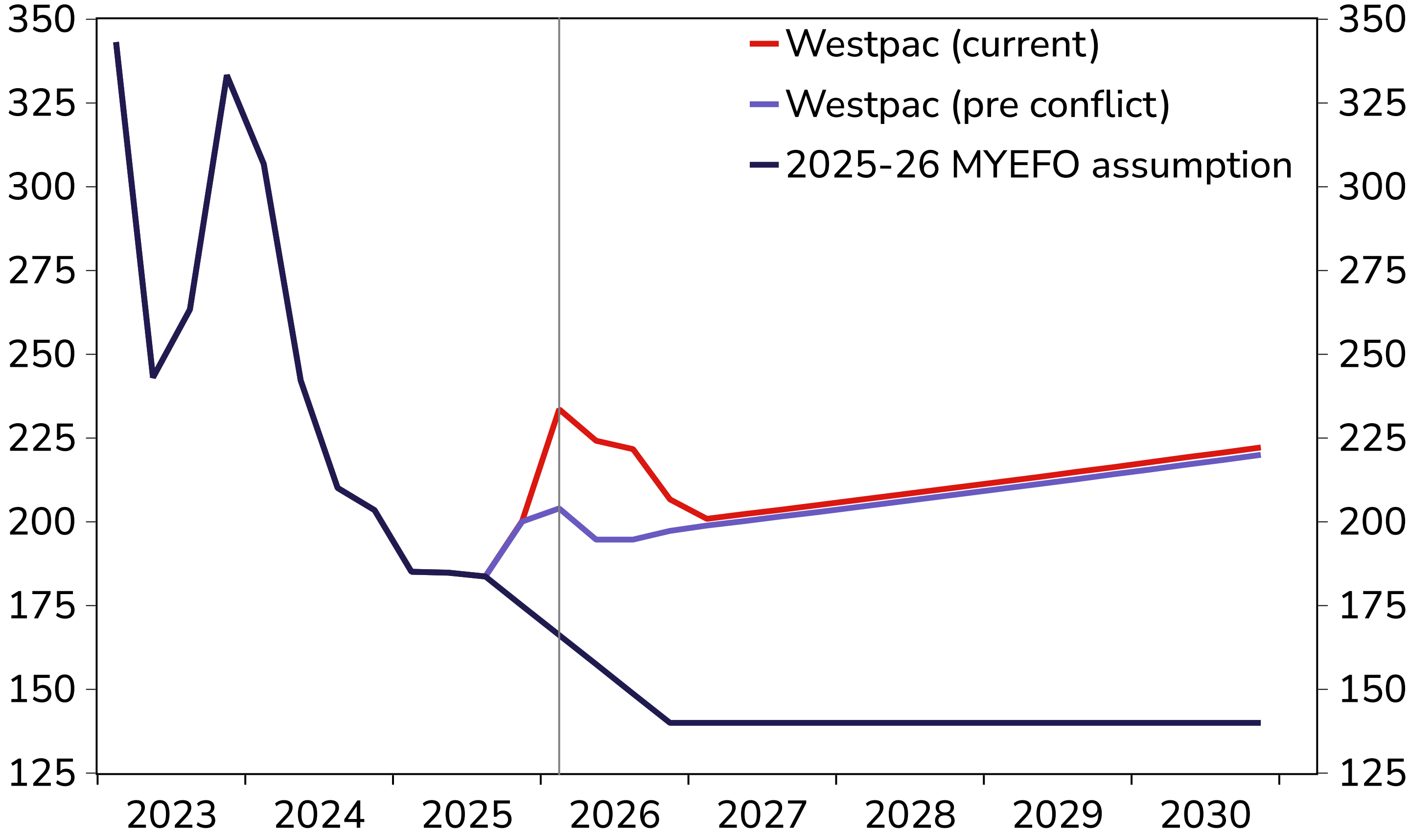
$US per tonne



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Metallurgical coal

$US per tonne

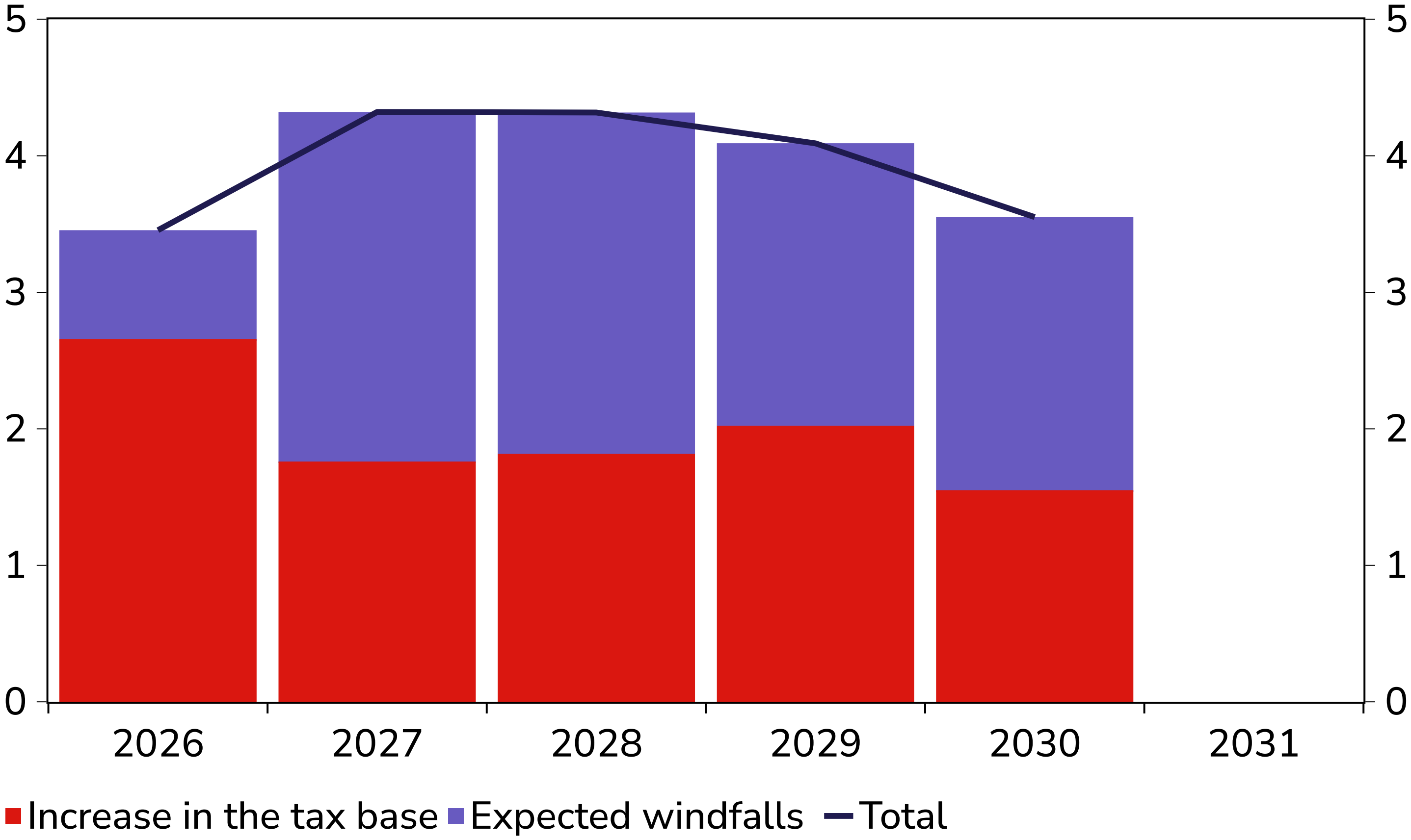


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Gold is also delivering an underappreciated windfall. Following the recent surge in prices, gold is expected to become Australia's second-largest export by value in FY26, overtaking LNG and coal. The run-up in gold prices since FY24 is estimated to add around $19bn to Treasury revenues over the next five years. Despite recent volatility, the gold spot price is currently around US$4,500 an ounce. That's almost double its level at the end of FY24. **We expect some of this revenue uplift to materialise as early as May 2026, when miners make large wash-up tax payments for the completed 2025 tax year.**

Expected tax upgrades due to gold prices

Financial years, $bn

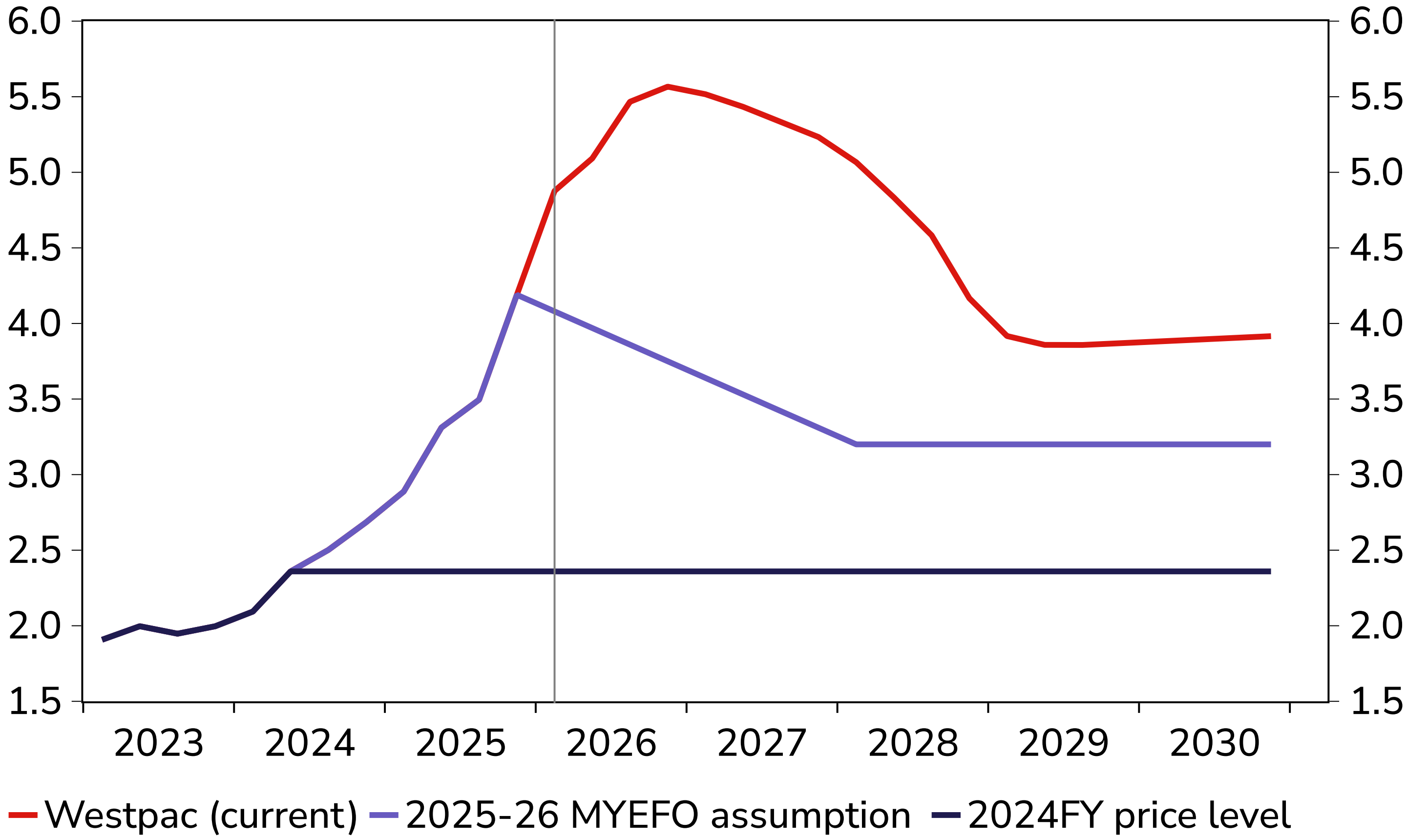


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

As Treasury marks commodity prices to market when updating its forecasts, we estimate that around half of this windfall has already been incorporated into the tax base and revenue forecasts. This is evident in the step-up from the FY2024 prices to those underpinning the 2026 MYEFO (see chart below). The remainder of the windfall is yet to be recognised and is expected to flow through in future budget updates, starting with the May 2026 Budget.

Gold price

Thousands, $US per ounce



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

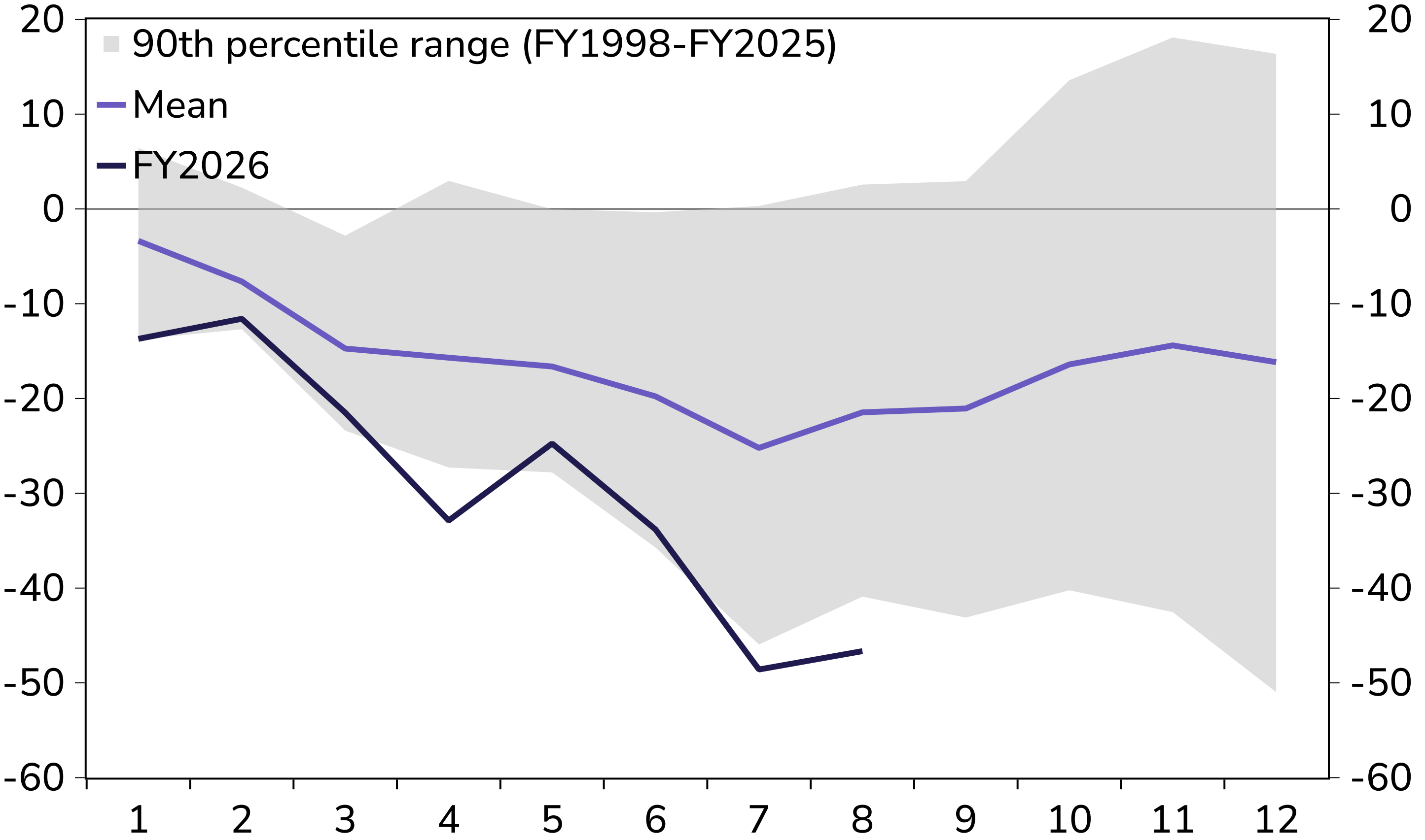
While the gold driven windfalls may seem modest in the context of the overall budget, this represents a genuinely unexpected positive surprise, one that is three times as large as the PRRT and almost as large as the fringe benefits tax base.

What about the other tax bases?

As we have previously noted, Australia's cyclical economic upswing coupled with elevated inflation are boosting nominal incomes and tax bases. This is consistent with the March monthly statements showing income and indirect tax revenue were around $7.0bn and $2.5bn ahead of MYEFO estimates, respectively. More broadly, the underlying balance was $8bn ahead of MYEFO estimates, just a few months after the MYEFO document was published. Despite this, the budget remains deeply in deficit, with the FY2026 year to date position worse than the 90th-percentile outcome recorded over the FY1998–FY2025 period.

Federal government receipts & payments

UCB, Rolling YTD aggregates, $bn



Source: Australian Department of Finance, Macrobond, Westpac Economics

Bottom line

While there will be some offsetting pressures on the payments side of the budget, we expect the revenue uplift to dominate, resulting in a net improvement in the budget position. We will provide a full set of bottom-line estimates ahead of the Budget, incorporating revenue and payments variations, as well as expected policy changes.

Related articles

#federalbudget

NSW FY26 Mid-Year Budget Update Quick Response

December 19 2025 • 10mins

By Uma Choudhury

#federalbudget

FY26 Mid-Year Economic and Fiscal Outlook: Debt Statement highlights

December 17 2025 • 10mins

By Uma Choudhury

#federalbudget

2025-26 MYEFO: Cyclical upswing boosts Treasury coffers

December 17 2025 • 6 mins

By Pat Bustamante

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: conflict in the Middle East to cast a long shadow

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke & Ryan Wells

11:38 April 17 2026

Share

Key insights from the week that was.

The first detailed look at the mindset of Australian consumers and businesses amidst the Middle East conflict proved sobering. Our Westpac-MI Consumer Sentiment Index posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’

(–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. Note though, the readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But arguably this is also the case for the US economy, University of Michigan consumer sentiment falling to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March; but, should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China’s Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East’s impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment’s support for GDP masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

Related articles

#cliffnotes

Cliff Notes: ceasefire optimism to be tested

April 10 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Mantas Vanagas

#cliffnotes

Cliff Notes: mixed messages

April 02 2026 • 5 mins

By Elliot Clarke

#cliffnotes

Cliff Notes: a fork in the road

March 27 2026 • 5 mins

By Elliot Clarke & Ryan Wells

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit

#yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities

#ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

SORRY, WE CAN'T FIND THAT PAGE

The page you're looking for has been moved or taken off the site. Do you want to go our homepage or search?

If you continue to have difficulties – send us an email and we'll get back to you as soon as possible.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Australia’s Trade in Goods Account, February

#trade #australia

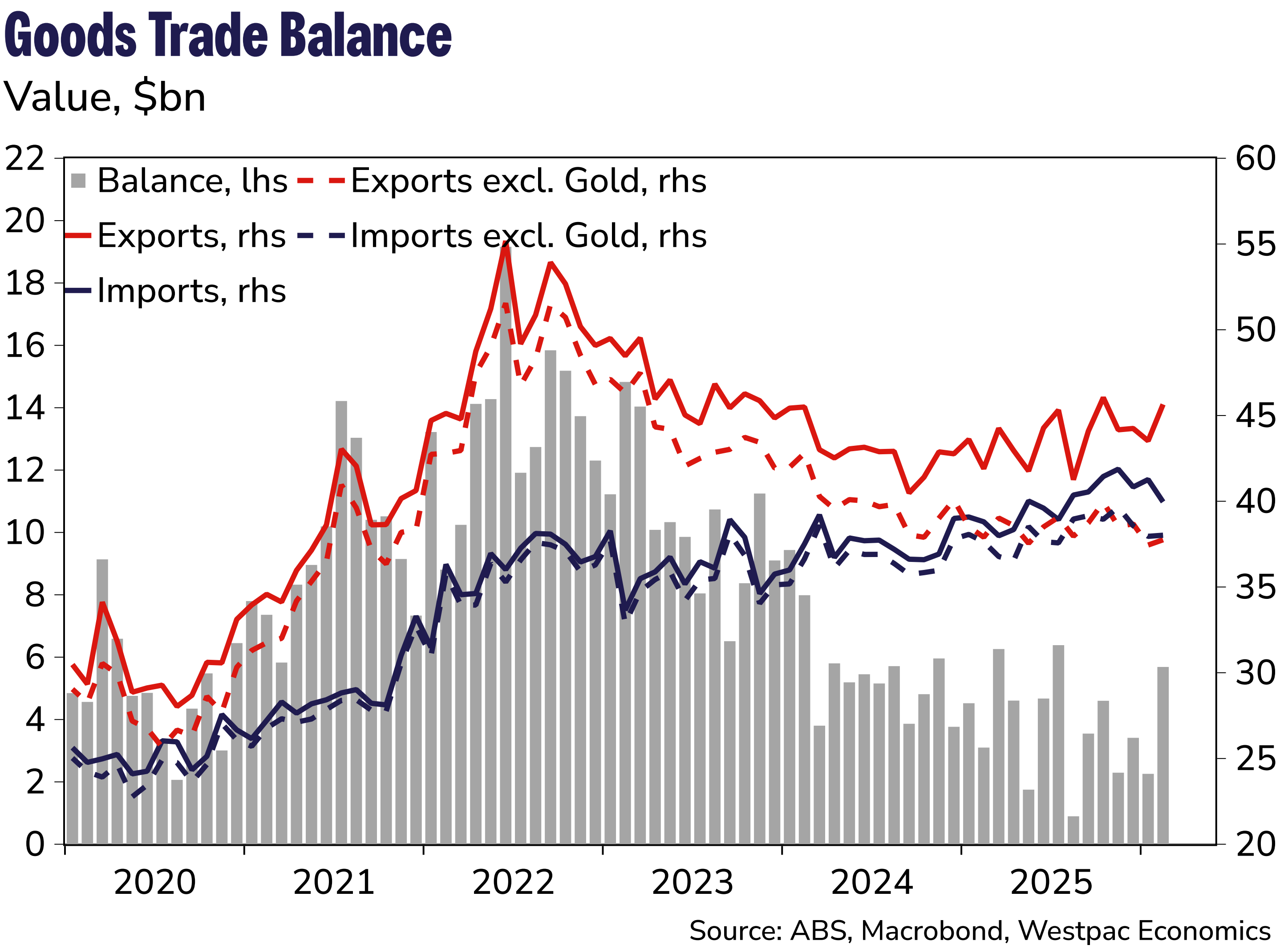
By Mantas Vanagas
Senior Economist, Westpac

15:15 April 02 2026

Share

Sharp shifts in gold flows led to Australia’s goods trade surplus widening in February. The impacts of the conflict in the Middle East, including on commodity prices, are likely to see volatility in monthly trade flows increase in March and beyond. Trade balance: $5.7bn. Export values: up 4.9%mth. Import values: down 3.9%mth.

After a period of more stability recently, monthly trade figures saw volatility return, with the headline goods trade surplus jumping from $2.3bn to $5.7bn, marking the highest level in seven months. Significant fluctuations in gold inflows and outflows were the primary driver. Excluding gold, the goods trade balance remained close to zero. Importantly, this data predates the outbreak of the conflict in the Middle East, suggesting greater volatility in trade flows is likely as these impacts flow through in coming months. The sharp appreciation of the AUD – in trade-weighted terms up more than 3% in February – had minimal impact on trade flows.



Exports

Export earnings surged nearly 5%mth. Gold exports reached a new record high and were almost entirely responsible for the increase. Most of this increase was likely driven by higher prices rather than volumes – this is consistent with our view that gold prices will deliver the federal budget a significant and underappreciated windfall (see here). Excluding gold, exports were up just 0.8%mth, remaining below last year’s peak following sharp declines in January and November.

Major commodity exports fell 3.7%mth, led by decreases in iron ore and LNG shipments. ABS data show that exports of both iron ore and LNG fell in both volume and price terms. Production and shipment disruptions caused by Tropical Cyclone Mitchell, which impacted the Pilbara coastline, were partly responsible for the soft outcome during the month. Coal exports, by contrast, were broadly unchanged.

Rural goods exports surprised on the upside, rising almost 14%mth – the steepest increase in over a year – offsetting the previous month's decline. Meat exports jumped by more than a quarter, suggesting that January's drop was likely a temporary retraction. We think that risks for meat exports remain skewed to the downside due to expected supply weakness, but such effects are likely to materialise more in the medium term.

By country, exports to major trading partners remained relatively stable. Hong Kong was an exception – exports there tripled due to a surge in gold shipments. Exports to the US showed little change, though larger shifts may occur in coming months, following the US Supreme Court's decision to rule previous tariffs under the IEEPA act illegal and subsequent adjustments to US import tariffs.

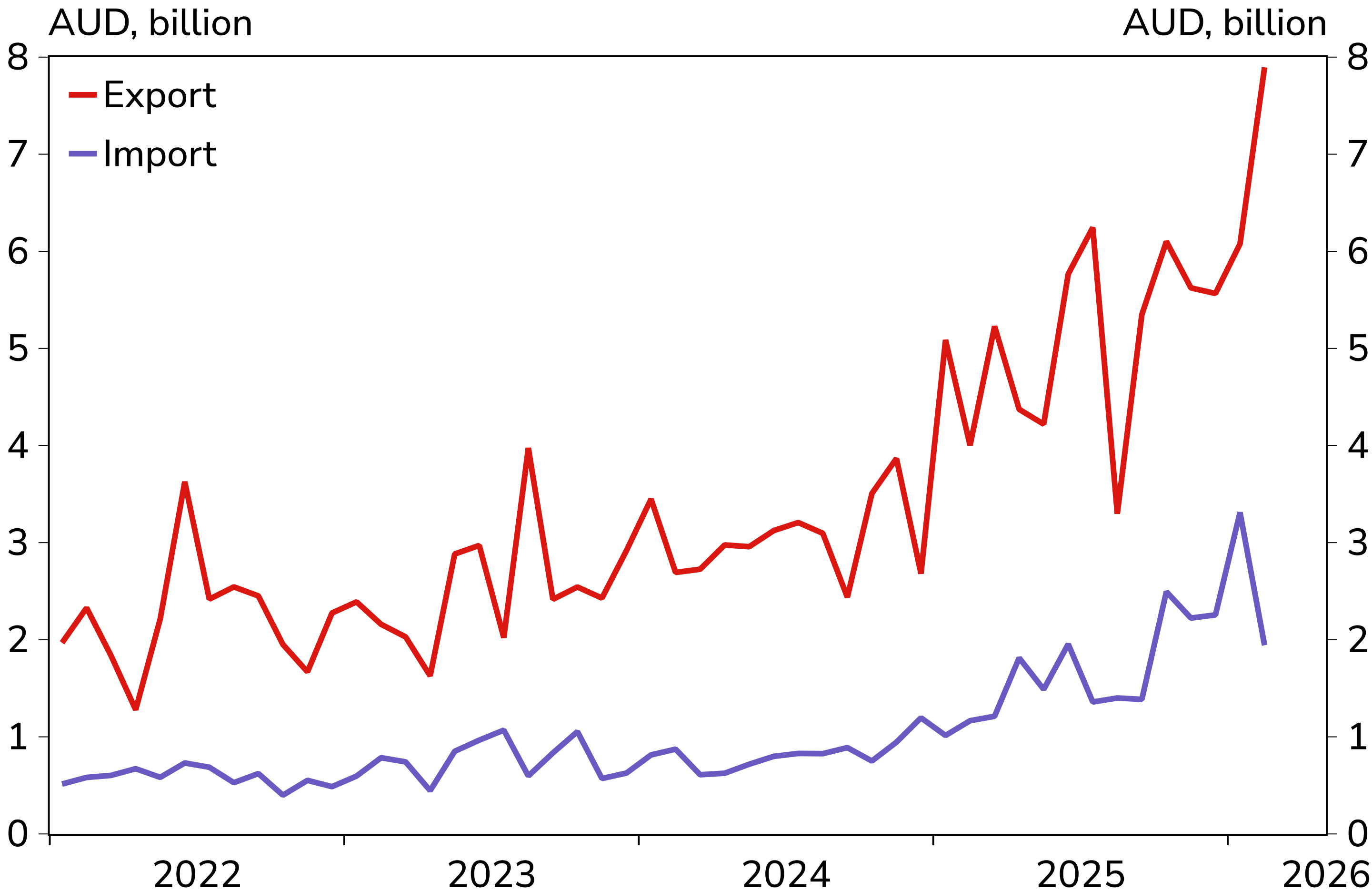
Imports

The import bill declined by 3.2%mth. Similar to exports, gold – which dropped over 40% – played a significant role. Excluding gold, imports were almost unchanged. Nonetheless, major import categories experienced considerable swings.

Consumption goods imports rose 3.4%mth, reversing a similar decline in January, with food and household electronics leading the way. Intermediate goods imports also strengthened notably, up 3.1%mth. Capital goods imports fell 8.1%mth – volatility seen in recent months for data processing equipment and aircraft imports was again the main driver.

Looking past the monthly volatility, imports for January–February were nearly 2% lower compared to Q4, with all three major components reporting declines. Price effects may have contributed, but following the significant jump in Q4, this suggests that domestic demand may have softened at the start of the year.

Gold trade flows (values)



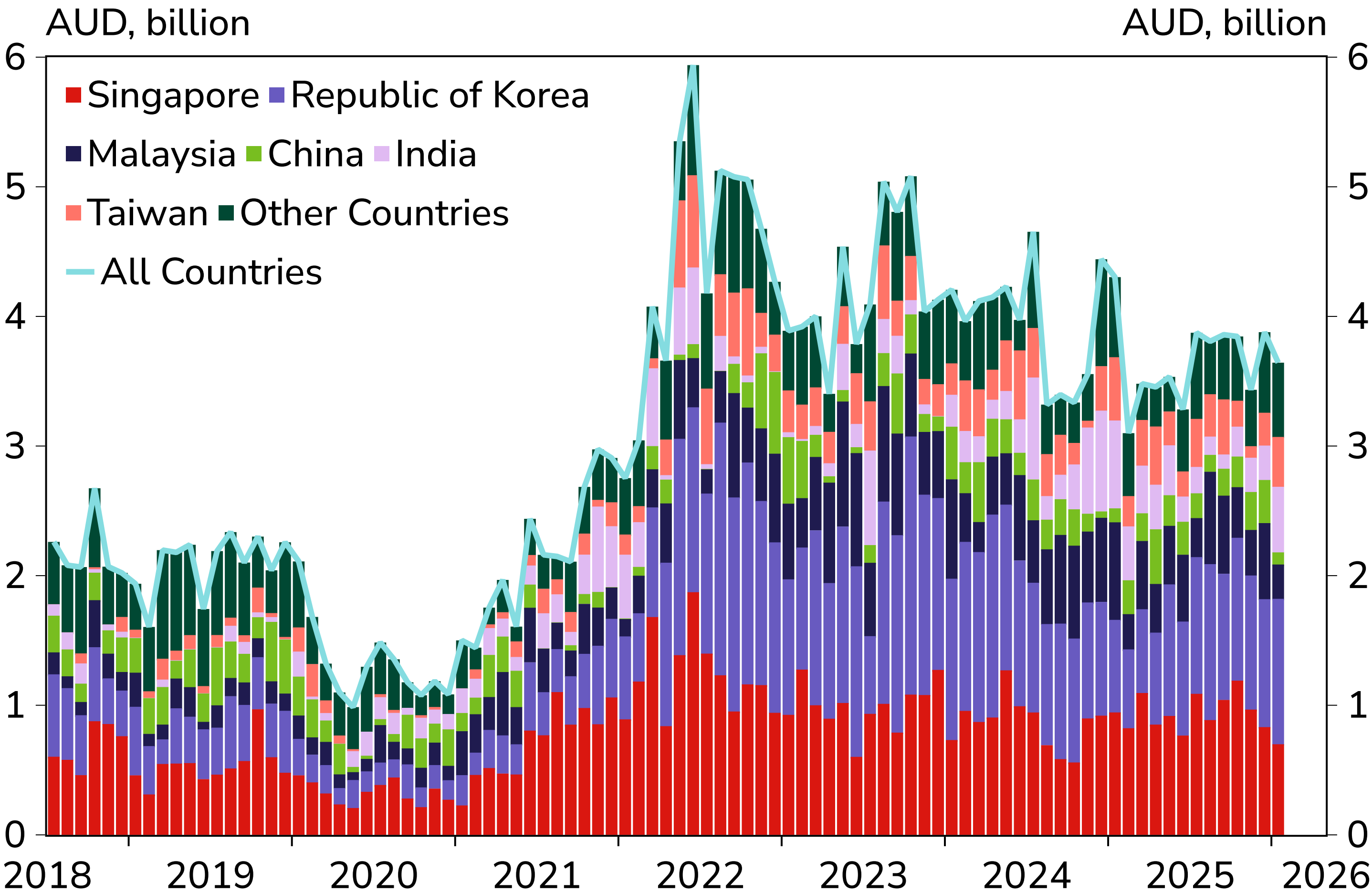
Source: ABS, Macrobond, Westpac Economics

Trade in the coming months

Over the coming months, monthly trade data will likely be shaped by the ongoing conflict in the Middle East. Price effects are expected to dominate, with the LNG (Japan/Korea benchmark) 80% higher since the end of February, and coal and iron ore prices also up significantly.

Beyond price movements, we might also see impact to trade volumes. Australia's direct trade with Middle Eastern countries is small representing around $1bn in exports and around $0.5bn in imports per month. However, indirect impacts via supply chain disruptions could be substantial. For instance, most refined oil products in Australia are sourced from Asian countries, which in turn import crude oil from the Middle East. Oil accounts for roughly 11% of total goods imports, and a sharp drop could significantly affect the economy, especially if certain regions begin to experience fuel shortages.

Australia imports - refined petroleum (monthly values)



Source: DFAT, Macrobond, Westpac Economics

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#trade

Australia's Trade in Goods Account, January

March 05 2026 • 5 mins

By Mantas Vanagas

#trade

Talking about trade: more tariff uncertainty

February 27 2026 • 5 mins

By Elliot Clarke & Mantas Vanagas

#trade

Australia’s Trade in Goods Account, December

February 05 2026 • 5 mins

By Mantas Vanagas

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities

#ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is "looking very good", amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan's Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea's KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have "vicious" consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as "well positioned".

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment cooled overnight, with investors reassessing the near-term prospects for a US–Iran peace deal amid indications from regional and European leaders that negotiations could take several months to conclude.

US equities added modestly to recent highs, while Asian equities outperformed, led by a strong rally in Japan.

Bond yields moved higher as markets worked through a range of political and economic headlines.

The USD regained modest ground, with the DXY edging higher, while most major currencies softened. The AUD briefly touched a four-year high before paring gains.

Oil prices rose as indications that peace negotiations could be protracted reinforced supply concerns. Iron ore gained supported by a lift in dry bulk shipping rates.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.5	0.6%
AUD/USD	0.7161	-0.1%
AUD/JPY	114.01	0.0%
AUD/GBP	0.5295	0.1%
AUD/NZD	1.2158	0.2%
AUD/EUR	0.6078	0.0%
AUD/CNH	4.8864	-0.1%
AUD/SGD	0.9117	0.0%
AUD/HKD	5.6041	-0.2%
AUD/CAD	0.9813	-0.4%
EUR/USD	1.1781	-0.2%
USD/JPY	159.16	0.1%
USD Index	98.20	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.14	-0.01
90 day BBSY	4.37	0.00
180 day BBSY	4.76	-0.02
1 year swap	4.61	0.02
2 year swap	4.65	0.02
3 year swap	4.64	0.02
4 year swap	4.64	0.02
5 year swap	4.66	0.03
6 year swap	4.71	0.03
7 year swap	4.76	0.03
8 year swap	4.80	0.03
9 year swap	4.85	0.04
10 year swap	5.09	0.03

Equities	Close	Change
S&P/ASX 200	8,955	-0.3%
S&P 500	7,041	0.3%
Japan Nikkei	59,518	2.4%
Hang Seng	26,394	1.7%
Euro Stoxx 50	5,933	-0.1%
UK FTSE100	10,590	0.3%
VIX Index	17.94	-1.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.63	0.02
10 year bond	4.96	0.02
United States		
3-month T Bill	3.61	-0.01
2 year bond	3.77	0.01
10 year bond	4.31	0.03
Other (10 year yields)		
Germany	3.03	-0.01
Japan	2.41	-0.01
UK	4.85	0.03

Commodities	Current	Change
CRB Index	374.61	0.7%
Gold	4790.88	0.0%
Copper	13270	0.2%
Oil (WTI futures)	93.50	2.4%
Coal (coking)	226.00	0.0%
Coal (thermal)	125.75	0.6%
Iron Ore	105.55	2.0%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	0.05
3 yr bond	4.68	0.04
3 mth bill rate	4.32	0.00
SPI 200	8,966	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were more subdued overnight, with a partial cooling in recent optimism limiting overall activity. Some Gulf and European leaders suggested that a comprehensive peace deal between the US and Iran may take up to six months to finalise, which tempered expectations for a near term resolution and provided support to oil prices. At the same time, President Trump struck a more optimistic tone, saying a deal with Iran is “looking very good”, amid reports of ongoing discussions to extend the current truce ahead of its expiration next week. Trump also suggested any agreement could include provisions for free oil. Adding to tentative signs of de escalation, Israel and Lebanon agreed to a 10 day ceasefire, easing tensions more broadly across the region.

- Equities traded in a narrow range for much of the session. US indices held near record highs, with the S&P 500 and NASDAQ 100 posting modest additional gains of 0.3% and 0.4% respectively, while the Dow Jones also edged higher, rising 0.2%.
- European equities were mixed, with the Euro Stoxx 50 marginally lower (0.1%), while an upside surprise in UK GDP supported a 0.3% gain in the FTSE 100. Asian equities were stronger, buoyed by overnight US sentiment with hopes of a Middle East truce and solid earnings raising risk appetites. Japan’s Nikkei 225 closed at a fresh record, rising 2.4% to 59,518 and fully retracing losses tied to the Iran conflict. Korea’s KOSPI gained 2.2%, while the Hang Seng rose 1.7%. Locally, the ASX200 shrugged off overnight highs in the US, recording a decline of -0.3%.
- Bond markets retreated further as investors digested a mix of geopolitical, economic and corporate headlines. Former Treasury Secretary Henry Paulson warned that US authorities should consider contingency plans in the event of a sharp decline in demand for US government debt, which he said would have “vicious” consequences. Moves were again more pronounced at the long end of the curve, with the US 2 year yield rising 1bp and the 10 year up 3bps. Futures pricing for the terminal Fed funds rate was unchanged, continuing to imply around a 36% probability of an additional rate cut by year end.
- Australian government bonds followed the overnight move higher in US yields, with both 3 year and 10 year yields rising 2bps. Swap markets were little moved by local labour force data and continue to price around two rate hikes by the end of the year.
- FX markets saw the USD modestly firmer after clawing back earlier losses, with the DXY up 0.1%. The Australian dollar retraced earlier gains, having reached a four year high of 0.7197 during the local session before easing to 0.7161, down -0.1% on the day. Most other major currencies weakened against the USD, with the Euro down -0.2 and, Sterling lower by -0.3% while the Japanese Yen gained 0.1%.
- Commodity markets saw oil prices rise on indications that a peace deal could take months to finalise. Brent gained 3.3% on the day, while WTI rose 2.4%. Dated Brent continues to command a sizeable premium, trading around US$18/bbl above spot prices. Gold pared earlier gains to finish flat, while copper edged 0.2% higher and aluminium rose 0.6%. Iron ore climbed a solid 2.0%, supported by a lift in dry bulk shipping rates to a four month high amid firm cargo volumes and tightening vessel availability in the Pacific.

Today’s key data and events

Time	Event	Exp	Prev
8:45	NZ Food Price Index Mar	-	-0.1%
8:45	NZ Card Spending Mar	-	1.1%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US initial jobless claims fell from 218k to 207k last week, holding around record lows.

The **US Philadelphia Fed business outlook** jumped from 18.1 to 26.7 in April following a similar jump in the Empire survey yesterday. Regional surveys in the US are highly volatile and dependent on sentiment.

US industrial production disappointed in March, declining 0.5% in the month. Though an upward revision to February offset, from 0.2% to 0.7%.

NY Fed President Williams gave a sanguine take on the outlook overnight, highlighting the immediate impact of the Middle East conflict on the US and global economy but also an expectation that risks will subside. Policy was described as “well positioned”.

Euro Area inflation was edged higher in the final estimate for March, from 1.2% to 1.3%, leaving annual headline inflation at 2.6%yr. Annual core inflation was unrevised at 2.3%yr.

UK monthly GDP surprised materially to the upside in March, rising 0.5%. February was also revised up from 0.0% to 0.1%.

Local Data

In Australia, the **March Labour Force Survey** reported a +17.9k gain in employment, and with the participation rate easing slightly from 66.9% to 66.8%, the unemployment rate remained steady at 4.3% (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

First Impressions: NZIER Quarterly Survey of Business Opinion, March quarter 2026

#businessconditions #newzealand

By Michael Gordon
Senior Economist, Westpac NZ

08:15 April 21 2026

Share

Business confidence fell sharply after the Iran conflict, with the gloom deepening over the course of March.

Key results (seasonally adjusted)

General business situation: +1 (Prev: +39)

Trading activity, past three months: 0 (Prev: -3)

Trading activity, next three months: +13 (Prev: +22)

Average selling prices, past three months: +22 (Prev: +13)

Average selling prices, next three months: +43 (Prev: +25)

Business confidence has unsurprisingly taken a knock since the Iran war kicked off at the end of February. Indeed, given the fast-moving situation, the headline results of the Quarterly Survey of Business Opinion understate the degree of the shock. Firms noted ongoing cost pressures, and a growing number of them are intending to raise their prices, but their ability to do so remains mixed. Overall, today's survey probably underscores rather than deepens the dilemma that the RBNZ will be facing in the coming months.

Sentiment about the general business situation fell from +39 to +1, the lowest reading since September 2024 – and that doesn't come close to telling the full story. Surveying began on 6 March, and the initial batch of responses was a net 34% positive. After the first reminder in mid-March, the next batch was a net 7% negative, and the last batch at the end of March was a whopping net 57% negative. NZIER didn't provide this breakdown for the other survey questions, but we can reasonably assume that there was a similar deterioration over the course of the month.

The own-activity measure for the last quarter actually picked up a little compared to the December survey, emphasising that the economy was regaining some momentum before the Iran war. Expectations for the next quarter fell from +22 to +13, though again the picture is likely to have looked significantly worse by the end of the survey period.

A net 37% of firms reported a rise in their costs, unchanged from last quarter. Expected costs for the next quarter were a net 45%, up from 39% in December – not a big increase, but this measure was already at elevated levels.

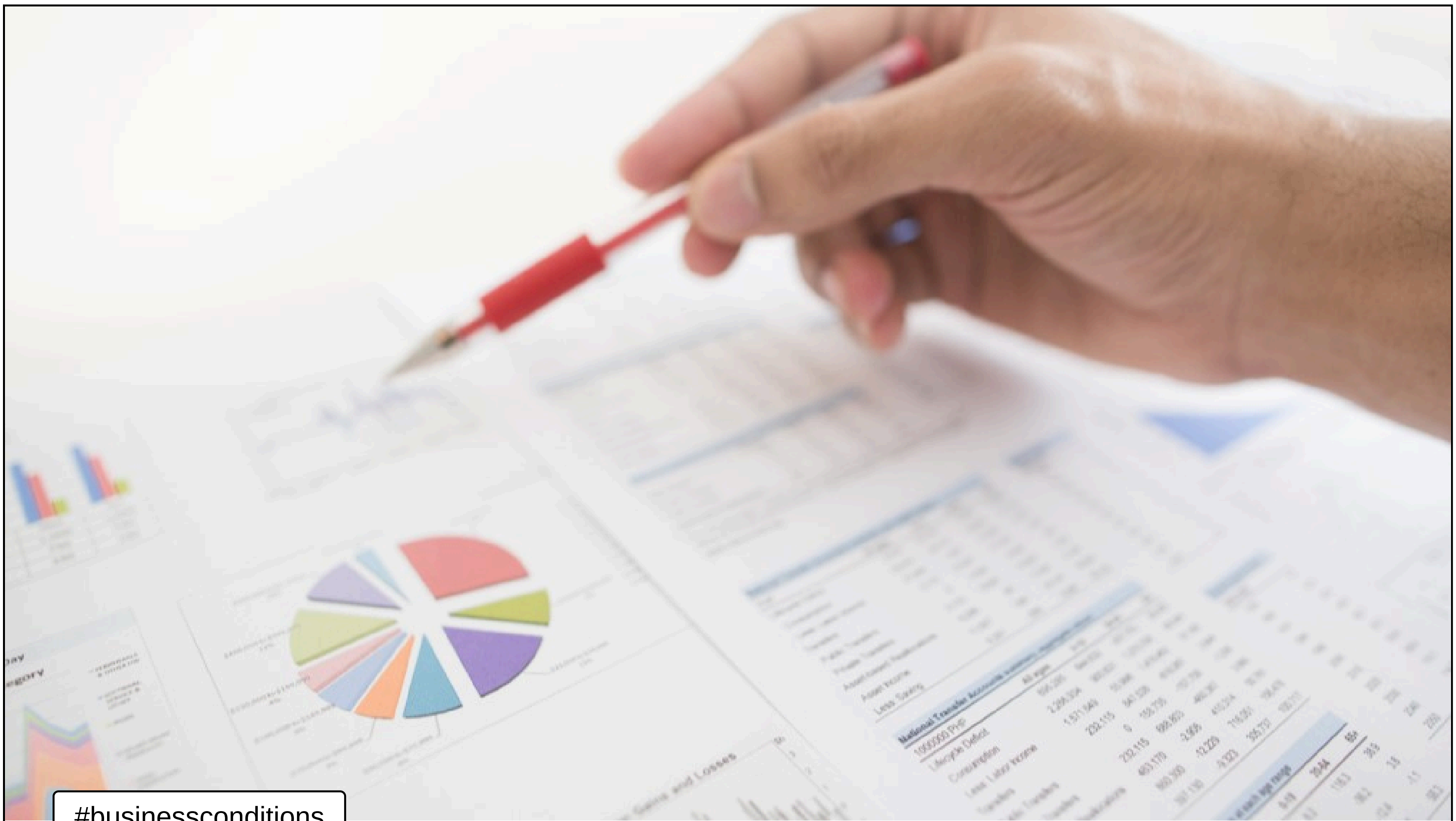
A net 22% of firms increased their prices last quarter, compared to 13% in December. More notably, a net 43% plan to raise their prices in the next quarter, the highest reading since September 2023. Firms' ability to raise their prices remained mixed across sectors though: for instance, builders reported a sharp rise in costs but a net 25% lowered their own prices last quarter.

Employment was down a net 5% past quarter, after a brief pickup in December, and hiring intentions also turned negative again. That said, there is evidence of labour shortages emerging again for skilled roles, though not for unskilled ones.

Michael Gordon, Senior Economist

P: +64 9 336 5670

Related articles



#businessconditions

Australian Business Conditions and Confidence, March

April 14 2026 • 5 mins

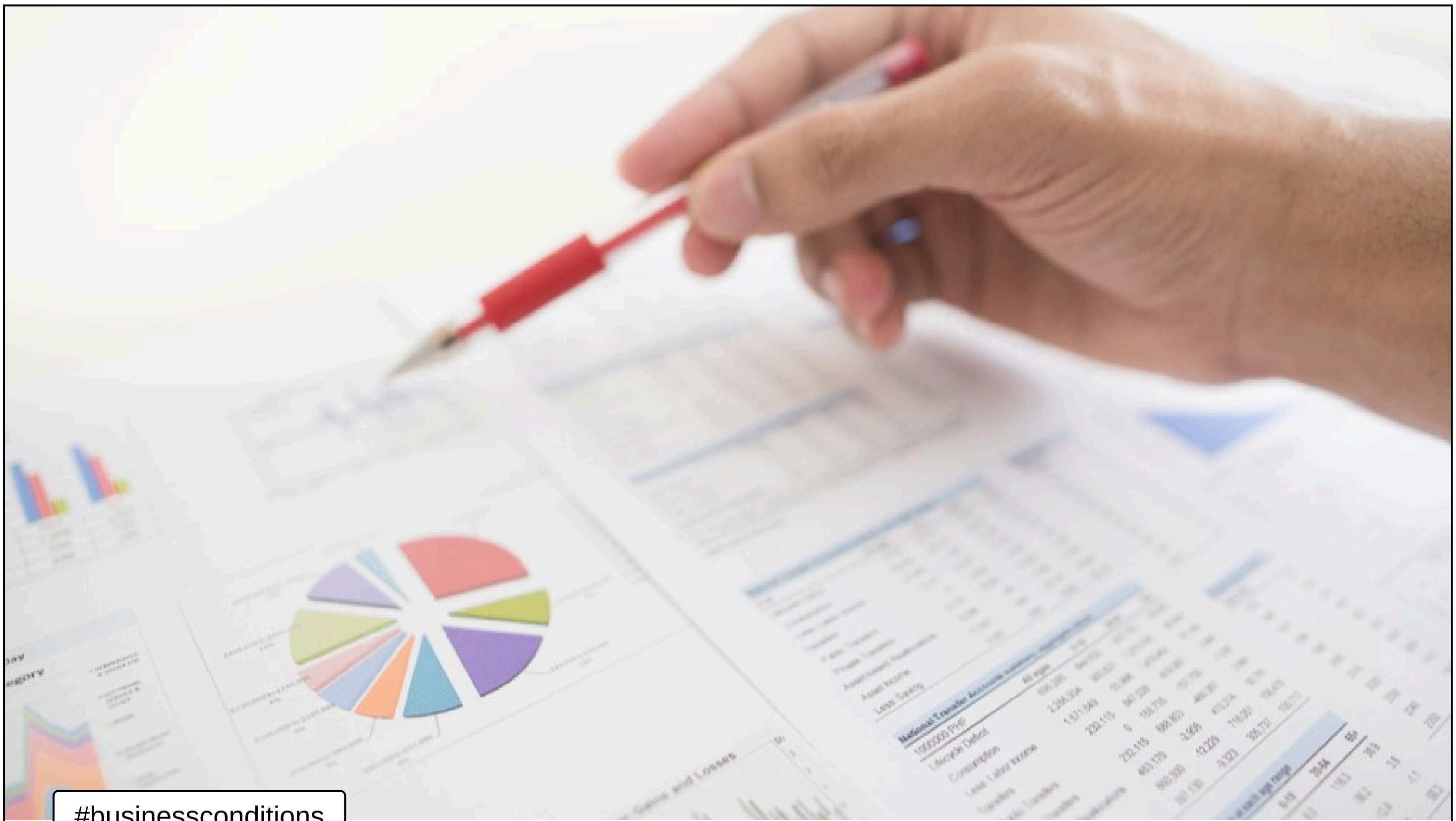
By Luka Belobrajdic

#businessconditions

First Impressions: NZ business confidence, March 2026

March 31 2026 • 2 mins

By Michael Gordon



#businessconditions

Australian Business Conditions and Confidence, February

March 10 2026 • 5 mins

By Luka Belobrajdic

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

For the US, an adverse turn is in the making

#fomc #usd #us

By Elliot Clarke
Head of International Economics, Westpac

11:00 April 20 2026

Share

The US economy is facing a very uncertain future with inflation up and consumer sentiment at record lows.

Headlines tied to the US economy continue to focus on President Trump's Middle East actions and the consequences for global energy prices. Abstracting from this news storm, however, the message from available economic data is the US economy slowed below trend ahead of the conflict, leaving the economy at risk of stalling, at least briefly.

In understanding the US' current state and outlook, it is best to assess recent data chronologically. First estimated at 1.4% annualised, Q4 GDP growth has since been revised to just 0.5%. Underlying the headline revisions, personal consumption growth throttled back from a near-trend 2.4% to a sub-par 1.9%, and business investment from an already-weak 3.7% annualised to 2.4%, as residential investment contracted 1.7% annualised.

Come January and February 2026, personal consumption expenditure was essentially flat and core goods order growth slowed to less than a third of Q4's pace. We do not have reliable data to back the assertion, but it is hard to believe the recent rise in the US 10-year yield and pass-through to the 30-year mortgage rate won't put additional pressure on residential construction. The current Atlanta Fed GDPNow estimate of 1.3% annualised therefore seems likely to slip through April before the formal Q1 GDP result is released by the BEA.

Another step down in momentum, perhaps into outright contraction, come Q2 is clearly a risk. The only data to hand for April is the University of Michigan's consumer sentiment survey. Worryingly, the headline index fell to its weakest read on record at 47.6 – an impressive feat considering the survey dates back to 1978 and has averaged 83.8 since, 43% above April's read. Notably, both current conditions and expectations are at all-time lows, and this is despite nonfarm payrolls having bounced back in March and equity markets, in aggregate, showing resilience.

While nonfarm payrolls have averaged a gain of 68k the past three months, this follows the average loss of 8k jobs per month through the second half of 2025 and material downward revisions to historical estimates prior to that. Household employment outcomes have also been materially weaker over the period. The unemployment rate is essentially unchanged since Q2 2025, but the participation rate has fallen almost 0.7ppts over the period, implying an unemployment rate of 5.0% on a constant participation basis. While not an alarming level historically, relative to the average of the past five years, it implies a marked turn in job creation and building downside risks for activity. This is corroborated by the 1.5ppt decline in the household savings rate since April 2025.

Providing a potential offset is record household wealth. Still, with sentiment as it is, and wealth needing to be liquidated or leveraged to be spent, any wealth effect for consumption is likely to take considerable time to materialise. Furthermore, whereas in the past, the use of wealth by higher-income households could have been complemented by tax breaks and/or cash support for those on lower-incomes, US fiscal authorities no longer have capacity outside of recession.

Taken together, current income and wealth dynamics in the US not only suggest growth is at risk of stalling out mid-year, but also that it could remain weak for an extended period. Thankfully, the FOMC remains equipped with the capacity to support the economy should risks to activity become dominant.

As such, it will be important to assess how the FOMC incorporates upcoming inflation detail into their risk calculations. We expect they will be heartened that the Middle East conflict only impacted headline inflation in March, a 10.9% increase in energy prices tripling the total monthly CPI gain to 0.9%, while core inflation printed at a benign 0.2% (core goods prices up 0.1%, and services 0.2%). Although we still believe capacity constraints across the US economy are likely to hold annual core inflation around the 2.6%yr registered in March throughout 2026, this deviation from target is not material enough to preclude further easing if downside risks for the labour market crystallise come Q2 or Q3.

In contrast to the UK and Europe (and Australia and New Zealand), the chance of a policy rate increase is also slim to non-existent in the US. The outlook for short-end rates should therefore limit gains in term yields to a modest upward drift, a function of gradual portfolio reallocation away from US dollar assets and the edging higher of the US fiscal deficit and government debt.

This analysis was initially released in the April edition of Westpac Market Outlook.

Related articles

#fomc

The FOMC’s steady hand

March 19 2026 • 5 mins

By Elliot Clarke

#fomc

The FOMC’s delicate balancing act gets trickier

March 16 2026 • 5 mins

By Elliot Clarke

#fomc

FOMC to remain constrained by inflation in 2026

February 16 2026 • 5 mins

By Elliot Clarke

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Australian Business Conditions and Confidence, March

#businessconditions #confidence

By Luka Belobrajdic
Economist, Westpac

15:05 April 14 2026

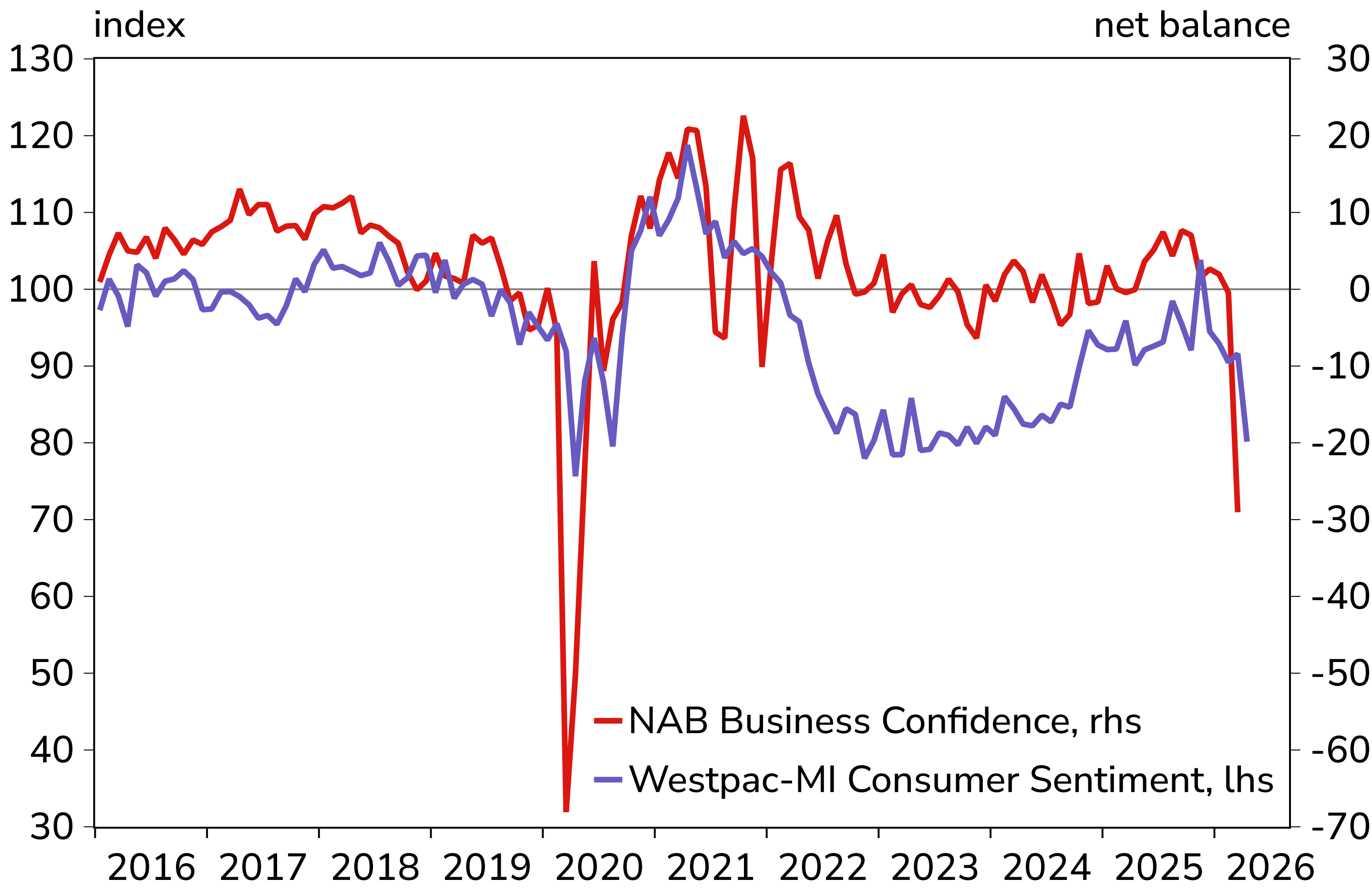
Share

Business confidence collapsed in response to the outbreak of the Middle East conflict, while current assessments of business conditions remain stable, for now. Confidence -29pts to -29 / Conditions unchanged at 6.

The March NAB Business Survey was in the field from 24 to 31 March. It provides the first complete read on business conditions and confidence since the outbreak of the Middle East conflict, the subsequent surge in fuel prices, and dual RBA rate hikes in February and March. Against this backdrop, business confidence collapsed a staggering –29pts from a neutral reading in February, representing the largest monthly decline since the onset of the pandemic in March 2020, and exceeds the fall recorded during the global financial crisis in October 2008. Confidence now sits 34pts below its long-run average. The timing and magnitude of the decline mirrors the sharp deterioration in consumer sentiment that was already evident in later responses to last month's survey. The –12.5% decline reported in April's Westpac-MI Consumer Sentiment survey, published earlier this morning, highlights just how sensitive sentiment is to the evolving policy and geopolitical backdrop.

Cost pressures intensified sharply in March. Purchase cost growth saw its largest monthly increase on record, with the quarterly growth pace more than doubling by 1.7ppt to 3.0%, placing it 1.9ppt above its long-run average. Final product price growth rose by a more modest, but still significant, 0.4ppt to 1.1%, suggesting firms are able to pass on some portion of the increase in fuel and oil-related input costs through prices. That said, the reported surge in costs was well in excess of prices, consistent with intensifying margin pressure and a weaker profitability reading in the month (–3pts to 1). Labour cost growth was unchanged at 1.5%.

Consumer vs Business Confidence

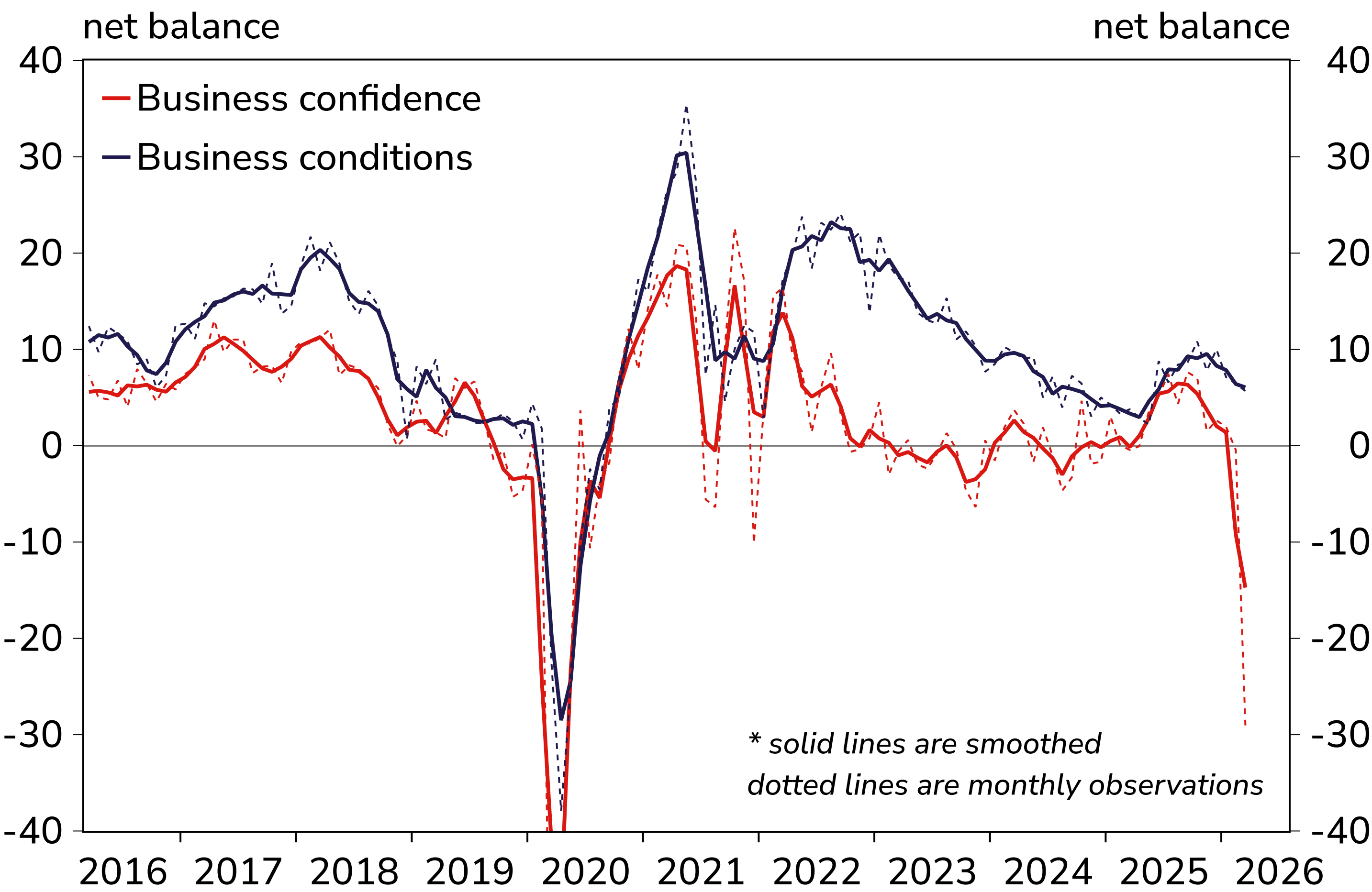


Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Despite unambiguous signs of anxiety, business conditions remained broadly steady through the first quarter of 2026. The headline business conditions index was unchanged in March at 6, 1pt below its long-run average and following an earlier reading of 7 in January. This suggests firms entered this latest period of heightened uncertainty with a degree of resilience. However, on a three-month rolling average basis, the survey continues to point to a gradual easing in momentum as the elevated readings recorded late last year roll out of the calculation. The extent to which the collapse in confidence starts to bleed into current assessments of conditions will be a key dynamic to monitor over the coming months.

Outside of the aforementioned fall in profitability, the other major sub-components were unalarming. The employment sub-index rebounded in March, rising +3pts to 6, re-establishing a foothold above its long-run average. This largely reflects the lagged response of labour demand to earlier improvements in activity. The outlook for the labour market has certainly deteriorated in light of the Middle East shock, and signs of significantly weaker labour demand are likely to emerge later this year. Trading conditions dipped modestly, down 1pt to 11, consistent with early indications of softer consumer spending from the Westpac-DataX card tracker for March.

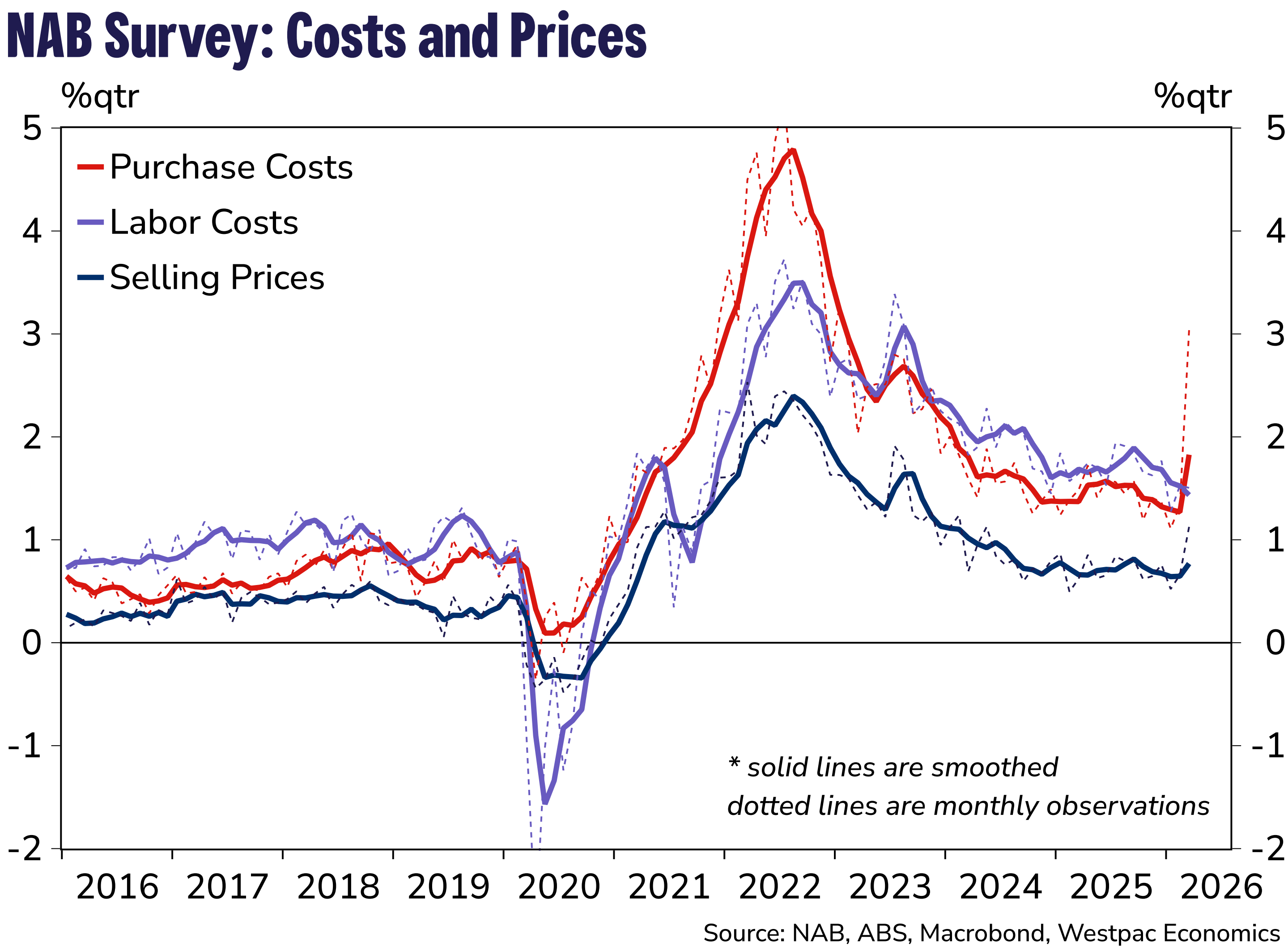
Business conditions and confidence



Source: NAB, Macrobond, Westpac Economics

Capacity utilisation edged higher in March to 83.1%, though this increase does little to alter the broader picture, with utilisation broadly stable on a three-month average basis. Capital expenditure eased slightly following its elevated February outcome, declining –2pts to 10, but remains 4pts above its long-run average, indicating continued if cautious investment intentions.

Among other indicators, forward orders weakened, falling -7pts to -1 and recording its first below-average reading of 2026, consistent with the collapse in confidence. Inventories rose a further 2pts to 7, though this likely reflects softer trading conditions in March following the strong build-up in forward orders reported in the previous month.



Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#businessconditions

First Impressions: NZIER Quarterly Survey of Business Opinion, March quarter 2026

April 21 2026 • 2 mins

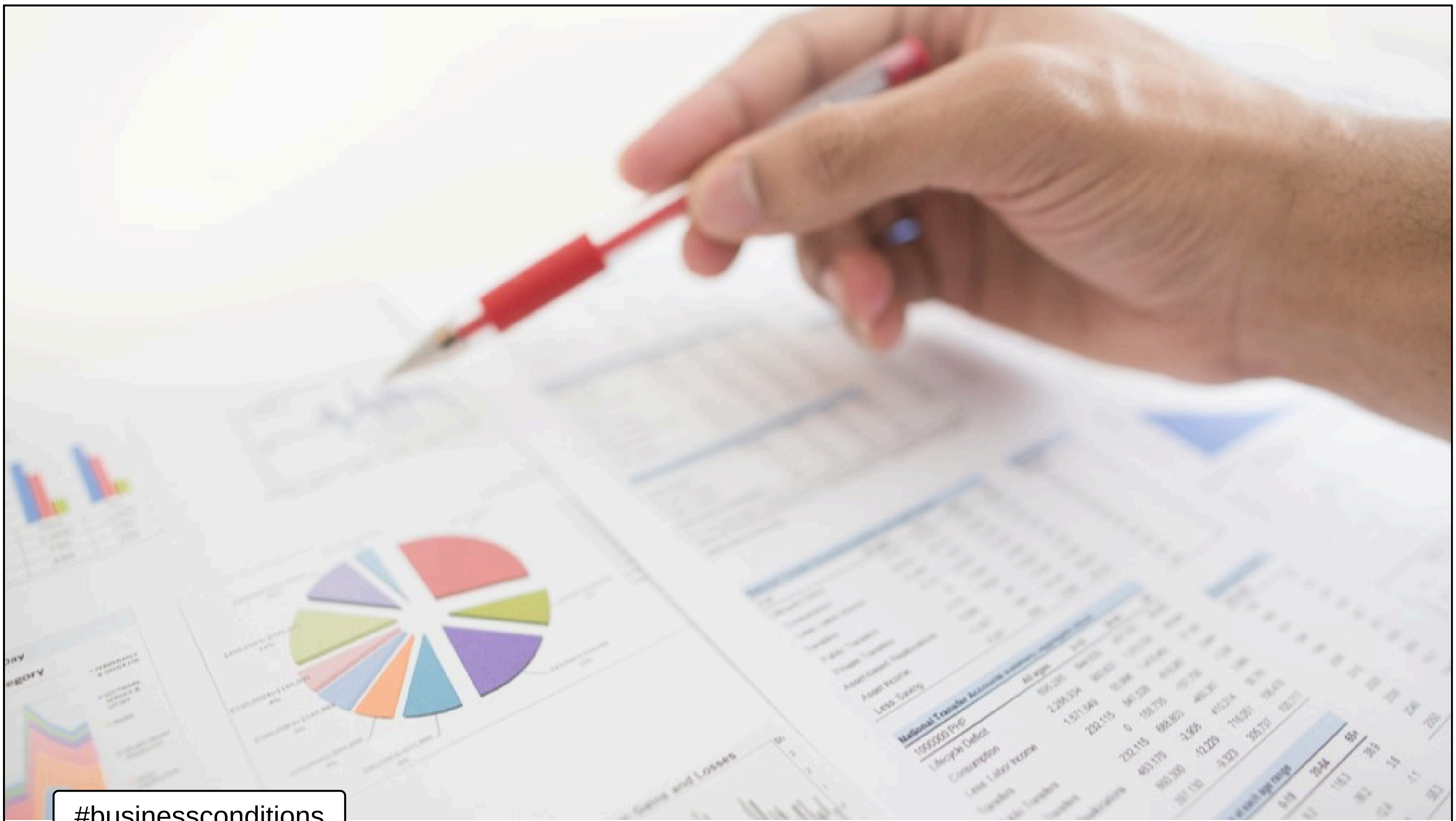
By Michael Gordon

#businessconditions

First Impressions: NZ business confidence, March 2026

March 31 2026 • 2 mins

By Michael Gordon



#businessconditions

Australian Business Conditions and Confidence, February

March 10 2026 • 5 mins

By Luka Belobrajdic

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

7 April 2026

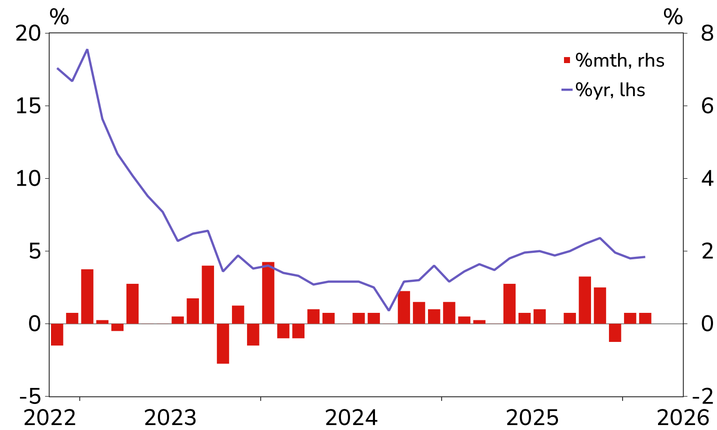
HOUSEHOLD SPENDING INDICATOR BULLETIN

Steady print amid softer signals

Key points

- Household spending rose 0.3%mth in February, matching January's outcome and in line with its average monthly pace over the past two years. Annual growth edged up to 4.6%yr.
- Services continued to drive overall growth, rising 0.5%mth, supported by holiday-related spending across recreation & culture, transport and accommodation. Goods spending reversed recent weakness to post a modest 0.1%mth gain.
- State outcomes were mixed. WA led the gains, with SA, Qld and Vic also recording increases. NSW was the only state to post a decline.
- Looking ahead, risks to the spending outlook remain skewed to the downside. Weaker consumer sentiment, ongoing monetary policy restraint and signals from our Westpac–DataX Card Tracker suggest spending growth is likely to moderate over coming months.

Monthly Household Spending Indicator Growth



Source: ABS, Macrobond, Westpac Economics

February household spending indicator: 0.3%mth, 4.6%yr

Services spending supports in February

Luka Belobrajdic
Economist

The monthly household spending indicator rose 0.3%mth in February, matching January's outcome and in line with the average monthly pace recorded over the past two years. This was stronger than we had expected, with Westpac forecasting a –0.2%mth decline given weakness evident in our Westpac–DataX Card Tracker (see here). Annual growth edged up to 4.6%yr, with the January 2026 annual pace revised slightly lower to 4.5%yr (from 4.6%yr).

By broad category, services continued to drive overall spending growth in February. The segment rose by 0.5%mth to be 6.2%yr higher over the year, with the ABS attributing this strength to increased recreation and culture, travel, and accommodation spending. Goods spending reversed some of its recent weakness, posting a modest 0.1%mth gain (3.1%yr). Discretionary spending rose 0.5%mth after holding flat in January, while non discretionary spending was unchanged. Both categories are growing at an annual pace of 4.6%yr.

At the detailed level, gains were concentrated across five categories. Recreation & culture led the lift, rising 1.1%mth, followed by food, which increased 1.0%mth. Hotels, cafes & restaurants reversed some of last month's decline, up 0.4%mth. Health and clothing & footwear recorded smaller increases of 0.2%mth and 0.1%mth respectively.

Once again, the main drag on the month came from alcohol & tobacco, which fell –0.5%mth. While this category has detracted from spending in recent months, the February decline was modest relative to earlier volatility. Transport spending declined –0.4%mth, reflecting lower fuel prices earlier in the month, while furnishings & household equipment recorded a third consecutive fall (–0.3%mth), consistent with subdued housing turnover (see here).

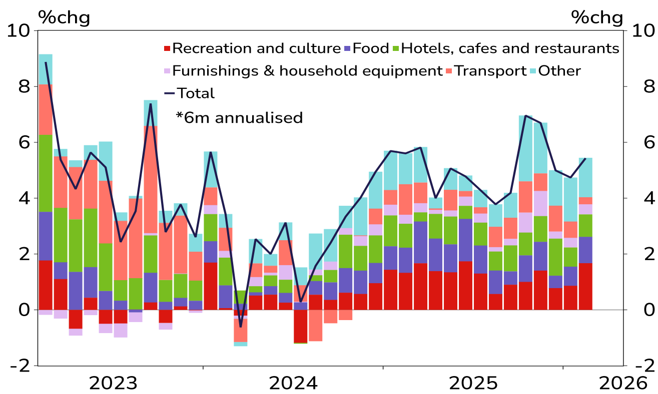
State outcomes were mixed. WA was the standout, with spending rising 0.9%mth. SA rebounded with a 0.6%mth increase following a –0.2%mth fall in January. Queensland and Victoria also recorded gains of 0.5%mth and 0.4%mth respectively. NSW was the only state to post a decline, with spending down –0.2%mth in February, leaving it with the weakest annual growth rate among the states at 3.3%yr.

Looking ahead, risks to the spending outlook remain skewed to the downside. Consumer sentiment has softened amid escalating conflict in the Middle East and ongoing monetary policy tightening (see here). In addition, our Westpac–DataX Card Tracker shows that monthly growth momentum has softened since February, especially in non-fuel card activity. Taken together, this points to a risk of further moderation in household spending over the coming months, despite February's firmer than expected outcome.

Household spending indicator – Feb 2026

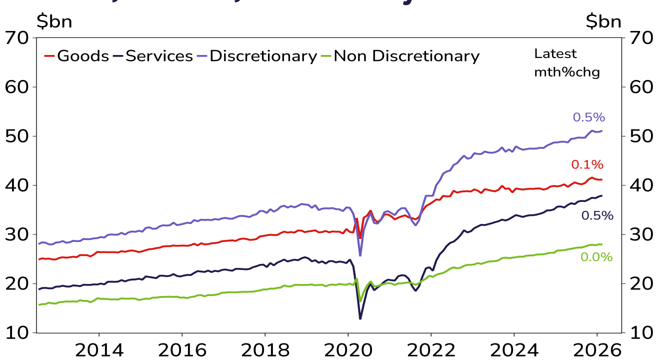
	$bn	% chg mth		% chg yr	
	Feb-26	Jan-26	Feb-26	Jan-26	Feb-26
sa	79.11	0.3	0.3	4.5	4.6
trend	79.15	0.3	0.2	4.9	4.7

Source: ABS, Macrobond, Westpac Economics.



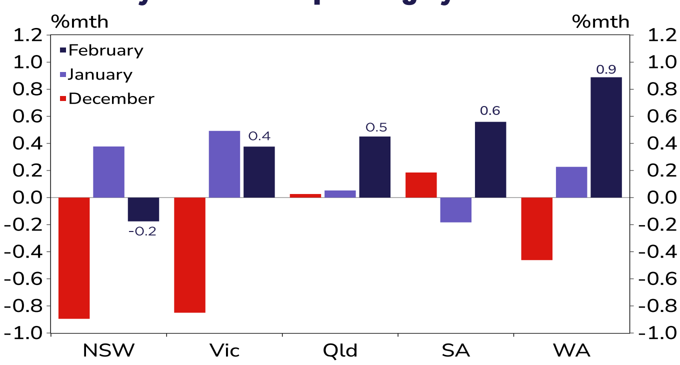
Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non-discret.



Source: ABS, Macrobond, Westpac Economics

Monthly household spending by state



Source: ABS, Macrobond, Westpac Economics

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information

Disclaimer continues overleaf ▶

does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

China is set to benefit from global energy unrest

#china #asia #aud

By Elliot Clarke
Head of International Economics, Westpac

10:48 April 20 2026

Share

Chinese exports will receive a material boost from high oil prices. The consumer remains a risk to GDP growth, however.

China's economy has begun 2026 in good health despite the conflict in the Middle East, registering annual GDP growth of 5.0% in Q1. In time, recent developments are likely to prove a net positive for China, spurring greater demand for green technology across developed and developing markets.

Not only were the March readings for the official NBS manufacturing and services PMI's favourable, registering increases to 50.4 and 50.1, but the partial data through February and March showed the beginning of a long-awaited stabilisation in consumer demand and turn for housing investment, retail sales growth beating estimates in February at 2.8%ytd (although growth slowed again in March to 2.4%ytd) and the decline in property investment almost halving from –17.2%ytd in December to –11.2%ytd in March. The latter result is particularly welcome given construction activity has declined almost 40% since end-2021.

In the short term, an end to the sharp decline in property investment will add meaningfully to economic growth given the sector still makes up circa 15% of the aggregate economy. In the medium to long-term though, not only will investment activity need to expand sustainably, but wealth must follow. As yet, there is no evidence of price growth, with new and existing home prices falling a further 0.2% in March.

We remain circumspect on the rate at which retail sales growth will accelerate from here near term, anticipating it is unlikely to return to trend, let alone outperform, until pro-active fiscal policy comes into effect. Authorities signalled an intention to act at the March NPC, but detail has been scarce since.

It is potentially the case that the Government wants clean air for reforms, which the Middle East conflict and the upcoming May meeting between President Xi and President Trump precludes for now. Though authorities may also feel the domestic economy has been given additional time to find its own path without intervention. The response of consumers and businesses across developed and developing markets to the current surge in energy prices will almost surely be an acceleration in demand for renewable energy products and electric vehicles, which China is globally dominant in and has ample spare capacity to produce and ship.

Even without a further material improvement in domestic demand, the short-term downside risks for Chinese GDP growth are receding thanks to this catalyst. Note too, the positive impulse is likely to prove lasting as geopolitical uncertainty over energy supply produces a national imperative to reduce reliance on the Middle East, particularly amongst south-east Asia, Latin America and Africa, where Chinese firms are experiencing particularly rapid demand growth.

Indeed, the learnings from this crisis, and what is expected to be a favourable result from the May meeting between President Xi and President Trump, could also skew long-term risks for Chinese growth and sentiment to the upside. This is not to say that 5.0% growth is probable for 2026–2028, but rather that growth is increasingly likely to stabilise around 4.5% instead of 4.0%.

Attaining annual growth of 5.0% over successive years would require material gains for trade, industrial investment, property construction and household consumption. The latter would necessitate a dramatic turn in actual and expected wealth and sentiment, however. While not impossible, given the poor starting point on both fronts, this is best considered a low probability and long-coming upside risk.

Sooner than later though, the favourable shift in global opportunities and risks for China is likely to support stronger demand in Chinese financial instruments. Yields and credit spreads will remain compressed, enticing additional real economy investment, and equities should see sustained inflows of new capital.

Paired with continued strength in the trade balance and the returns from offshore investments currently being made by Chinese firms, demand for the renminbi will grow in depth and breadth. Given the diversity of Chinese interests across the globe, currency gains are expected on a trade-weighted basis but will be most acute bilaterally versus the US dollar – the only currency Chinese entities look to be reducing their exposure to. Importantly, trade-weighted currency gains are likely to be proportional to China's competitiveness opportunities, and so should not materially narrow the current account.

This analysis was initially released in the April edition of Westpac Market Outlook.

Related articles

#china

China offers global growth a well-timed boost

April 16 2026 • 5 mins

By Elliot Clarke

#china

The world needs a strong and connected China

March 16 2026 • 5 mins

By Elliot Clarke

#china

Decision time for the Politburo

February 18 2026 • 5 mins

By Elliot Clarke

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #us Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

China offers global growth a well-timed boost

#china #asia #aud

By Elliot Clarke
Head of International Economics, Westpac

14:46 April 16 2026

Share

5.0%yr growth in Q1 2026 is a significant achievement, and the Middle East conflict is likely to accelerate demand for Chinese goods from here. Still, the growth base needs to broaden.

China’s economy has offered the world a well-timed boost, annual growth accelerating from 4.5%yr in Q4 2025 to 5.0%yr in Q1 2026. Authorities noted this was despite an unfavourable base effect, annual growth having previously peaked at 5.4% in Q4 2024 and Q1 2025. Quarterly growth was also a touch stronger in Q1 2026 than Q4 2025, at 1.3% versus 1.2%.

From the monthly partial data, China’s Q1 momentum was principally due to the strength of exporters and the investment being undertaken across the economy. The trade surplus averaged $88bn through Q1, broadly in line with the average of 2024 and 2025. Moreover, the narrowing of the surplus in March came as a result of a surge in imports which is likely to, at least, partly reverse in coming months as exports continue to grow. The Middle East conflict is likely to sustainably increase demand for green technology from China, opening up an opportunity for the trade surplus to reach new historic highs.

Regarding investment, transport and storage-related infrastructure spending reportedly surged in early-2026, while manufacturing investment showed signs of entering a (modest) upswing and utilities investment continued to compound around 9%ytd. Within the manufacturing sector, stronger demand for green technology goods and refined energy products is likely to elicit an upturn in capital expenditure through 2026, with the key investment sub-categories of electrical machinery, automobiles (EVs) and chemicals all showing evidence of stabilisation in Q1. There is reason for guarded optimism over the outlook for property investment too, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years could provide a material boost to aggregate growth through 2026.

The support offered to GDP by external demand and investment masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically-weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households, but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment.

All told, China is likely to benefit from the Middle East conflict by scaling up production and exports of green technology and refined energy products/chemicals to meet global demand. This will likely help GDP growth edge closer to 5.0% in 2026 and hold at or above 4.5% in 2027. Still, to sure up future growth prospects, authorities must action their intended support for households and incentivise additional domestically-focused investment by private and public entities. Without this broadening of the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years. Following President Trump’s May visit and (hopefully) a lasting end to the Middle East conflict, we expect stimulus to be delivered.

Subscribe

Related articles

#china

China is set to benefit from global energy unrest

April 20 2026 • 5 mins

By Elliot Clarke

#china

The world needs a strong and connected China

March 16 2026 • 5 mins

By Elliot Clarke

#china

Decision time for the Politburo

February 18 2026 • 5 mins

By Elliot Clarke

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Week beginning 20 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Drawing a line on just drawing a line.

The Week That Was: Conflict in the Middle East to cast a long shadow.

Focus on New Zealand: Oil shock begins to surface in data.

Forecast Update: Our latest forecast updates are detailed in our April Market Outlook.

For the week ahead:

Australia: Westpac-MI Leading Index.

New Zealand: Q1 CPI, NZIER Survey of Business Opinion and Q1 trade balance.

United States: Retail sales, initial jobless claims, University of Michigan Sentiment.

Euro area: ZEW Survey of Expectations, consumer confidence, President Lagarde speaks.

UK: Unemployment rate, CPI, GfK consumer sentiment.

Japan: CPI.

World: Manufacturing and services PMI.

Information contained in this report current as at 17 April 2026.

Draw a line on just drawing a line

Luci Ellis
Chief Economist, Westpac Group

- **You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible. Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.**
- **There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.**
- **The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.**

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its previous full *World Economic Outlook* report in October, it did this week. Similarly, we have published several scenario iterations over the past six weeks and will provide an update later today in our Market Outlook report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

"Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph."

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the 'severe' scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from "this particular bad thing happened". But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our April Market Outlook goes to publication later today, it is helpful to recall last April's edition. The 'Liberation Day' tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of 'flood the zone' headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again surprised on the upside relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

Forecast changes

- **A full update to our forecasts was published in our Market Oulook publication on April 17.**

Cliff Notes: conflict in the Middle East to cast a long shadow

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

Our Westpac-MI Consumer Sentiment Index posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely 'family finances vs a year ago' (–16.7%) and 'time to buy a major household item' (–15.0%). There were also significant hits to the year-ahead outlook for family finances (–13.9%) and the economy (–12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. The readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But this is also the case for the US economy, University of Michigan consumer sentiment fell to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March. Should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on Westpac IQ.

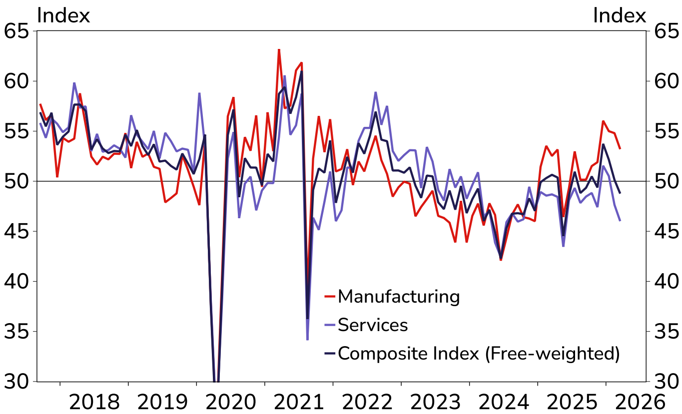
Oil shock begins to surface in data

Darren Gibbs
Senior Economist

The past week has delivered some further insight on the early impact of the Middle East conflict on the New Zealand economy. Unsurprisingly, that data points to some marked changes in spending patterns and clear upward pressure on prices for energy products. Even greater impacts are certain to be evident over coming months as the shock transmits through the economy.

On Monday, BusinessNZ reported that its Performance of Services Index had declined 1.6pts in March to a 10-month low of 46.0. All five subindexes fell below 50, with the activity/sales index falling to 44.6 and the new orders/business index falling to 45.7. The employment index also fell to the lowest level since October 2024. Separately, MBIE reported a modest decline in job ads in March. However, for now, the level of advertising remains more than 10% higher than a year earlier, and we are also yet to see any sign of labour shedding in the weekly filled jobs data collected from tax records. Meanwhile, more than two-thirds of the comments submitted by respondents to the BusinessNZ survey were said to be negative, with many – especially in industries dealing with discretionary spending – unsurprisingly citing the impacts of the Middle East crisis.

BusinessNZ PMIs

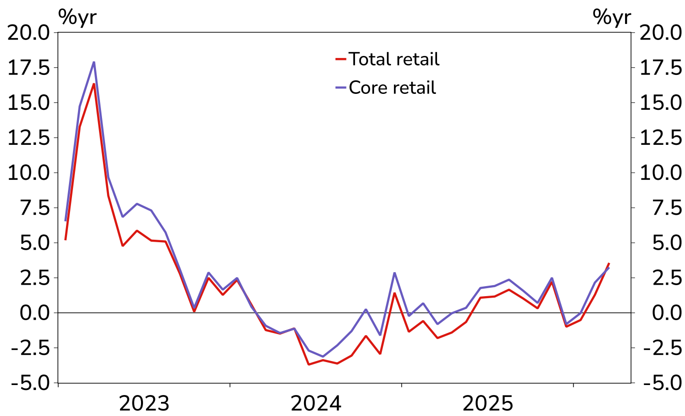


Source: BusinessNZ, Stats NZ, Macrobond, Westpac Economics

Later in the week [news from the retail sector](#) provided no major surprises. Consumer spending, as measured by electronic card payments, increased 0.7%m/m in March. Unsurprisingly, with petrol prices surging almost 19% during the month, spending on fuel increased over 17%. By contrast, core spending – which excludes spending on fuel and vehicles – fell a modest 0.1%m/m. Within the core measure, while spending on consumables (groceries) and durables grew, this was more than offset by a decline in spending on apparel and hospitality. These data were broadly in line with the trends that were evident in [Westpac's own card spending data](#), which we had published earlier in the week.

Given the outcome for March, retail spending over the March quarter grew 1.0%. This was the strongest quarter since the December 2024 quarter, consistent with our view that the economy's forward momentum had improved at the start of this year. But looking ahead, high fuel prices will continue to siphon money out of households' pockets. At the same time, they will add to costs of production for a variety of other goods and services and will continue to significantly undermine consumer confidence. Overtime, these costs will also weigh on the strong growth in tourist arrivals that has helped retailers to weather a time of relatively subdued domestic spending. We continue to anticipate that consumer spending volumes will decline slightly in the current quarter, even as the value of spending is sustained by higher prices.

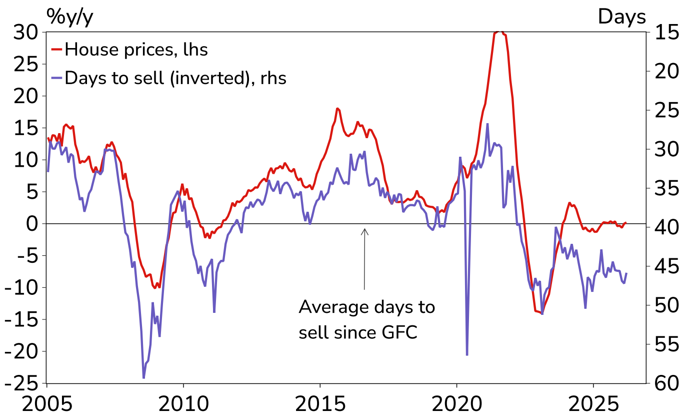
Electronic card spending in retail stores



Source: Stats NZ, Macrobond, Westpac Economics

[News from the housing market](#) also provided no major surprises. Sales were down around 4% in March, reversing a 5% rise in February, and have been effectively moving sideways over the last year. The average time to sell shortened compared to February but has also remained within a narrow range and remains longer than usual. The REINZ house price index ticked up slightly in March following a 0.6% rise in February. Prices have now largely reversed the declines that we saw over the second half of 2025 and were up 0.2% from a year earlier. Conditions vary across the country, with prices trending higher in the South Island while the North Island has been more stagnant. Of course, the Middle East conflict has cast a fresh shadow of uncertainty over the economic outlook. It was unlikely that we would see an impact on the housing market as early as March, but in the months ahead we'll be watching for signs of a softening that would support our current forecast of a 1% fall in prices over this year. (Anecdotal evidence suggests greater caution amongst buyers in recent weeks.)

House prices and days to sell

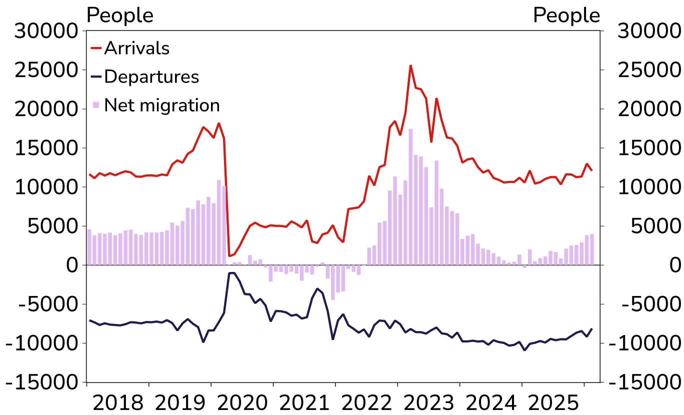


Source: REINZ, Macrobond, Westpac Economics

Another sector that is likely to be challenged by the Middle East conflict is the tourism industry. Increased prices for flights and sharply lower consumer confidence are likely to be weighing on forward bookings, especially from long-haul countries, and this should become evident as the year progresses. However, the recent trend has been very favourable, with arrivals in February increasing for an eighth consecutive month. A notable feature of the latest data was a further improvement in arrivals from China, which until recently had continued to track far below pre-pandemic levels. Thanks to the timing of the Lunar New Year, arrivals from China was more than triple that seen in February last year. But taking the January/February period as one to remove the impact of the floating holiday timing, arrivals were still up more than 50% and just 5% below the level seen in 2019. Helpfully, this comes at a time when there appears to be some slowing in arrivals from some other markets, notably the US and South Korea.

The inflow of longer-term arrivals – new residents and those on working, educational and other visas – has also shown some signs of lifting of late. Keeping in mind that more recent observations are subject to revision, the number of migrant arrivals in February was estimated to be around 2,000 greater than the low point seen in August last year whilst the number of departures was around 3,000 less than last January's highpoint. The net inflow of 3,600 was the largest since March 2024 and the inflow for the year to February – just over 25,000 – was over 7,000 more than the preceding year. At least in part the strengthening trend is further evidence of the improved economic conditions that were developing in New Zealand prior to the Middle East conflict. Changes to visa policy have liked also contributed to the pickup in inflows.

Monthly migration flows, seasonally adjusted



Source: Stats NZ, Macrobond, Westpac Economics

Finally, the release of the Selected Prices Indexes for March has allowed us to finalise our forecast for next week's March quarter CPI report. As expected, the price of petrol increased 19% in March and the price of diesel surged 42%. However, food and some other travel-related prices such as airfares came in slightly weaker than expected. As a result, we have revised down our forecast for the CPI to 0.7%, which would see annual inflation ease back to 2.8% from 3.1% in the December quarter. Higher prices for food and petrol should make the most significant contributions, although tradable prices overall are expected to rise just 0.2% over the quarter and 2.1% over the year. Non-tradables prices are forecast to increase 0.8% over the quarter, lowering annual inflation to 3.3%. Meanwhile measures of core inflation, such as the trimmed mean and the ex-fuel and energy CPI, are expected to remain in the top half of the RBNZ's target range.

Our forecast is a little lower than the updated 3.0% forecast released by the RBNZ at its 8 April Monetary Policy Review. Assuming the CPI prints close to our expectations, the RBNZ will only take modest comfort given what lies ahead. The impact of the oil shock will become more evident when the June quarter CPI is released in July, and perhaps earlier in the monthly Selected Prices Indexes that will be released prior to the CPI. We currently estimate that annual CPI inflation will rise to 4.3% in the June quarter, although much will depend on how petrol prices evolve over coming weeks.

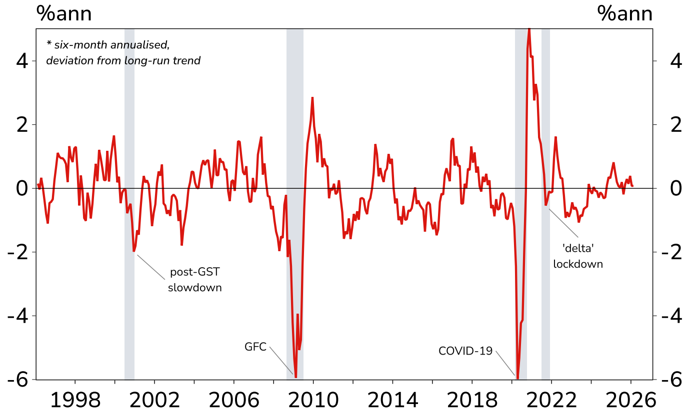
AUS: Mar Westpac-MI Leading Index

Apr 22, Last: +0.08%

The Leading Index growth rate held at +0.08% in February, unchanged from January but down from more firmly positive reads late last year.

The March read will again see a very mixed bag of component updates. The global energy shock has hit sentiment measures and financial markets hard. Both the Westpac-MI Consumer Expectations Index and the Westpac-MI Unemployment Expectations Index deteriorated by 10% in the latest month, the S&P/ASX200 dropping 7.8% month to month and the yield spread narrowing further. However, commodity prices firmed (up 2.1% in AUD terms) and total hours worked rose 0.5% while dwelling approvals posted a big 30% rebound from very weak reads in Dec-Jan. The net effect is hard to judge but may be more neutral than weak.

Westpac-MI Leading Index



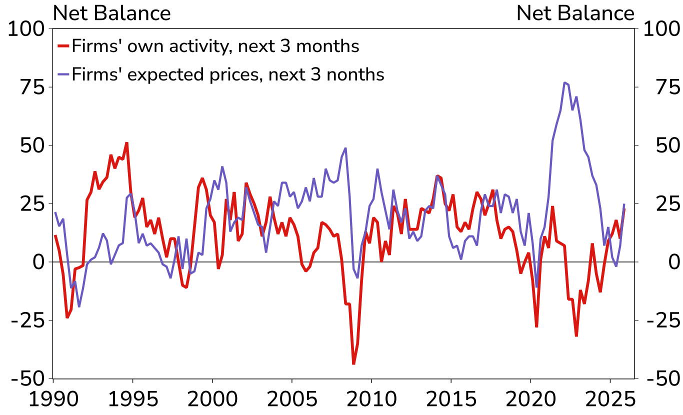
Source: Westpac-MI, Macrobond

NZ: Q1 NZIER Survey of Business Opinion (index)

Apr 21, General business confidence last: 39.5

The December quarter QSBO showed a more upbeat attitude among businesses than we've seen for some time, with both actual and expected activity picking up, and demand for workers responding accordingly. The March quarter survey will be a different matter though, coming in the wake of the Iran war, and later responses are likely to be significantly more downbeat than earlier ones. The pricing measures of the survey will show the hit from the surge in fuel costs, but more important will be firms' willingness to pass this on into their own prices. This particular measure seems to have been instrumental in kicking off both tightening and easing phases by the RBNZ in recent years.

Quarterly Survey of Business Opinion



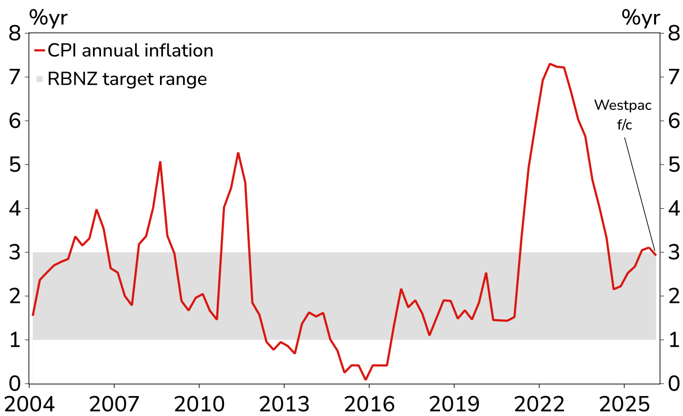
Source: NZIER, Stats NZ, Macrobond, Westpac Economics

NZ: Q1 Consumer Prices (%)

Apr 21, Quarterly last: 0.6, Westpac f/c: 0.7
Annual last: 3.1, Westpac f/c: 2.8, RBNZ f/c: 3.0

We estimate that New Zealand consumer prices rose by 0.7% in the March quarter, underpinned by higher prices for food and petrol. The annual inflation rate is expected to dip from 3.1% to 2.8%, slightly below the RBNZ's forecast of 3.0% (updated at its April Monetary Policy Review). Under the surface, core inflation is expected to remain at firm levels. While the annual inflation rate is set to soften a little in March, this will be just a temporary reprieve. Inflation is set to rise sharply through the middle part of the year in response to the recent rise in oil prices and related increases in other costs. We expect inflation will rise to around 4.3% mid-year.

Inflation at top of the range before Iran war



Source: Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Mar	Trade Balance	$mn	–257	–	388	Higher fuel prices will likely weigh in April.
Tue 21							
NZ	Q1	NZIER Survey of Business Opinion	index	39.5	–	–	Early indicator of business activity, pricing pressures.
	Q1	CPI	%qtr	0.6	0.8	0.7	Boost from food and fuel prices.
	Q1	CPI	%ann	3.1	2.9	2.8	Temporary easing, set to rise sharply mid-year.
Eur	Apr	ZEW Survey Of Expectations	index	–8.5	–	–	Middle East undoubtedly weighing on investor confidence.
UK	Feb	ILO Unemployment Rate	%	5.2	5.2	–	Labour market already weakening before Middle East shock.
US	Mar	Retail Sales	%mth	0.6	1.3	–	Evaporating confidence keeps consumer on weaker footing.
	Feb	Business Inventories	%mth	–0.1	0.3	–	Inventory restocking slowing amid shaky consumer outlook.
	Mar	Pending Home Sales	%mth	1.8	0.8	–	Early guide to established home sales, which is low and stable..
Wed 22							
Aus	Mar	Westpac–MI Leading Index	%ann'd	0.08	–	–	Interest rate hikes and Middle East impacts soon to be felt.
Eur	Apr	Consumer Confidence	index	–16.3	–17.3	–	Sunk to a two-and-a-half year low on Middle East crisis.
		ECB President Lagarde	–	–	–	–	Speaking on global challenges at LSE, 3:30am AEST.
UK	Mar	CPI	%ann	3.0	3.3	–	Set to pop materially higher on oil; focus on core.
Thu 23							
Jpn	Apr	S&P Global Manufacturing PMI	index	51.6	–	–	Expanding at a slower rate, uncertainty starting to weigh ...
	Apr	S&P Global Services PMI	index	53.4	–	–	... services activity is otherwise robust, providing some offset.
Eur	Apr	S&P Global Manufacturing PMI	index	51.6	50.1	–	Uptrend in manufacturing at risk of being arrested ...
	Apr	S&P Global Services PMI	index	50.2	49.5	–	... health of consumer will be key for services.
UK	Apr	S&P Global Manufacturing PMI	index	51.0	49.8	–	UK on more uneven footing, with mfg growth modest ...
	Apr	S&P Global Services PMI	index	50.5	50.0	–	... and services activity slowing toward break-even.
US	Mar	Chicago Fed Activity	index	–0.11	–	–	Likely to suggest below-trend growth for time being.
		Initial Jobless Claims	000s	207	210	–	Still quite low, not indicative of widespread firing.
	Apr	S&P Global Manufacturing PMI	index	52.3	52.8	–	Industry on a solid footing, similar to the ISM, but ...
	Apr	S&P Global Services PMI	index	49.8	50.0	–	... a weaker consumer does not bode well for services.
	Apr	Kansas City Fed Manufacturing	index	11	–	–	Performing relatively well compared to other regions.
Fri 24							
Jpn	Mar	CPI	%ann	1.3	1.4	–	Ueda strikes a cautious tone, monitor data before reacting.
Ger	Apr	IFO Business Climate Survey	index	86.4	86.6	–	Will souring expectations bleed into current situation view?
UK	Apr	GfK Consumer Sentiment	index	–21	–25	–	Confidence weakening but not unravelling frantically.
	Mar	Retail Sales	%mth	–0.4	–0.3	–	Watch core sales (ex fuel) for early signs of pressure.
US	Apr	Uni. Of Michigan Sentiment	index	47.6	48.3	–	Final estimate will provide full read on US-Iran reaction.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	36	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (17 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.11	158	156	154	152	150	148	146	144	142
EUR/USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	–	–	–	–
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.7	1.9	1.0	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	2.2	3.1	3.9	1.7

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

17 APRIL 2026

WESTPAC-DATAX CARD TRACKER

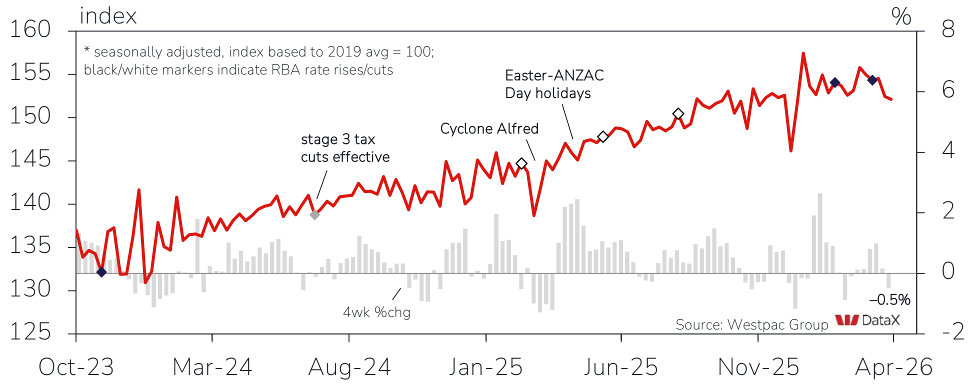
Powered by DataX

Card activity points to continued slowing in non-fuel spend

- The **Westpac-DataX Card Tracker Index*** declined 2.2pts over the three weeks to April 11, reflecting a mix of factors including the fuel excise tax cut, some easing in the pull-forward of fuel purchases and a continued moderation in non-fuel segments.
- Quarterly momentum remains subdued, card activity up 1.2% over the March quarter, tracking at a similar 1.1% pace as at mid-April. That is a material slowing on the 2% average seen over the June, September and December quarters last year. Notably, non-fuel spend is tracking a more subdued 0.7-0.9%qtr pace.
- Monthly growth has been very choppy, the fuel price spike and lift in volumes driving a 1.9% gain in the March month but the temporary halving in fuel excise tax contributing to a pull back in the first two weeks of April, the latest week tracking a monthly decline of 0.5%. Non fuel activity rose 0.5% in the March month but is tracking a monthly contraction of 1.1% as at mid-April.
- While the card data is adjusted for regular seasonal patterns, including Easter, some of the softness in April may be a residual holiday-related drag.
- The softening in non-fuel card activity continues to mainly centre on international spend (some of which may be due to cancelled overseas travel) and discretionary services (particularly accommodation and recreational services) but is starting to become more apparent in discretionary goods as well, particularly housing-related categories.
- The slowing continues to be broad-based, reflecting the common drivers of around both fuel and non fuel spend.
- Overall, the 1.2%qtr rise in card activity in the March quarter is likely to be flat or down slightly once adjusted for price effects. The Q1 CPI, due April 29, will give a better sense of how activity has tracked in real, inflation-adjusted terms. Note that the total spending measures in the Q1 national accounts (due June 3) will be somewhat firmer due to effects from the roll-off electricity rebates.

"Non-fuel activity ... tracking a monthly contraction of 1.1% as at mid-April."

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.
Matthew Hassan, Head of Australian Macro-Forecasting
Email: economics@westpac.com.au
This issue was finalised on 17 April 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

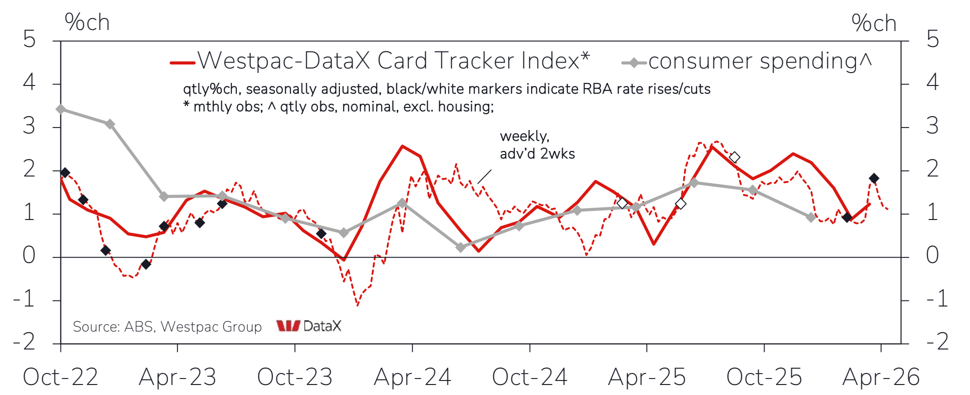
Quarterly momentum slows amid volatile monthly swings

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a clear moderation since November, coming in at 1.2% for the March quarter, the latest week tracking a slightly softer 1.1% quarterly pace. The same growth rates excluding fuel are 0.9%qtr and 0.7%qtr respectively.
- Monthly activity been very choppy through March-April reflecting both fuel price effects (an initial surge then partial retracement following the temporary halving in fuel excise tax that came into effect in April) and volume effects (a surge in demand as buyers tried to secure fuel ahead of price rises and possible shortages). Non-fuel activity posted a 0.5% rise in the March month but is tracking a 1.1% monthly contraction as at mid-April.
- Official ABS data has yet to capture these effects. The latest available monthly household spending indicator is for the month of February (see here) with the March update due to be released on May 5. This is likely to show a 2%+ rise driven by fuel. The March quarter national accounts estimates of total spending are due on June 3.

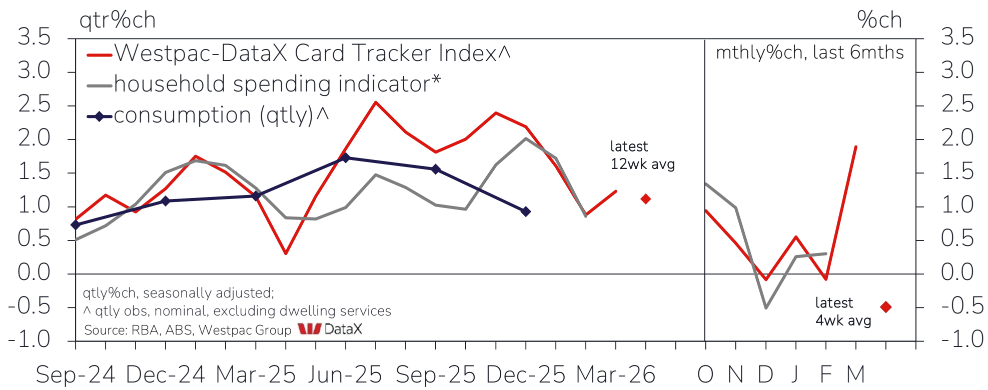
qtly%ch	Q3	Q4	Q1	latest^
Westpac–DataX Card Tracker	**1.8**	**2.2**	**1.2**	**1.1**
ABS monthly household spending indicator*				
Nominal	1.0	2.0	n.a.	n.a.
Real*	0.1	0.9	n.a.	n.a.
ABS consumer spending (qtly)#				
Nominal	1.6	0.9	n.a.	n.a.
Real	0.6	0.2	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs. Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



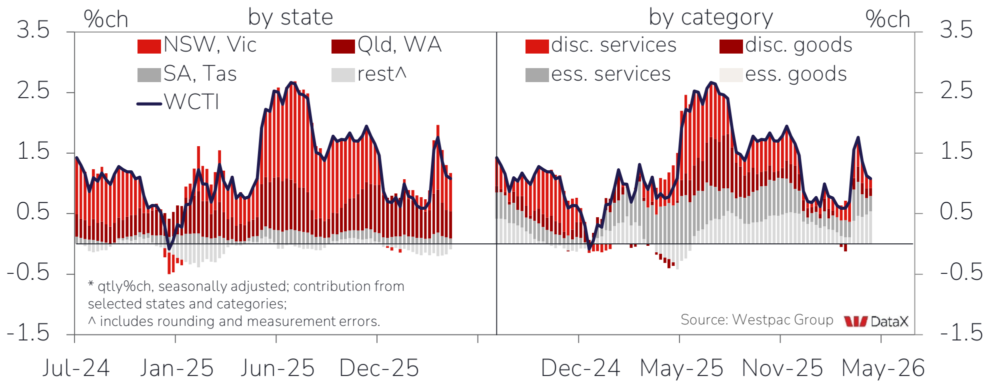
Fuel surge continues, most other segments weakening

- Chart 4 shows the category and state contributions to quarterly growth in domestic card activity week-to-week (i.e. excluding international transactions). Charts showing more detailed category breakdowns and other aspects of the card data are presented on p7-8.
- By major category, the slower quarterly growth pulse since March has centred on discretionary services with discretionary goods and essential services also moderating. Within discretionary goods the main slowdown has been in housing-related segments such as furnishings and household appliances, with recreational goods holding firmer (all figures are adjusted for regular seasonal patterns).
- By state, quarterly growth is tracking a slightly slower pace in SA (+0.8%qtr) but is firmer in Tas (+2%qtr) and WA (1.9%qtr).
- Chart 5 shows quarterly growth in card spending broken into four groups: fuel, hospitality, other domestic and international. Markers show the quarterly pace based on the last four weeks. Fuel spend continues to lift, the latest week up 4.6%qtr. Across other categories, international transactions are up 1.7%qtr, the pacing moderating sharply since early February. Hospitality and other domestic activity are tracking a more subdued 0.6-0.7%qtr pace, essentially stalling flat over the last four weeks.

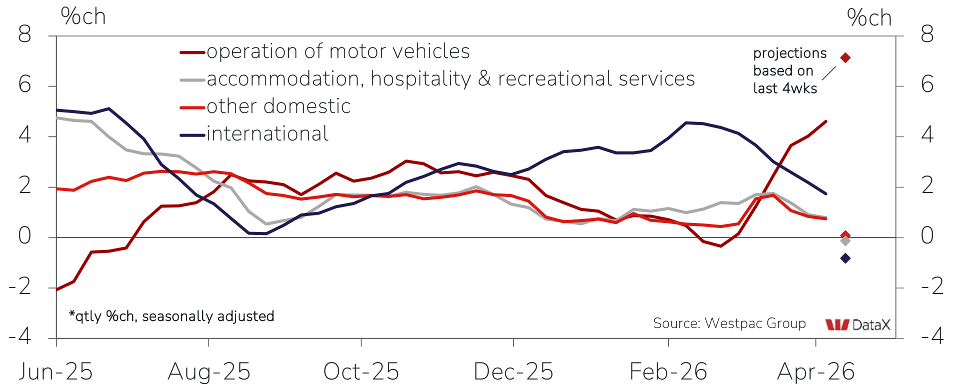
	Jan	Feb	Mar	11/4
Westpac–DataX Card Tracker	**154.4**	**154.2**	**157.2**	**152.1**
By category				
– discretionary*	156.0	155.5	156.4	152.0
– essential*	149.5	150.0	155.6	150.7
By state				
– NSW	148.7	148.2	150.9	145.5
– Vic	145.3	146.1	148.2	142.9
– Qld	169.7	165.2	172.9	166.6
– WA	169.8	171.1	173.0	172.1
– SA	161.6	159.9	164.9	157.8

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity: contribution by state, broad category



5. Card activity: fuel, hospitality, international vs rest

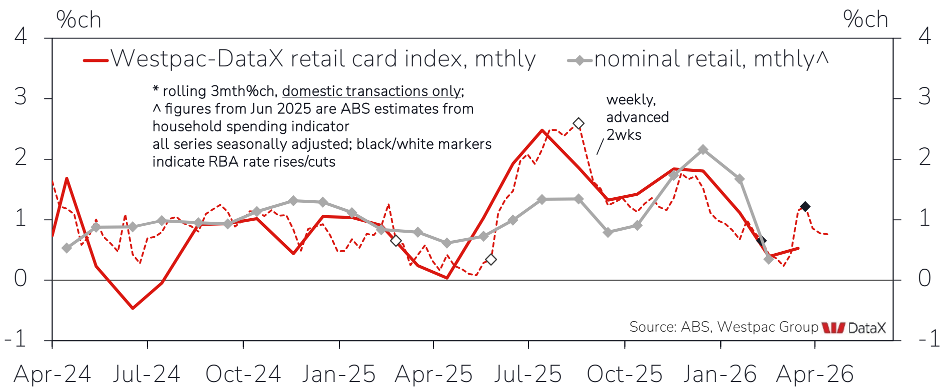


Retail a touch softer, basic food in particular

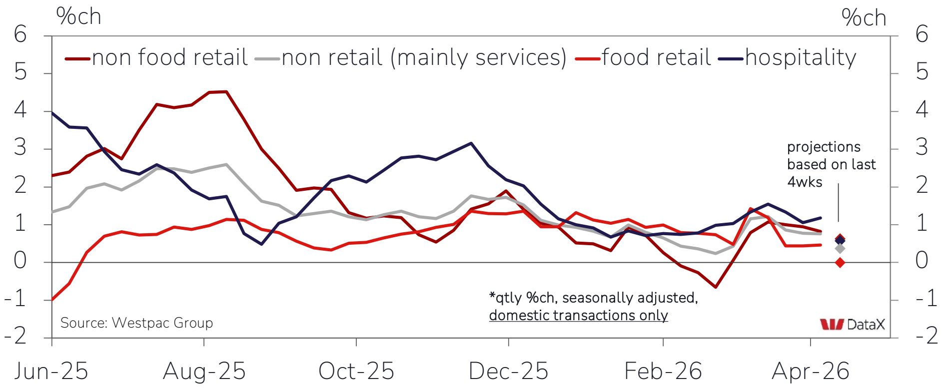
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both the MHSI and retail card indexes have seen quarterly growth momentum moderate over the last three weeks in line with the lift in total card activity. However growth in both is a touch softer, the MHSI card index running at 0.9%qtr, 5.9%yr while the retail card index is growing at 0.8%qtr, 5.5%yr. Both reflect the fact that fuel is not included.
- The sub-category split shows little change in relative performances, hospitality (+1.2%qtr) slightly outperforming non food retail (0.8%qtr) and food retail lagging (+0.5%qtr). The latest four weeks show a further drop with food stalling about flat, although, as with total activity, there may be some residual effects from the timing of Easter.
- Non-retail card activity (including fuel) is tracking at a slightly firmer 0.8%qtr although here will be a mix of strong fuel and weak services spend in this component (fuel is not in-scope for retail measures).

	Jan	Feb	Mar	11/4
MHSI card index	**150.6**	**150.4**	**153.7**	**149.3**
– qtly%ch	1.3	0.5	1.0	0.9
– qtly, ann%ch	5.4	5.5	6.3	5.9
ABS MHSI				
– %ch	0.3	0.3	n.a.	n.a.
– qtly%ch	1.7	0.9	n.a.	n.a.
– qtly ann%ch	5.0	4.8	n.a.	n.a.
Retail card index	**151.0**	**150.5**	**152.1**	**149.8**
– qtly%ch	1.1	0.4	0.5	0.8
– qtly, ann%ch	5.1	5.2	5.7	5.5
ABS retail sales*				
– %ch	0.5	0.4	n.a.	n.a.
– qtly%ch	1.7	0.3	n.a.	n.a.
– qtly ann%ch	4.6	4.2	n.a.	n.a.

6. Card activity: retail



7. Card activity: broad retail and non-retail groups

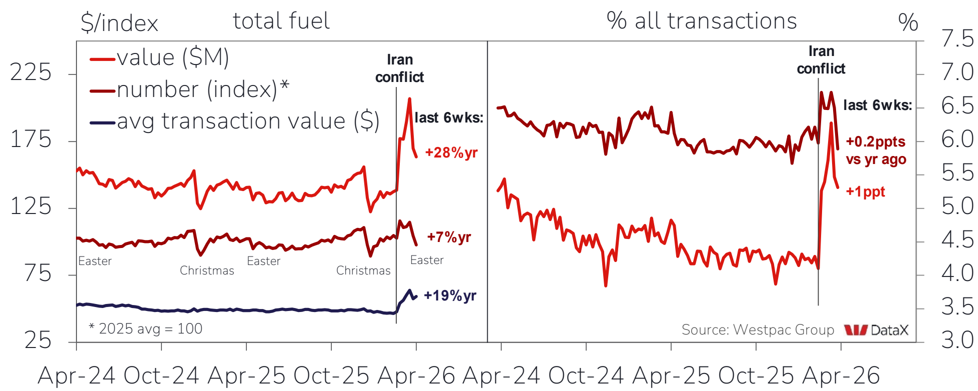


Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

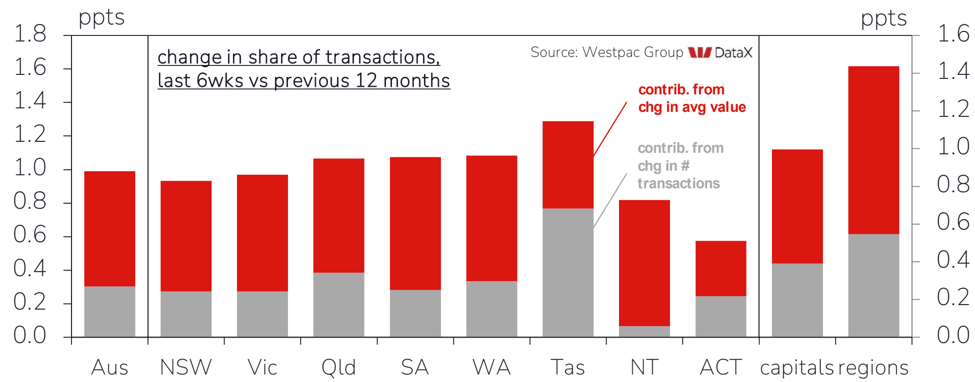
Middle East energy shock: update

- The energy shock continues to have significant impacts on card activity in fuel and related categories.
- Chart 8 shows card activity across a sub-set of the 'operation of motor vehicles' category referred to elsewhere in this report, that is more specifically capturing activity across petrol stations. The left panel tracks the total value of transactions, the number of transactions and the implied average value. Note that the average value will broadly track pump prices but is also affected by shifts in average litres purchases, the fuel mix (diesel vs petrol) and non-fuel purchases.
- Since our last update, the total value of fuel card transactions initially moved higher before falling sharply in the first two weeks of April.
- That fall reflects three factors: 1) the temporary halving of fuel excise tax from April 1 which contributed to a 9.8% drop in average transaction values; 2) some easing in the pull forward surge in fuel purchases evident through March; and 3) the impact of Easter holidays in early April (a holiday related variation in transaction numbers is clearly evident in previous years).
- Even with these variations, the average value of transactions over the last six weeks is up 28% on a year ago, with 7% of the variation due to an increase in the number of transactions and the remaining 19% due to an increase in average transaction value.
- As a share of total card activity, fuel has been 1ppt higher over the last six weeks compared to a year ago, with 0.2ppts of this due to the higher share of the total number of transactions.
- Chart 9 shows how the change in the share of all transactions compares across states and between capital cities and regional areas.
- Across the major states, the shift has been a little less pronounced in NSW and Vic, and a little more so in Qld, SA and WA. Variations have been larger across smaller states with a notably bigger increase in Tas but smaller rises in NT and ACT (lower coverage may be an issue for these jurisdictions). More strikingly, regional areas continue to see a bigger increase, in the order of 1.4ppts. This reflects a variety of factors including more material supply issues and higher fuel spend due to longer travel distances which may be requiring more cut backs on non fuel transactions.

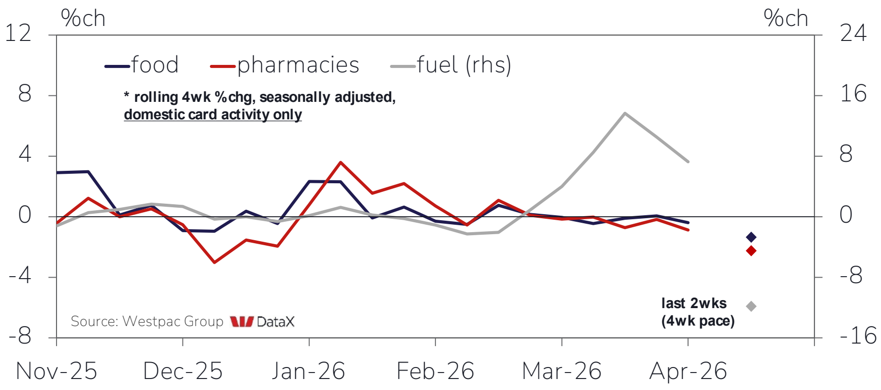
8. Card activity: fuel



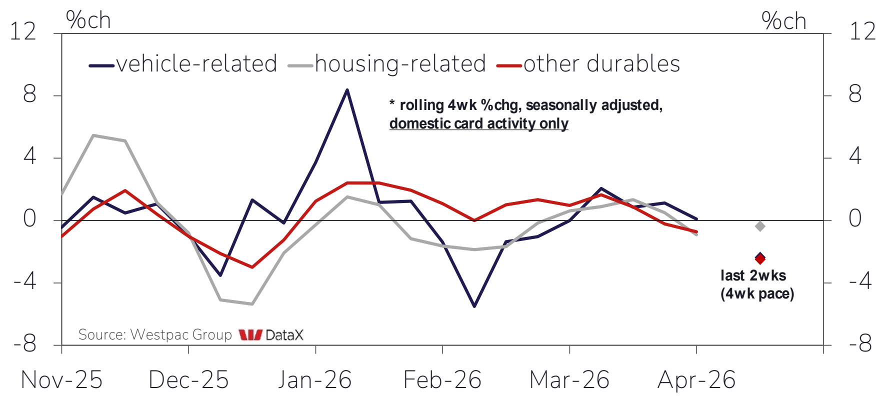
9. Card activity: fuel by state



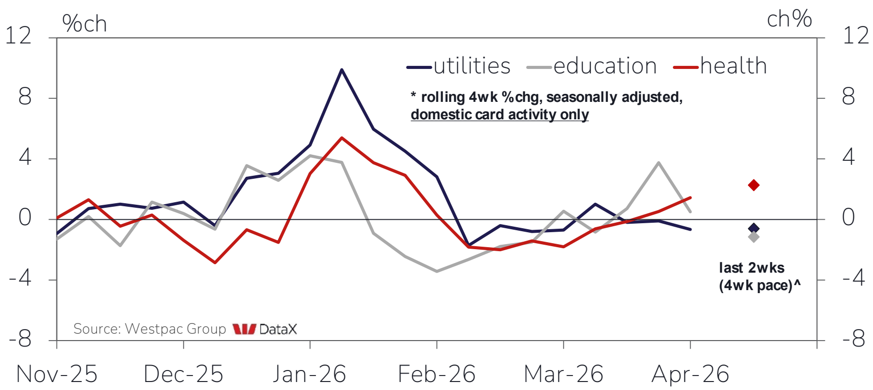
12. Card activity: essential goods



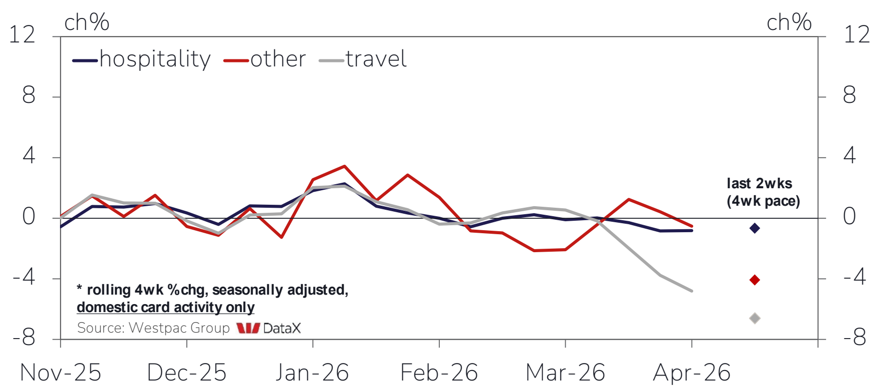
13. Card activity: discretionary goods



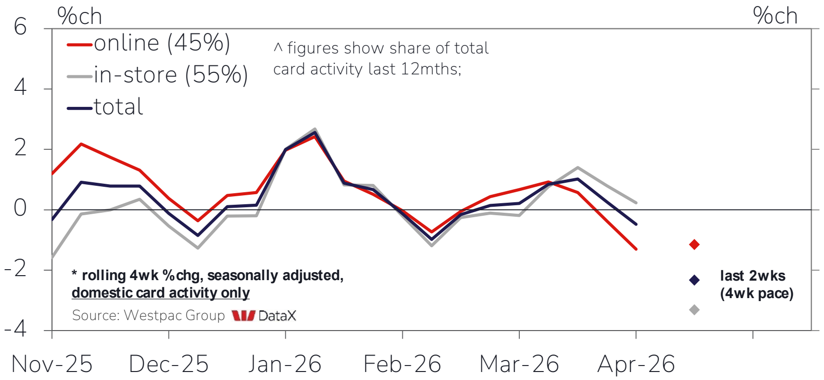
14. Card activity: essential services



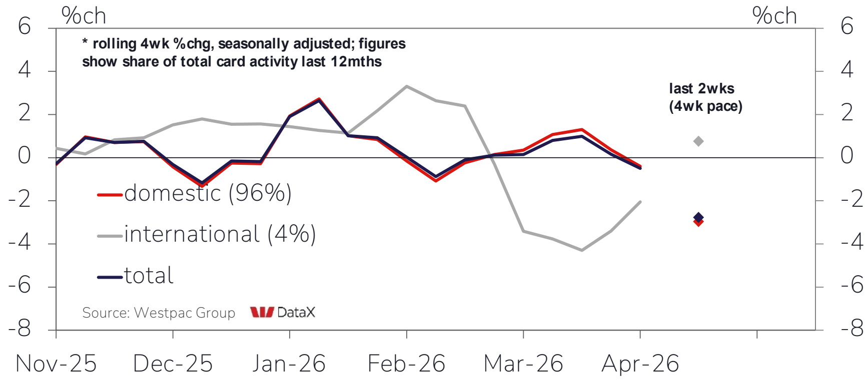
15. Card activity: discretionary services



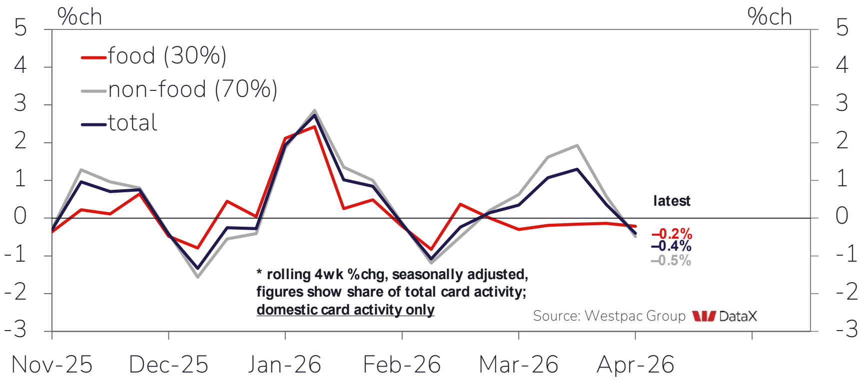
16. Card activity: online and in-store



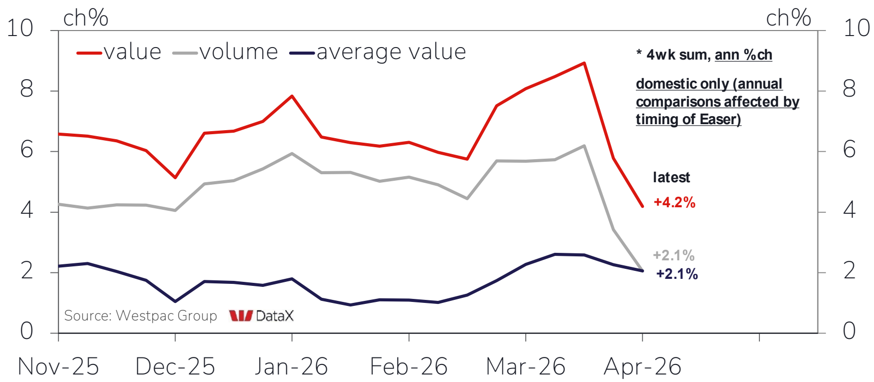
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

WESTPAC CARD INDICATORS*

	2024			2025				2026				week ending:			
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	21/3	28/3	4/4	11/4
Westpac–DataX Card Tracker Index	**140.1**	**141.3**	**143.1**	**144.7**	**147.4**	**150.1**	**153.4**	**155.3**	**154.4**	**154.2**	**157.2**	**154.3**	**154.5**	**152.4**	**152.1**
qtly%ch	0.6	0.8	1.3	1.1	1.9	1.8	2.2	1.2	1.6	0.9	1.2	1.8	1.4	1.2	1.1
qtly, ann%ch	4.2	4.0	5.4	3.9	5.2	6.2	7.2	7.3	6.6	6.7	7.3	7.4	7.3	7.2	6.9
By category															
– discretionary^	141.6	143.2	145.7	146.0	149.1	151.6	155.2	156.0	156.0	155.5	156.4	155.2	153.1	152.6	152.0
– essential^	137.6	138.1	138.7	141.4	143.3	146.1	148.5	151.7	149.5	150.0	155.6	152.3	154.6	150.6	150.7
services	145.6	147.8	150.4	153.1	156.5	160.0	164.1	166.3	165.9	166.5	166.4	164.6	162.4	161.4	162.2
– discretionary services^	148.2	151.1	154.3	155.0	158.9	161.3	166.1	166.9	167.1	167.1	166.5	165.9	162.7	161.9	163.0
– essential services^	141.9	143.0	144.8	150.4	153.0	158.1	161.3	165.3	164.1	165.6	166.2	162.7	161.9	160.8	161.1
goods	134.8	134.9	135.6	136.0	137.8	139.6	141.8	143.6	142.0	141.4	147.4	144.8	146.7	143.5	142.4
– discretionary goods	134.3	134.5	136.3	136.3	138.4	140.9	143.3	144.1	143.9	142.8	145.4	143.4	142.6	142.5	140.1
– essential goods	135.1	135.1	135.0	135.7	137.3	138.5	140.5	143.2	140.4	140.2	149.0	146.0	150.1	144.2	144.4
MHSI card index*	139.2	140.2	141.8	142.5	145.1	147.2	150.1	151.6	150.6	150.4	153.7	152.1	152.0	149.8	149.3
qtly%ch	0.2	0.7	1.1	0.5	1.8	1.5	1.9	1.0	1.3	0.5	1.0	1.5	1.2	1.0	0.9
qtly, ann%ch	3.6	3.4	4.7	2.6	4.2	5.0	5.8	6.3	5.4	5.5	6.3	6.2	6.2	6.1	5.9
retail card index*	139.9	141.2	142.7	143.1	145.8	147.7	150.4	151.2	151.0	150.5	152.1	150.8	151.3	150.5	149.8
qtly%ch	-0.5	0.9	1.1	0.2	1.9	1.3	1.8	0.5	1.1	0.4	0.5	1.2	0.9	0.8	0.8
qtly, ann%ch	2.6	2.9	4.1	1.8	4.2	4.6	5.4	5.7	5.1	5.2	5.7	5.8	5.8	5.7	5.5
By state															
– NSW	135.5	136.4	138.0	140.1	142.4	143.7	147.9	149.3	148.7	148.2	150.9	148.8	149.9	147.1	145.5
– Vic	134.7	135.3	136.9	138.6	140.0	142.4	144.8	146.5	145.3	146.1	148.2	146.7	145.8	144.1	142.9
– Qld	148.2	151.0	153.9	155.2	158.1	162.2	168.7	169.3	169.7	165.2	172.9	168.7	168.7	168.4	166.6
– WA	148.8	151.4	154.1	157.1	159.8	163.4	168.2	171.3	169.8	171.1	173.0	172.0	172.0	170.1	172.1
– SA	146.9	147.8	150.2	151.8	154.2	157.0	160.8	162.1	161.6	159.9	164.9	163.0	163.1	160.5	157.8

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.
^ indexes revised due to re–classification.

Sources: ABS, Westpac Group

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

Corporate directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.co.nz

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied of distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you

Disclaimer continues overleaf ▶

should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Week beginning 13 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: On hoping you'll be wrong.

The Week That Was: Ceasefire optimism to be tested.

Focus on New Zealand: A hawkish RBNZ is prepared to act decisively.

For the week ahead:

Australia: Unemployment rate, employment change, Westpac-MI consumer sentiment, Westpac-Now.

New Zealand: Retail card spending, selected price indices, REINZ house sales and prices, net migration.

Japan: Industrial production.

China: GDP, fixed asset investment, industrial production, retail sales.

Euro area: HICP inflation, trade balance, industrial production.

UK: Monthly GDP.

United States: PPI, Federal Reserve's Biege Book, industrial production, existing home sales.

Information contained in this report current as at 10 April 2026.

On hoping you'll be wrong

Luci Ellis
Chief Economist, Westpac Group

- **The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.**
- **The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.**
- **The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.**

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in its oil output was estimated to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current estimates are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news reports suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

> **"Forecasts are an assessment of the most likely outcome, not the preferred one."**

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the "risks on both sides" we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March *Market Outlook*. A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While 'temporary fuel levies' are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

Cliff Notes: ceasefire optimism to be tested

Elliot Clarke, Head of International Economics
Mantas Vanagas, Senior Economist
Ryan Wells, Economist

Ahead of the worst of the current conflict, the ABS' household spending indicator gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the cost shock already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, in the fulness of time, pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, the RBNZ maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the Atlanta Fed's GDPNow nowcast. This is before the sentiment and cost of living shock emanating from the Middle East is felt.

> **"pricing responses and time delays... could prove as, or more, significant than the energy market dynamics"**

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the latest meeting minutes indicate "a vast majority of participants" see "risks to the employment side of the mandate... [as] skewed to the downside", the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

A hawkish RBNZ is prepared to act decisively

Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war waxed and waned over the week as markets wavered between the prospect of an end to a civilization (as mooted by President Trump) and the alternative of world peace in our time. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. This week the RBNZ channelled these themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a hawkish hold. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

The Iran war and its impacts on New Zealand remained front and centre this week. It's very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And this week we saw the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

The early part of the week was dominated by Trump's Tuesday deadline to Iran to reopen the Straits of Hormuz to traffic or suffer devastating attacks on civilian infrastructure. Fortunately (and as frankly had seemed most likely) cooler heads prevailed, with a hastily arranged cease-fire "deal" announced that at the least allows for a couple of weeks of breathing space for further negotiations towards a permanent truce to occur. That at least is an advance on where we have been in the last six weeks, which had seen little evidence that discussions were even occurring between key players in Iran, Israel and the US. Initial negotiations will take place this weekend and reports concerning these will help determine the tone when markets reopen on Monday.

News of the ceasefire has seen a marked reduction in the risk premia evident in oil and refined products markets, resulting in a fall in prices. However, we think that the reality around the opposing parties' views on the "deal" means the prospect for a quick resolution of the situation looks low. As we stand today nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring. That said, news that Asian refineries are securing crude feedstock from elsewhere – notably the US – was welcome. This would appear to lower the near-term risk of interruption to fuel inflows into New Zealand. This provides breathing space for the government to work on additional storage options and to fine-tune plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary.

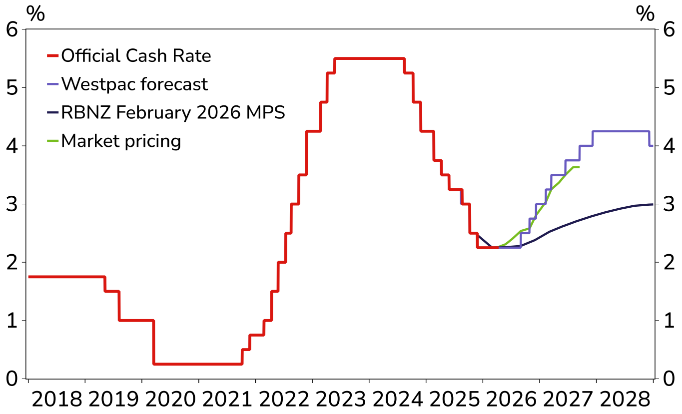
This week the RBNZ channelled the themes of uncertainty about the outlook, but also realism on just how long-lasting the impact of the war might have on the economy and inflation outlook. The tone of the RBNZ's commentary shifted from the relatively sanguine approach that Governor Breman had communicated a couple of weeks ago. We signalled in our OCR preview that such a shift could be in the offing as the broader MPC had a greater opportunity to weigh in. And it seems the MPC was presented some initial forecasts which showed a markedly higher inflation profile was in the offing.

The MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps in May or July; and a more dovish camp that's happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, as it was before the Iran war, the issue for the MPC is when, not if, to tighten.

One interesting titbit from the RBNZ's communications was the sense that coming into the war the economy was gathering momentum following a slightly disappointing December quarter. The RBNZ retains optimism that economic momentum won't be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, although understandably respondents expressed more concerns in the comments submitted with their responses. The ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was also resilient in March, although light traffic volumes declined, likely reflecting higher fuel prices. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started.

This more hawkish take from the MPC prompted us to bring forward when we expect OCR increases to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After then, the outlook is cloudier and we expect a slower approach where the OCR increases at Monetary Policy Statements only and the pace of tightening accordingly slows. We continue to believe that the same shape of the latter part of the interest rate cycle where the OCR rises above our assessment of neutral (which remains at 3.75%), peaking at 4.25% in December 2027 and remaining at 4.25% through 2028 before returning to 3.75% in 2029. Hence, we have brought forward our OCR profile by two meetings.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it's easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to starting the lift-off of the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking to the week ahead, there are several data releases to watch. On Monday, we'll get the March Business NZ PSI which will provide a snapshot of how the service sector has been tracking coming into the current period. Later in the week, we'll get updates on migration and house sales. The latter is likely to show that house price growth has remained muted, with abundant supply and upward pressure on borrowing costs keeping a lid on prices.

On Friday we'll get updates on both selected consumer prices and retail spending for March. Those releases will warrant close attention, with the impacts of the Middle East conflict likely to be evident. On retail spending, we're expecting a fuel-related rise in spending as prices rocketed higher over the month and many people rushed to fill their tanks ahead of further price increases. However, increased spending on essentials like fuel and groceries is weighing on spending in other areas such as hospitality. As a result, core (ex-fuel) spending is likely to be down. On the price front, March's Selected Prices update will show a sharp rise in fuel costs. The big question is how those costs are rippling through the economy more broadly. The full impact of those indirect fuel price rises won't be evident until later this year. However, we will see some early impacts, with airlines announcing large increases in domestic and international airfares during the month.

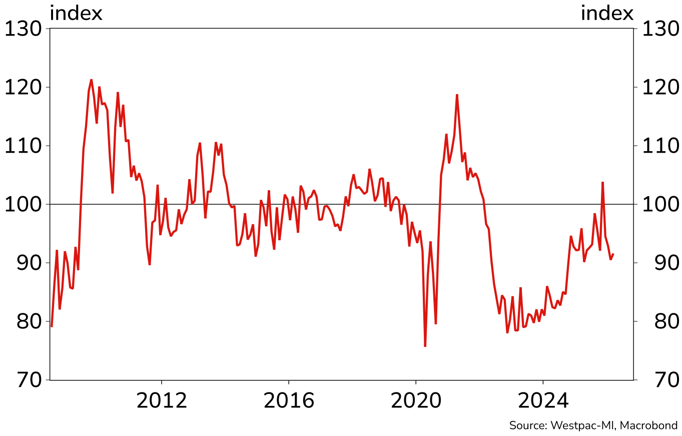
AUS: Apr Westpac-MI Consumer Sentiment (index)

Apr 14, Last: 91.6

Consumer sentiment edged 1.2% higher to 91.6 in March from 90.5 in February. The survey was conducted in the first week of the month, during the initial outbreak of conflict in the Middle East but prior to the RBA's 25bp rate hike in the third week of the month. While the survey as a whole showed a slight improvement, daily responses showed a material weakening over the course of the survey week with responses captured in the last three days of the week consistent with an index read of just 84.

The April survey is in the field over the week ending April 11. It will almost certainly show a decline with the Middle East conflict escalating (albeit with a ceasefire announced on April 8)and big spike in fuel prices (up +44c a litre vs last month). With last month's RBA rate hike and wider inflation fears also in the mix, sentiment looks primed for a sizeable fall.

Consumer Sentiment Index



AUS: Mar Labour Force – Employment Change (000s)

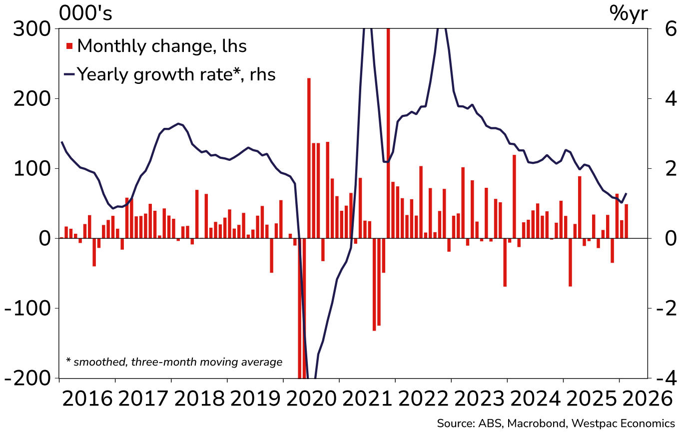
Apr 16, Last: 48.9, Westpac f/c: 25
Market f/c: 20.0, Range: 5.0 to 35.0

Feb's gain in employment was firmer than expected, but it was partly a result of a shift in seasonal patterns around marginally attached workers, resulting in softer Jan reads and stronger Feb reads for employment.

Having now moved past this seasonal dynamic, we have pencilled in a lift in employment of +25k for March – slightly firmer than the average gain over the preceding twelve months, reflecting the pre-conflict trend of firming employment growth.

The March survey was in the field from March 1 to 14. This will garner significant interest given it is the first official economic data release that overlaps the Middle East conflict. However, it is far too early to detect any meaningful shift in broad labour market conditions in response. See our preview [here](#).

Employment growth moving past its trough



AUS: Mar Labour Force – Unemployment Rate (%)

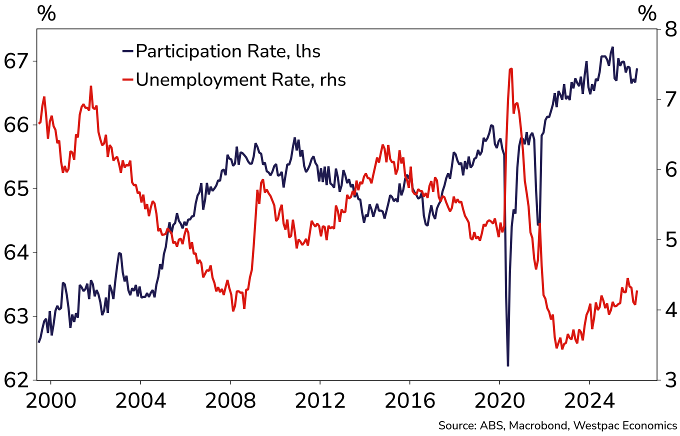
Apr 16, Last: 4.3, Westpac f/c: 4.2
Market f/c: 4.3, Range: 4.2 to 4.4

The unemployment rate lifted from 4.1% over Dec/Jan to 4.3% in Feb, taking it back to the levels seen through most of the second half of last year. The increase was mainly due to a lift in the participation rate, from 66.7% to 66.9%.

Lower prints for unemployment around in Dec/Jan came from lower labour force participation – while employment growth was weak, growth in the size of the labour force was even weaker, resulting in apparent 're-tightening'.

For March, we have pencilled in a slight dip in the participation rate to 66.8%, seeing the unemployment rate tick down to 4.2%. Looking further ahead, we think the unemployment rate will rise to 5% by year-end. See our preview [here](#).

Participation and unemployment rates lift

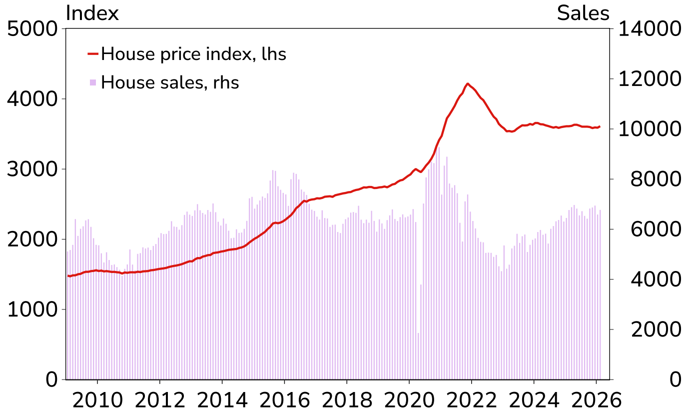


NZ: Mar REINZ House Sales and Prices (%yr)

Apr 15, Sales last: 0.3, Prices last: 0.0

February was a perkier month for the housing market, with a lift in the number of sales and a 0.6% seasonally adjusted rise in prices. However, neither measure has escaped from the generally sideways trend of the last year or so. Low mortgage rates are supporting demand, but the ample supply of homes on the market, low population growth and falling rents mean that there is a lack of pressure on house prices. The move higher in fixed-term mortgage rates in recent months has likely weighed on investor sentiment as well.

REINZ house sales and prices



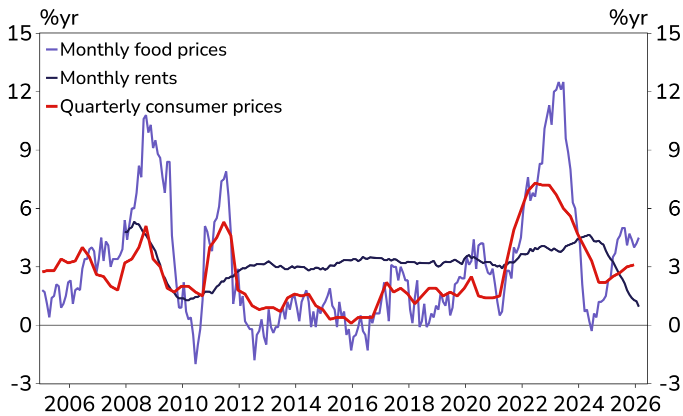
Source: REINZ, Macrobond, Westpac Economics

NZ: Mar Selected Prices (%mth)

Apr 17

The SPI covers around 50% of the full CPI (out 21 April) and will provide an early read on how the Middle East conflict has affected inflation pressures. Petrol prices are estimated to be up 20% over the past month with diesel prices up 50%. Importantly, those higher fuel prices have been flowing through to other prices. While the full impact of those indirect price rises won't be evident until later this year, March did see large increases in domestic and international airfares. There could be some related softness in other prices, like holiday accommodation, but that would only offset a small proportion of the other cost increases were seeing. On the housing front, we're expecting to see continued softness in rents.

NZ selected consumer prices



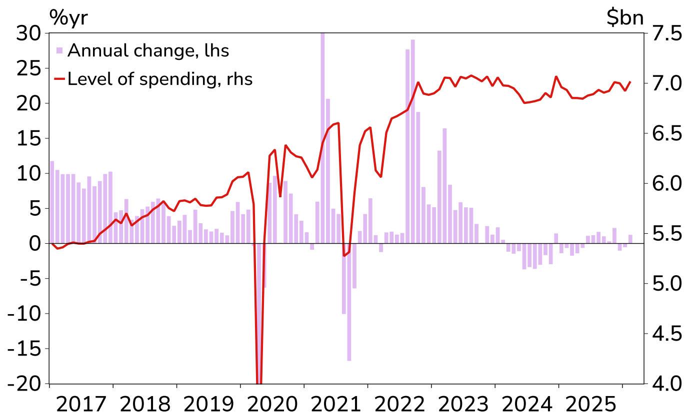
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Mar Retail Card Spending (%mth)

Apr 17, Last: 1.4, Westpac: 0.5

We're expecting a 0.5% rise in retail card spending in March. But underlying that is an ugly breakdown of spending across categories. Underpinning the expected rise in spending is the large increases in petrol and diesel prices over the past month as a result of the Middle East war. We also saw households rushing to fill tanks and keep them full. We're also expecting a pick-up in grocery food spending, in part due to concerns about shortages which saw some households stocking up. However, core spending (ex fuel) is likely to be down over the month, with higher fuel prices and increased spending on essentials likely to see households reining in their spending in discretionary areas. In particular, we expect a sharp fall in hospitality spending.

NZ retail card spending



Source: Stats NZ, Macrobond, Westpac Economics

China: Q1 GDP

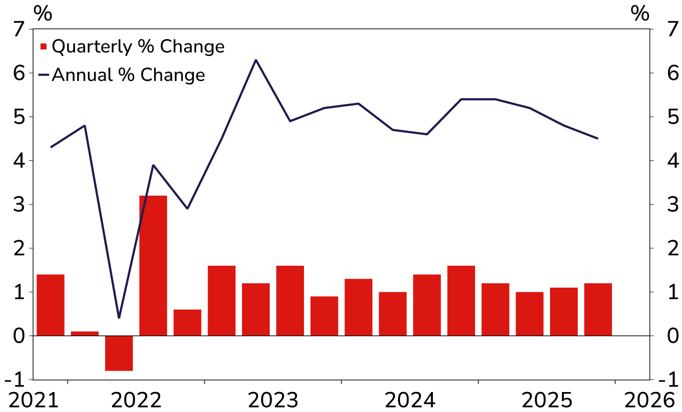
Apr 16, %y/y, Last: 4.5%, Mkt f/c: 4.8%, WBC f/c: 4.8%

China's authorities achieved their 5.0% growth ambition in 2025, albeit with an abnormally large contribution from net exports and despite persistent weakness in household demand. Given the scale of their trade surplus and China's dominant position in global manufacturing, such a feat will be very difficult to repeat in 2026 and beyond.

This year, growth is likely to be softer, closer to 4.5% than 5.0%, and will increasingly rely on the consumer and domestically-focused investment (housing and infrastructure) as trade provides support only at the margin.

In getting a read on growth opportunities in 2026, the monthly activity data to March will be as important as the GDP detail. This is true both for the baseline view and the risks.

2025 target achieved; 2026 at risk



Source: NBS, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13							
NZ	Mar	BusinessNZ PSI	index	48.0	–	–	Began the year on a contractionary heading.
Jpn		BoJ Governor Ueda	–	–	–	–	Speaking at Trust Companies Conference.
US	Mar	Existing Home Sales	%mth	1.7	0.1	–	Low turnover in established market reflects rate pressures.
Tue 14							
Aus		RBA Deputy Governor Hauser	–	–	–	–	Fireside chat at NYU, at 8:45am AEST.
	Apr	Westpac–MI Consumer Sentiment	index	91.6	–	–	Will capture the full reaction to US-Iran oil price shock.
	Mar	NAB Business Conditions	index	7	–	–	Conditions on shaky footing, confidence evaporating.
NZ	Feb	Net Migration	no.	4460	–	–	Recent signs of an uptick, though data is prone to revisions.
Jpn	Feb	Industrial Production	%mth	–2.1	–	–	Final estimate.
US	Mar	NFIB Small Business Optimism	index	98.8	–	–	Acute risks facing small businesses amid uncertainty.
	Mar	PPI	%mth	0.7	1.2	–	Wholesale inflation already lifting pre-conflict.
		Fedspeak	–	–	–	–	Goolsbee.
Wed 15							
NZ	Mar	REINZ House Prices	%yr	0.0	–	–	Prices remain muted despite low mortgage rates...
	Mar	REINZ House Sales	%yr	0.3	–	–	...with an ample supply of homes available for sale.
Jpn	Feb	Core Machinery Orders	%mth	–5.5	–1.1	–	Exceptionally volatile, but was on a firmer footing pre-conflict.
Eur	Feb	Industrial Production	%mth	–1.5	0.4	–	PMIs pointing to a slowdown in industrial activity.
US	Apr	Fed Empire State Manuf Survey	index	–0.2	–	–	Blizzards impact, but high-tech skew is paying dividends.
	Mar	Import Price Index	%ann	1.3	–	–	Headline vs. ex petroleum will give sense of scale.
	Apr	NAHB Housing Market	index	18.1	–	–	Surge in fuel costs rubs salt in the wound for homebuilders.
		Federal Reserve's Beige Book	–	–	–	–	Update on conditions across the districts.
		Fedspeak	–	–	–	–	Bowman.
Thu 16							
Aus		RBA Deputy Governor Hauser	–	–	–	–	Panel participation at IIF Forum, 6:00am AEST.
	Apr	MI Inflation Expectations	%ann	5.2	–	–	Fuel price shock is salient to consumers.
	Mar	Employment Change	000s	48.9	20.0	25	The first 'hard' economic data since conflict begun, but it ...
	Mar	Unemployment Rate	%	4.3	4.3	4.2	... will take longer for labour market weakening to take hold.
		RBA Assistant Governor Hunter	–	–	–	–	Panel participation at IMF Spring Meetings, 4:30am AEST.
Chn	Q1	GDP	%ann	4.5	4.8	4.8	Growth expected to remain sub-5% on an annual basis.
	Mar	Retail Sales	ytd %yr	2.8	–	–	Lunar New Year muddies the read on local consumption ...
	Mar	Industrial Production	ytd %yr	6.3	–	–	... but its clear that foreign demand remains a key support.
	Mar	Fixed Asset Investment	ytd %yr	1.8	2.0	–	Cooling in high-tech manufacturing investment largely done.
Eur	Mar	HICP Inflaiton	%ann	2.5	2.5	–	Final estimate.
UK	Feb	Monthly GDP	%mth	0.0	–	–	Shaky start to the year, before conflict impacts.
US		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Apr	Phily Fed Manufacturing	index	18.1	–	–	Continues to outperform all other regions.
	Mar	Industrial Production	%mth	0.2	0.1	–	Set to slow near-term given fuel intensity of industry.
		Fedspeak	–	–	–	–	Williams.
Fri 17							
Aus	Q1	Westpac-Now	%qtr	0.6	–	–	Refined Q1 GDP growth nowcast.
NZ	Mar	Selected Price Indices - Food	%mth	–0.1	–	0.3	Grocery food price pushing higher.
	Mar	Selected Price Indices - Rents	%mth	–0.1	–	0.1	Very weak, with the demand-supply balance favouring tenants.
	Mar	Retail Card Spending	%mth	1.4	–	0.5	Core spending to fall, as higher fuel price constrain spending.
Eur	Feb	Trade Balance	€bn	12.1	–	–	Maintaining a solid surplus despite trade disputes.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.66	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.49	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	39	45	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (10 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7069	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5848	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.25	156	155	154	152	150	148	146	144	142
EUR/USD	1.1690	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3418	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8320	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2089	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

ECONOMIC BULLETIN

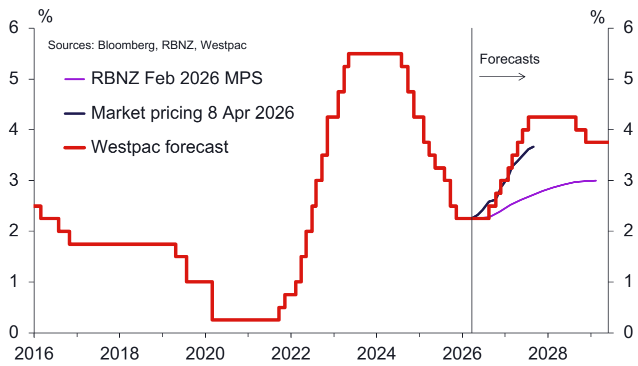
RBNZ April 2026 Monetary Policy Review and change of call.

8 Apr 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

RBNZ to tighten in September

- **As widely expected, the RBNZ retained the OCR at 2.25%. There was no vote, with the decision reached by consensus.**
- **The commentary was hawkish as concerns of rising second-round inflation pressures were quite prominent.**
- **The MPC debated the options of an earlier vs later beginning to interest rate normalisation. Interest rate cuts were not discussed.**
- **An earlier start was described as May or July. A hike was discussed as an option today, but the Governor said that the MPC was not close to hiking at this meeting.**
- **The RBNZ's short-term inflation forecast is now 4.2%y/y in June 2026 – higher than before, but close to our 4.1% forecast.**
- **We have pulled forward our forecast for the first OCR hike from the RBNZ to September (previously December).**
- **The balance of risks is towards an earlier start to hikes than September, should evidence of second-round inflation impacts accumulate.**

Official Cash Rate forecasts



OCR retained at 2.25% but coupled with a hawkish outlook.

The RBNZ kept the OCR unchanged at 2.25% as expected. There was no vote, with the decision reached by consensus. However, the Bank's commentary adopted a more hawkish tone than expected. There was no discussion of needing to cut the OCR despite acknowledging that, at least in the short term, there would be greater excess capacity than previously thought. Rather, the debate was between:

- a *"a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored"*; or
- a gradual increase in the OCR towards *"more neutral levels"* to reduce the risk of *"reacting to higher near-term inflation and accentuating weakness in the real economy and labour market"*.

In the press conference the Governor noted that the MPC discussed the possibility of raising the OCR at this meeting, but there had been *"no strong advocate"* for doing so.

We interpret the more gradual path as being something akin to the late 2026 lift-off date that we have been forecasting, and that the RBNZ largely had in mind at the February meeting. A pre-emptive response likely implies something faster that begins by September but could come sooner than that, should evidence of second-round inflation impacts begin to accumulate. Indeed, the Governor indicated that the pre-emptive approach could have been a tightening in May or July. More dovish members were uncomfortable with the risks of that.

Key evidence that the RBNZ seeks seems to be in the form of anecdotal evidence on pricing and wage setting behaviour combined with higher frequency evidence on price setting, costs and inflation expectations coming from monthly surveys. We think it likely that at least some evidence along these lines will accumulate given the broad-based cost shock that the economy is facing. As a result, an earlier than December beginning to the tightening cycle looks much more likely now.

Hence, we are bringing forward our existing 25bp per meeting tightening profile to begin in September. The OCR will thus end 2026 at 3% and reach the previously expected 4.25% peak earlier, in September 2027. Easing is forecast to begin a year later in September 2028 with the neutral OCR reestablished in December 2028.

An earlier start than September should not be ruled out. And given it's likely easier to explain the tightening profile in a Monetary Policy Statement meeting then the bias is likely for an earlier move to come in May versus July. The key question is: will sufficient evidence of second-round inflation impacts have accumulated by then? We think that's still an open question at this point.

Key quotes from the press release and Record of Meeting were:

> *"The Monetary Policy Committee is focused on ensuring that inflation returns to the 2-percent target midpoint over the medium term. This requires core inflation and wage growth to remain contained and medium- and long-term inflation expectations to remain around 2 percent. If these conditions are not met, decisive and timely increases in the OCR would be required."*

> *"The outlook for medium-term inflation pressures depends on the size and persistence of the inflationary impulse stemming from higher oil prices and the extent to which it is offset by weaker demand in the economy."*

> *"If the increase in near-term inflation is largely temporary, the Committee envisages gradually moving the OCR to more neutral levels as activity recovers and near-term inflationary pressures dissipate. However, any signs of significant second-round inflationary effects or increases in medium-term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations."*

> *"On the timing of any increase in the OCR, members discussed that a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored and reduce the extent of second round price increases."*

> *"Conversely, the Committee noted the risk of reacting to higher near-term inflation and accentuating weakness in the real economy and labour market. Members noted that this could cause unnecessary volatility in output and employment if the conflict was resolved in the near term or if the economic outlook weakens by more than currently expected."*

The RBNZ's initial thoughts on the near-term outlook.

The RBNZ provided updated inflation forecasts for the next two quarters. This is a change from their usual practice of not releasing updates to their forecasts at interim reviews and reflects that recent geopolitical developments have in the RBNZ's words *"materially altered the outlook and the balance of risks for inflation and economic growth"*.

The RBNZ now expects inflation of 3% in the March quarter (previously 2.8%), rising to 4.2% in the June quarter (previously 2.7%). Those updated figures are close to our own forecasts. The RBNZ did not provide forecasts further ahead.

The RBNZ has noted that higher energy costs will push up other prices in the economy. However, longer term impacts on wage and price setting (aka. 'second round impacts') are expected to be constrained by weak demand at this stage. This is a key area of uncertainty and one where the RBNZ will be watching closely for signs that longer-term inflation pressures are increasing. Indeed, the RBNZ went on to note that *"any signs of significant second-round inflationary effects or increases in medium-term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations. The Committee is vigilant to these risks."*

While the RBNZ did not provide forecasts for other variables, they noted that the conflict and related increases in both operating costs and economic uncertainty will result in weaker activity in the near term. That's very much in line with our own thoughts.

Things to watch ahead of the next meeting.

The RBNZ's next policy review is on 27 May, when it will also publish a full Monetary Policy Statement (MPS) with refreshed forecasts (and probably some alternative scenarios too considering the current level of uncertainty). How the RBNZ's stance evolves between now and then will depend on the path the Middle East conflict takes; what early indicators and anecdote suggest about the impact of the conflict on activity and inflation, both in New Zealand and abroad; and any developments in financial markets as a result of the conflict or other vulnerabilities triggered by the conflict.

As far as domestic economic indicators are concerned, we think the following are key ones to watch.

- **Q1 CPI** (21 April) and **April Selected Prices** (15 May): These pricing indicators will reveal the initial first-round direct and indirect impacts of the recent surge in fuel prices. They will provide some insight as to how high headline inflation might peak, but not about how long it will remain at elevated levels.
- **Q1 QSBO** (21 April) and **April/May ANZ Business Outlook** (30 April/27 May): Unfortunately, the data-rich QSBO survey was initially in the field very early in the conflict (it is unclear whether a breakdown of early and late responses will be released). Therefore, the ANZ surveys may provide a more up-to-date account of how businesses are responding to the conflict.
- **March/April PMI and PSI surveys** (mid-April/mid-May): These may provide some early insight regarding the likelihood of a contraction in GDP in Q2.
- **Q1 labour market surveys** (6 May): Employment and hours worked data from the HLFS and QES surveys will cast light on what momentum the economy had going into the conflict, while the LCI will cast light on underlying inflation pressures.
- **Budget 2026** (28 May): While the formal unveiling of the Budget comes the day after the release of the MPS, ahead of the Budget the RBNZ's MPC will receive a high-level briefing from the Treasury on what to expect at the macro level. Pre-Budget speeches and policy announcements may reveal more in the public sphere.

In addition to the above, we will be monitoring a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities. The RBNZ looks to also be focused on anecdotal evidence of business pricing and wage setting behaviour – although that will be harder to track.

Contact

Westpac Economics Team | **westpac.co.nz/economics** | economics@westpac.co.nz

Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

Past performance is not a reliable indicator of future performance. The forecasts given in this document are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from these forecasts.

Disclaimer

Things you should know.

We respect your privacy: You can view the **New Zealand Privacy Policy** here, or the Australian **Group Privacy Statement** here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer.

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access **Westpac's Financial Services Guide** here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at **www.westpac.co.nz**.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from **www.westpac.com.fj** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from **www.westpac.com.pg** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the **general disclosure** which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Westpac Banking Corporation.

Week beginning 6 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Revised RBA rates view: two extra hikes, 4.85% peak, later reversal.

The Week That Was: Mixed messages.

Focus on New Zealand: Not hawkish. Not dovish. Balanced.

Forecast Update: we pencil in three more rate hikes this year and have posted our full baseline forecasts.

For the week ahead:

Australia: Household spending indicator, MI inflation gauge.

New Zealand: RBNZ Policy decision, manufactruing PMI.

Japan: Household spending.

China: CPI, PPI.

Euro area: PPI, retail sales, Sentix investor confidence.

United States: CPI, GDP, personal income, personal spending, PCE deflator, factory orders, consumer credit.

Global: Easter Monday, S&P Global Services PMIs.

Information contained in this report current as at 2 April 2026.

Revised RBA rates view: two extra hikes, 4.85% peak, later reversal

Luci Ellis
Chief Economist, Westpac Group

We have revised our view of the outlook for RBA policy, adding two further hikes to the near-term profile and pushing out the eventual reversal. We now expect 25bp rate hikes at the 16 June and 11 August decisions, in addition to the 25bp hike we already expected at the May meeting. The peak for the cash rate is now expected to be 4.85%.

This shift reflects the longer disruption to and slower recovery in fuel supply assumed in the revised baseline forecasts we first published on Friday afternoon, with the Strait of Hormuz essentially closed for eight weeks and traffic recovering only slowly after that. It also reflects the surprisingly rapid pass-through of higher fuel and other oil-derived product prices into other prices in Australia. We believe the RBA will respond to this pricing behaviour by tightening monetary policy by more than would have been needed absent that pass-through.

The halving of fuel excise, announced by national cabinet today, reduces the near-term outlook for headline CPI inflation, but a peak of 5.4%yr in June quarter remains likely. The announcement also does not affect prices of other oil-related products, including aviation fuel and various plastics, or any price increases from damage to gas and other production facilities in non-combatant Gulf states. Much of the second-round pass-through of prices is therefore likely to remain in place, and we continue to expect trimmed mean inflation to peak around 4%yr later this year.

The higher cash rate profile will weigh on Australia's economic outlook. Growth will be slower, especially consumption, and the labour market will be softer. We expect unemployment to peak around 5%, somewhat higher than the 4.7% peak we flagged last week. Headline inflation will dip below 2½% by mid 2027 and will remain in the lower half of the 2–3% target range through to 2028. Trimmed mean inflation will take a little longer to decline, but will be back in the target range in 2028.

A companion note, also to be released this afternoon, fleshes out the rest of the forecasts. The revisions incorporate the assumed longer closure of the Strait of Hormuz and other supply disruptions in the Middle East flagged last week. In addition, we have updated for the new profile for the cash rate, the changes to fuel excise and some other recent events.

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The RBA will have already been spooked by the way inflation kicked up late last year after it took back some of its earlier rate hikes (though the usual lags of policy imply that the cuts were not the cause of that increase in inflation). We therefore suspect that the unwind of the current policy tightening will involve something of a "one bitten, twice shy" mentality. Second-round pass-through to other prices and costs will only increase the RBA's reluctance to unwind the current policy tightening.

"we continue to expect trimmed mean inflation to peak around 4%yr later this year."

We also believe the RBA's evolving intellectual framework will militate against an early reversal of these hikes. A supply shock such as the one the world is now facing should ordinarily be looked through to the extent possible, so long as longer-term inflation expectations remain anchored. Because it believes Australia is starting from a position of little spare capacity, though, the RBA sees the supply shocks as a potential reason to have both a restrictive stance of policy and to revise up its view of what constitutes restrictive policy.

The RBA has insisted that it retains its earlier strategy of holding onto as much of the post-pandemic employment gains as possible, subject to meeting the inflation target. While inflation was actually in the 2–3% target range for part of last year, underlying inflation did not get all the way back to the 2½% target midpoint before lifting again. This is clearly being interpreted in some quarters as inflation having been above target continuously. The Monetary Policy Board will therefore want to demonstrate its commitment to returning inflation back to target expeditiously and its willingness to do what it sees as necessary to achieve this.

As noted last week, there are risks on both sides of our revised baseline view. Iran is already letting some ships through the Strait, and it is possible that fuel supply recovers faster than we are currently assuming. It is also possible that a consensus forms domestically to resist second-round inflation, especially where the flow-on of higher costs to downstream prices could be construed as excessive. On the more inflationary side, it is possible that the war drags on longer, or domestic pass-through is stronger than we currently expect.

Forecast changes

- **RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.**
- **Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average $120/bbl in Q2 and Japanese LNG prices at $26mmbtu.**
- **Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non energy prices also an issue.**
- **Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2026, and remain subdued at 1.6%yr in 2027; unemployment rate peaks at 5% end-2026.**

Cliff Notes: mixed messages

Elliot Clarke, Head of International Economics

At the turn of the week, Chief Economist Luci Ellis and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20% of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the March Monetary Policy Board meeting minutes, the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, the Government's financial position is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. Cotality home values increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. Dwelling approvals remained volatile in February, a 29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

> **"heightened inflation will remain an acute risk while transit and supply-chain disruptions persist"**

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mth. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

Not hawkish. Not dovish. Balanced.

Satish Ranchhod
Senior Economist

The RBNZ meets next week for its April Monetary Policy Review (Wednesday 8 April, NZ 2pm). As discussed in our preview, in the absence of major developments in the Middle East over the coming days, the RBNZ is set to leave the Official Cash Rate (OCR) at 2.25%. However, rather than the immediate OCR decision, the key focus will be on how the RBNZ is balancing the significant challenges stemming from the conflict in the Middle East and what that implies for the longer-term policy outlook.

Since the RBNZ last met in February, the risks around the economic outlook have changed significantly. Economic growth in the final quarter of last year has already come in below the RBNZ's forecast. More significantly, disruptions stemming from the war in the Middle East mean that growth over 2026 is now also likely to fall well short of the RBNZ's previous forecast. We expect the economy to grow just 1.9% in the year to December, well below the February MPS forecast for growth of 2.8%. We also expect a higher track for the unemployment rate.

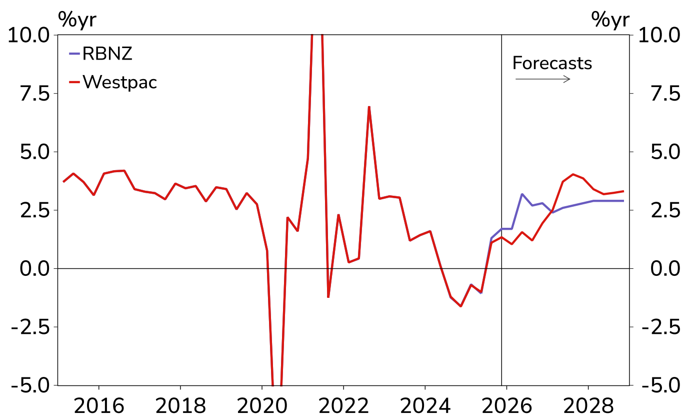
At the same time, inflation is set to run much hotter than the RBNZ had expected over 2026. We're forecasting that inflation will peak around 4.1% around the middle of this year before softening a little to 3.8% by year's end – well above the RBNZ's previous year-end forecast for 2.4%. Our stronger inflation outlook is mainly due to the direct impact of higher oil prices (i.e., higher prices for petrol and diesel). However, even if global oil prices were to drop back now, inflation is still set to linger above the RBNZ's forecast over the remainder of this year, as disruptions to supply chains and other related increases in costs of production will take time to dissipate.

RBNZ Governor Breman has already outlined how she is thinking about those challenges in a recent speech. That speech described an orthodox (and sensible) approach to monetary policy in the face of a supply shock, of which the current oil price is a typical example. The Governor noted that the RBNZ would not react to the immediate fuel-related lift in inflation. The RBNZ can't offset a rise in oil prices that has already occurred with higher interest rates now, but doing so would compound the downward pressure on growth. Furthermore, with interest rates taking around 12 to 18 months to have their maximum impact, hiking rates now would potentially result in an even deeper fall in inflation at the same time as the eventual falls in oil prices will naturally pull it lower.

Instead, the focus for the RBNZ will be the longer-term outlook for inflation. And this is where things start to get murky. The key issue for the RBNZ is whether the current sharp rise in prices will have lingering effects, resulting in higher inflation even when oil prices eventually ease. That could occur if businesses come to expect continued large increases in operating costs and raise their prices accordingly. There's also the risk that we see demands for higher-than-normal cost-of-living increases as workers try to recoup the current loss of spending power. Both of those risks are very plausible given that we've recently been through an extended period of high inflation and related pressure on businesses' operating costs. And if those risks do materialise, the current uplift in inflation could end up being much more protracted.

It will take some time before we know whether those longer-term inflation risks (sometimes referred to as 'second round' impacts of an oil price shock) are manifesting. The starting point for the economy is important on this front and provides some cause for optimism. Soft activity in recent years has left the New Zealand economy with a high level of spare capacity, including a higher-than-average unemployment rate. That will limit the ability to push through larger increases in output prices or wages (though that does also imply related pressure on margins and households' purchasing power).

GDP growth forecasts



Source: RBNZ, Macrobond, Westpac Economics

We are already seeing reports of businesses raising their prices due to the direct impact of increases in fuel prices on their operating costs (e.g., higher airfares and fuel surcharges within the land transport industry). Perhaps of more concern for the RBNZ, the latest ANZ Business Outlook Survey (which was conducted following the outbreak of the war) showed a sharp rise in inflation expectations, along with increases in the number of businesses who said they are planning to increase their prices. That said, given the outlook for inflation, it would be surprising if surveyed inflation expectations did not rise in the near-term. Some comfort might be taken from firms' expectations for wage growth. These remained muted in the survey, suggesting that firms are not expecting current cost increases to feed a wage-price spiral.

The RBNZ's discussion of how its balancing the impact on growth and near-term inflation will be crucial for how markets react next week. Markets have been very focused on the rise in inflation pressures and related hawkish comments from other central banks. That's seen financial markets also pulling forward expectations for rate hikes here: at the time of writing, market pricing was consistent with an 60% chance of an OCR hike in July, and just over two hikes are priced in before the end of the year.

In its communications on 8 April, the RBNZ will balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock. Reinforcement of the approach communicated in Governor Breman's speech guidance should continue to lean against the market's current pricing for earlier rate hikes, especially as liquidity issues in the domestic market continue to ease. We continue to forecast just one 25bp hike this year, but also that significant tightening will occur in 2027 once the activity implications of the energy shock begin to dissipate.

The RBNZ's guidance about what to expect at future meetings will also likely echo the Governor's speech. In crafting this guidance, the MPC will aim to reassure markets that it will not overreact to the shock, which could cause markets to further tighten financial conditions. At the same time, the RBNZ will need to ensure it sounds credible to households and businesses about its willingness to tighten policy if inflation expectations and pricing behaviour evolve in a manner inconsistent with achieving the inflation target over the medium-term. While monetary policy should look through a temporary spike in energy prices, the MPC will need to be vigilant – and be seen to be vigilant – against the risk that inflation becomes persistent.

As we discuss in our latest Hawks, doves, and kiwis note, there are clearly risks on both sides for the OCR. Governor Breman's recent speech did draw on feedback from other MPC members, but there could still be a range of views among the Committee. Furthermore, this is a fast-changing situation. And with inflation pressures continuing to build over the past few days, even more dovish or balanced members of the MPC could start to change their assessments of risks. With that in mind, the Record of Meeting accompanying next week's interest rate review will be monitored closely to see where the members of the Committee see the risk. Key areas where the views of the Committee could diverge include the likely duration of the conflict, the impact on the economy, the likelihood of second-round effects driving persistent inflation over the medium-term, and the appropriate course for monetary policy over time. Such discussions might provide some insight into how the consensus view of the MPC might evolve as more is learnt about the evolution of the conflict and its economic impacts.

As part of her efforts to improve central bank transparency, Governor Breman has introduced a full press conference at interim reviews, and this will be the first review under that new framework. Historically, the RBNZ has not released updated forecasts at review meetings, and instead released them at the more complete quarterly updates. However, given the large changes in the economic landscape in recent weeks, the RBNZ is likely to discuss the risks around their previous forecasts. And we wouldn't rule out the chance that they could release some initial forecasts of key variables, like GDP, inflation, and the OCR.

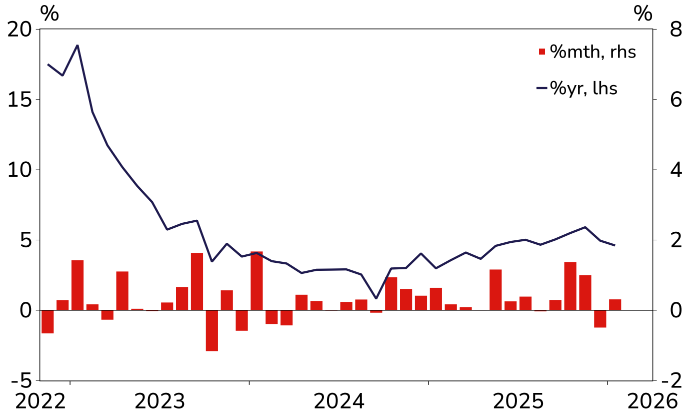
AUS: Feb Household Spending Indicator (%mth)

Apr 7, Last: 0.3, Westpac f/c: –0.2
Mkt f/c: 0.2, Range: –0.2 to 0.4

The Household Spending Indicator rose 0.3%mth in January, in line with its average monthly pace over the past two years. Annual growth eased back to 4.6%yr, having averaged just over 5%yr through the second half of 2025.

The detail from our **Westpac-DataX Card Tracker** suggests the ABS spending indicator will show a dip for the February month. Our forecast 0.2% decline in the month would take annual growth to 4.2%yr. With population growth tracking at 1.6%yr, the 2.6%yr pace in per capita terms this points to a slight decline in real, inflation-adjusted terms. Of course, all of this pre-dates the Middle East conflict and associated fuel price surge. Our card tracker shows this has already seen significant disruptions to activity in March (see here).

Monthly household spending indicator



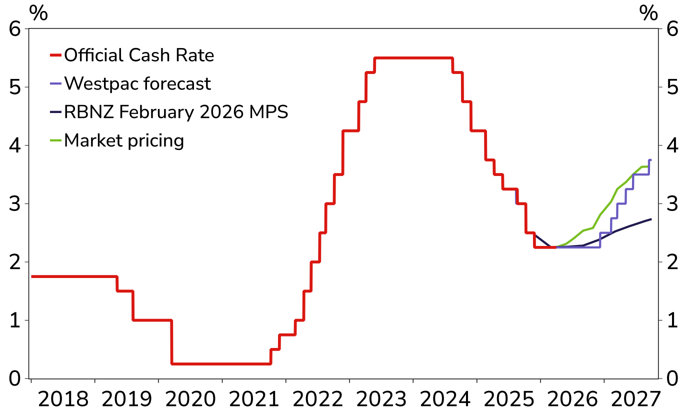
Source: ABS, Macrobond, Westpac Economics

NZ: RBNZ Monetary Policy Review

Apr 8, Official Cash Rate – last: 2.25%, Westpac: 2.25%, Market: 2.25%

We expect the RBNZ to hold the OCR at 2.25% at its 8 April review. We expect the RBNZ to emphasise that it will not react to the first-round impact of higher energy prices on near-term inflation, but that it will respond should there be evidence of second round effects that might create persistent inflation. The Bank is not scheduled to present revised economic projections at this meeting. However, it is possible that the RBNZ will provide some guidance of the likely magnitude of the upward revision to near-term inflation and downward revision to GDP.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

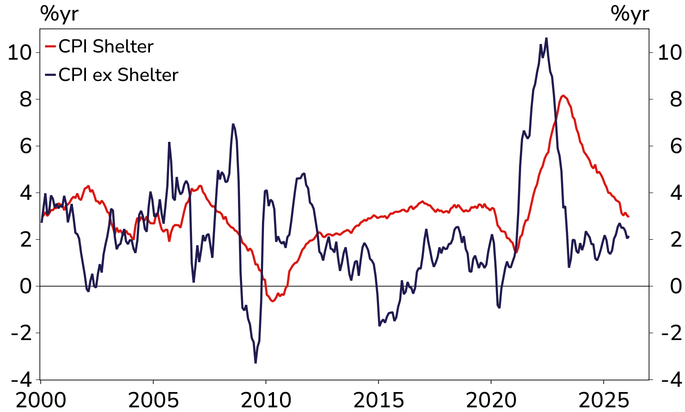
US: Mar CPI

Apr 10, %m/m, Last: 0.3%

February saw a 0.3% increase in headline consumer prices as both food and energy contributed to the aggregate impulse. The gain for core prices was measured at 0.2%, although that means underlying inflation continues to run meaningfully above the FOMC's 2.0% target on both an annual and annualised basis.

March is likely to see a material step up in headline inflation as the Middle East conflict shocks energy prices higher. Firms may also take the opportunity to push through additional increases to strengthen margins. All the while, capacity pressures continue to hold up price growth for services, and the weaker dollar and tariff costs support core goods pricing. Inflation risks will remain a lasting concern for the FOMC.

Domestic pressures persist; energy to jolt



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
US	Mar	ISM Services PMI	index	56.1	54.9	–	Confidence shock could arrest the upturn in services activity.
World		Easter Monday	–	–	–	–	Markets closed.
Tue 07							
Aus	Mar	MI Inflation Gauge	%ann	3.6	–	–	Will kick materially higher given the fuel price shock.
	Mar	ANZ–Indeed Job Ads	%mth	3.2	–	–	Labour demand is stabilising, but outlook is cloudy.
	Feb	Household Spending Indicator	%mth	0.3	0.2	–0.2	Card activity suggests momentum is pulling back in early-26.
NZ	Mar	ANZ Commodity Prices	%mth	4.2	–	–	Overall index up due to dairy prices, others mixed.
Jpn	Feb	Household Spending	%mth	–1.0	–1.3	–	Households on fragile footing, even before Middle East.
Eur	Apr	Sentix Investor Confidence	index	–3.1	–5.2	–	Global inflation and growth risks do not bode well for confidence.
US	Feb	Durable Goods Orders	%mth	0.0	–	–	Businesses may delay investment plans amid uncertainty.
	Mar	NY Fed 1-Yr Inflation Expectations	%ann	3.0	–	–	Surge in fuel prices will have a salient impact on expectations.
	Feb	Consumer Credit	$bn	8.1	–	–	On a firmer trend compared to this time last year.
		Fedspeak	–	–	–	–	Goolsbee.
World	Mar	S&P Global Services PMI	–	–	–	–	Final estimates for Eurozone and UK.
Wed 08							
NZ		RBNZ Policy Decision	%	2.25	2.25	2.25	Key focus will be the discussion of longer term risks.
Eur	Feb	PPI	%ann	–2.2	–	–	Producer price deflation may reverse over coming months.
	Feb	Retail Sales	%mth	–0.1	0.2	–	Choppy over recent months, but annual growth is lifting.
US		FOMC Meeting Minutes	–	–	–	–	Deliberations around conflict risks will be a key focus.
Thu 09							
US	Feb	Personal Income	%mth	0.4	–	–	Income growth continues to outpace inflation, allowing ...
	Feb	Personal Spending	%mth	0.4	–	–	... real consumption to maintain stable growth, but the war ...
	Feb	PCE Deflator	%mth	0.3	–	–	... poses a material risk to both these trends near-term.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Q4	GDP	%ann'd	0.7	–	–	Final estimate closely watched given downward revisions.
Fri 10							
NZ	Mar	Manufacturing PMI	index	55	–	–	Watching for signs of easing as global pressures mount.
Chn	Mar	CPI	%ann	1.3	1.1	–	Temporary boost from Lunar New Year spend will abate ...
	Mar	PPI	%ann	–0.9	0.6	–	... overcapacity and subdued demand back in spotlight.
US	Mar	CPI	%mth	0.3	–	–	Authorities will be focused on second-round effects.
	Feb	Factory Orders	%mth	0.1	–	–	Conflict may put some investment plans on the back burner.
	Apr	Uni. Of Michigan Sentiment	index	53.3	–	–	Flailing sentiment puts consumer spending at risk.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.30	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.03	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	66	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.51	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.43	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.72	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (2 Apr)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.6878	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5701	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.35	156	155	154	152	150	148	146	144	142
EUR/USD	1.1536	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3236	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9099	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2047	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

April 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

WESTPAC MARKET OUTLOOK
April 2026

westpaciq.com.au

Westpac Market Outlook is a monthly publication produced by Westpac Economics.

Internet: www.westpac.com.au
Email: economics@westpac.com.au

This issue was finalised on 17 April 2026.

Ceasefires and blockades

It has now been 48 days since the US–Israel war on Iran began and the Strait of Hormuz has been effectively closed. On March 30 we revised our baseline assumptions for the conflict which has extended beyond our initial four-week assessment and now looks likely to run for the best part of eight weeks with a more gradual normalisation. Developments since then have been broadly in line with our refreshed baseline assumptions.

The two-week ceasefire announced on April 7 has seen markets become much more sanguine on the prospect of a negotiated resolution. This has sustained despite the wide differences on critical issues, little substantive progress on the diplomatic front, both parties blockading the strait and oil prices still 35% above pre-conflict levels. The rebound in US and some Asian sharemarkets to pre-conflict highs is particularly noteworthy. The USD DXY index has also depreciated back to February levels with ‘risk-on’ currencies like the AUD again testing multi-year highs.

This is not to say that markets are overlooking the inflationary consequences of such a massive disruption to global energy supply. Bond yields remain elevated and are still well above pre-conflict levels, reflecting a material shift in the central bank policy calculus. Markets are no longer pricing in rate cuts from the US FOMC this year either – in line with our own view – although the weaker starting point for activity and the labour market means the possibility of some easing cannot be discounted. For Europe and the UK, expectations have swung from rate cuts to hikes given the materially larger risk of higher fuel costs transmitting throughout their economies.

The RBA stands out in that it was already raising rates before the conflict began, responding to a locally-driven lift in inflation. Now, with trimmed mean inflation expected to peak at around 4%yr later this year, the RBA will feel compelled to continue tightening policy further to lean against the pass-through of higher fuel costs into other prices and prevent a sustained rise in wider inflation expectations. We expect the RBA to deliver three more 25bp rate hikes in May, June and August, taking the cash rate well into restrictive territory.

Australia: The Australian economy is heading for an abrupt slowdown in 2026 as the energy supply shock impacts and a more persistent and problematic rise in inflation draws interest rate rises from the RBA. The bottom line is a very difficult year for the economy: trimmed mean inflation lifting to 4% by year-end, GDP growth stalling to just 1%yr and the unemployment rate rising towards 5%.

Middle East: We consider a ‘ceasefire’ scenario, with a higher initial reopening of the Strait at around 30% of pre-conflict shipping capacity. In such a scenario, production still takes significant time to normalise and shipping remains constrained – supply does not return to near normal levels until mid-2027. Even with this relatively stronger recovery earlier than in our base case, the damage has been done.

Commodities: Prices had a mixed March. Crude oil was broadly unchanged over the month, while LNG rose 9%. Aluminium and metallurgical coal gained 4% and 5% respectively while gold fell 7% and iron ore was flat. We now expect Brent to average US$105/bbl in the June quarter, before easing back to around US$75/bbl by year end.

Global FX Markets: Last month we highlighted that US dollar gains had been capped. Since then, despite several risk-off events emanating from the Middle East, this has remained the case. And, on murmurs of a resumption of negotiations, it has edged lower against an array of currencies.

New Zealand: The New Zealand economy has shown signs of building momentum before the conflict. As the length and severity of the conflict has become clearer, storm clouds have formed over the outlook. A period of weak growth and high inflation beckons, with the Reserve Bank noting an intention to act forcefully should signs of persistent inflation accumulate.

United States: Headlines tied to the US continue to focus on President Trump’s Middle East actions. Abstracting from this news storm, data suggest the US economy slowed below trend ahead of the conflict, leaving it at risk of stalling.

China: China’s economy has begun 2026 in good health despite the conflict in the Middle East. In time, recent developments are likely to prove a net positive for China, spurring greater demand for green technology across developed and developing markets.

Asia: Asia faces outsized vulnerability to the conflict due to its heavy reliance on energy imports and large agricultural workforces. Resilient currencies and the AI/semiconductor boom, should offer meaningful growth opportunities.

Europe & UK: The region is particularly sensitive to global energy prices. Petrol prices in the euro area are substantially higher than in other major economies, including Australia. Household utilities also bias up consumer inflation.

Markets try to fade geopolitical risks ...

Luci Ellis
Chief Economist, Westpac Group

The key factor for global growth, inflation and markets remains traffic through the Strait of Hormuz. Our baseline forecasts continue to assume a more-or-less full closure of the Strait for eight weeks, followed by a slow reopening. As part of that normalisation, we would need to see a recovery in traffic back into the Persian Gulf, as well as the departure of ships already there. While actual events may differ in the details, we believe this is the appropriate baseline for now. The parties to the conflict have shown some willingness to negotiate, and Iranian attacks on its neighbours have eased considerably since about April 10.

Financial markets have tended to take a 'glass half full' view of developments in the conflict, reacting strongly to positive news such as the ceasefire announcement in early April, but fading the bad news. Equity markets are mostly back to their pre-war highs, and the ramp-up in long bond yields has partly unwound.

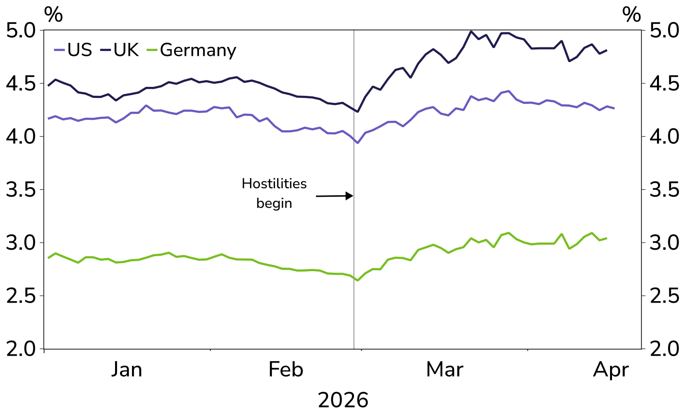
The shock to energy and other commodity prices is simultaneously inflationary and contractionary, an especially difficult combination for central banks to navigate. Markets initially focused more on the impact to inflation than growth: pricing for some major central banks' policy rates has at times implied multiple hikes, though this has been pared back since peaks in late March, partly in response to push-back from senior central bank officials. Pricing for RBA, Fed and ECB policy rates in December 2026 has pulled back roughly 25bp since their respective peaks, and roughly 50bps for the UK and Canada.

This still leaves roughly one 25bp rate hike priced in for the Bank of England and Bank of Canada, and two for the ECB and RBA. Prior to the war, markets were pricing the equivalent of roughly three 25bp cuts to the Federal funds rate, more than we thought reasonable given the underlying inflationary pressures in the US. These have now been almost fully priced out, consistent with our view that the Fed is on hold for now.

FX markets have also shown the tendency to fade geopolitical risk where possible. While the war has clearly been a 'risk-off' event, even at its trough, the AUD depreciated relatively little relative to past global risk events. At press time, it was already back around its pre-war peak levels against the USD.

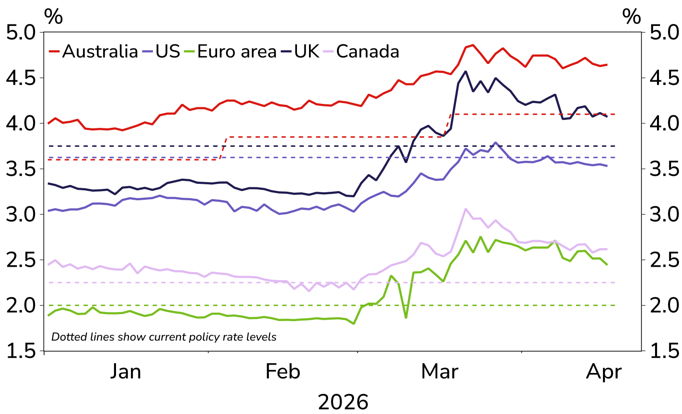
Despite this, the RBA has repeatedly emphasised in its communication that it believes that the AUD's appreciation is entirely the result of the domestic rates outlook: it gives no weight to the idea that there has been a separate, secular sell-off in USD. While the latter could imply some additional disinflation risks that the RBA has not allowed for, they would likely only emerge in 2027 and would be swamped by the near-term shock to inflation coming from higher fuel prices.

Global 10-year bond yields



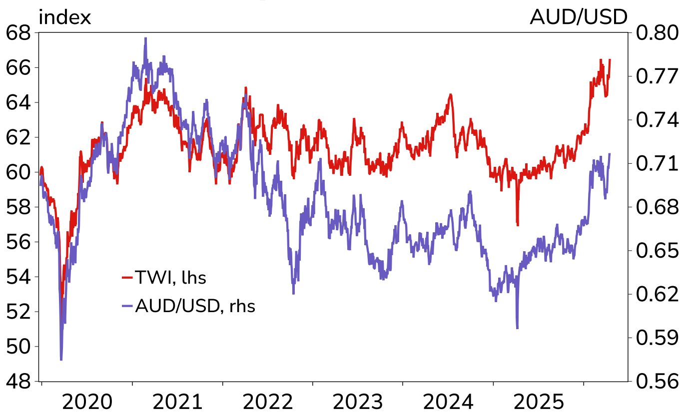
Source: Bloomberg, Macrobond, Westpac Economics

Market-implied policy rates for December 2026



Source: Bloomberg, Macrobond, Westpac Economics

Australian dollar – spot USD rate and TWI



Source: Bloomberg, Macrobond, Westpac Economics

... while inflation is front of mind for RBA

In contrast to some of its peers, the RBA has done nothing to push back on hawkish market pricing for policy rates. This is partly because it was already hiking the cash rate before the war broke out. Inflation had bounced back above the RBA's 2–3% target range in the second half of last year. The inflationary pressure stemming from the energy prices and downstream costs adds to the imperative to get inflation down. A majority of the RBA's Monetary Policy Board (MPB) therefore voted to hike the cash rate in March, ahead of the trajectory that we had expected before the war broke out.

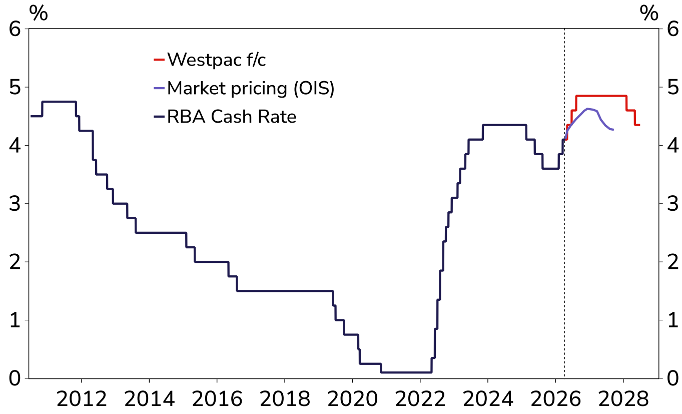
In the RBA's view, the Australian economy has little to no spare capacity. The labour market took a pause from its earlier gradual softening around the turn of the year. While the softening has resumed in the past couple of months, the unemployment rate remains at a level that the RBA believes is tighter than full employment. The RBA has also stuck to its view that productivity growth will trend at a slow 0.7% rate, taking no signal from the positive signs on this front in recent national accounts data. Consequently it believes that the economy can only grow by around 2% before sparking further inflationary pressures.

The size and pace of further RBA tightening turns on the balance between the adverse income shock from higher energy prices and their downstream effect on other prices. We have been concerned at how quickly higher fuel costs are being reflected in a broad range of other prices, and believe that the RBA is getting similar messages from its liaison program and business surveys. Unless and until its sees clear signs of a deterioration in domestic spending or the labour market, cash rate increases will be front-loaded. We continue to expect a further hike in May, with follow-ups in June and August; the risks around this view are two-sided. The timing of the eventual cuts is less certain, but we continue to expect that the RBA will be cautious about cutting rates given its recent experience.

Market participants appear to have absorbed the relatively hawkish stance of the RBA. An increase in headline inflation for the coming year is inevitable everywhere, and evident in inflation expectations as implied by both bond market breakeven rates and inflation swaps. Yet the 1yr–1yr forward rates implied by swaps have remained more anchored here than in the UK or Europe. While this might partly be a judgement about the weight of the subsequent unwind in fuel prices in headline CPI, it also suggests that market participants believe the RBA is less likely to look through the initial shock and likely to attempt to bring inflation back to target faster than its peers.

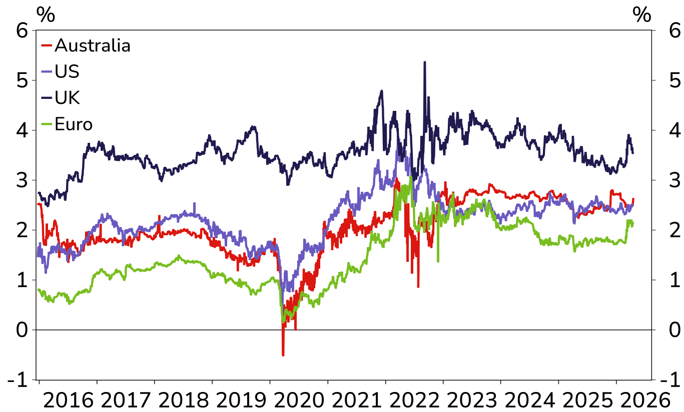
The more hawkish path implied by the RBA than major peer central banks is also reflected in the longer end of the yield curve. Real 10-year yields ratcheted up earlier in the year both in absolute terms and relative to peers, particularly the US. They also initially increased by more when war broke out, though this divergence has unwound since late March.

RBA Cash Rate



Source: RBA, Macrobond, Westpac Economics

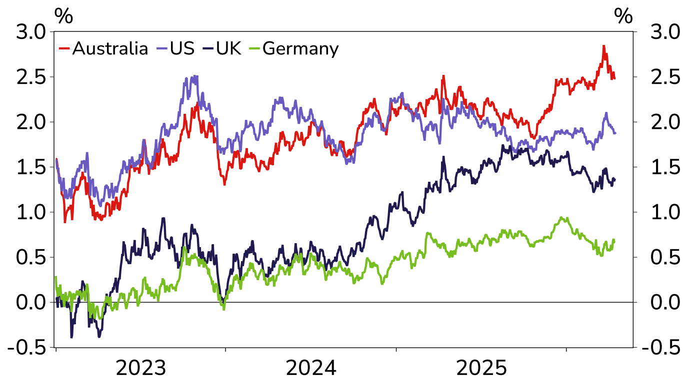
1-year-1-year forward Breakeven Inflation



Source: Bloomberg, Macrobond, Westpac Economics

Global Real Interest Rates

10-Year Inflation-Linked Bonds



Source: Bloomberg, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

All eyes on the consumer …

Matthew Hassan
Head of Australian Macro-forecasting

After a relatively strong finish to 2025, the Australian economy is heading for an abrupt slowdown in 2026. Much of this is already in train – as set out in our last report, the re-tightening in monetary conditions in the first few months is now combining with a large global supply shock centred on energy that is set to see some combination of higher inflation and weaker growth. That shock now looks set to be bigger and more persistent. We updated our forecasts late last month, moving to an assumed path that sees the Strait of Hormuz shut for eight weeks instead of four, and a more gradual six-month normalisation process for global energy supply. Notably, the revised path points to a more persistent and problematic rise in inflation locally with the RBA now expected to respond with two more 25bp rate hikes beyond the expected 25bp move in May, aimed at preventing a sustained rise in inflation expectations. The bottom line is a very difficult year for the economy: trimmed mean inflation lifting to 4% by year-end, GDP growth stalling to just 1%yr and the unemployment rate rising towards 5%.

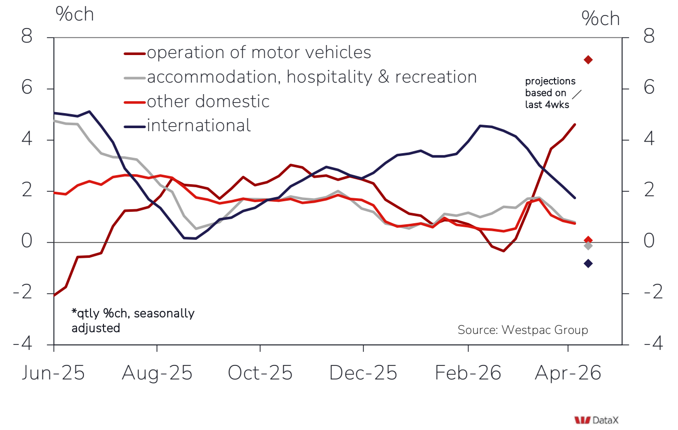
Needless to say, the situation remains highly uncertain in the Middle East. While our revised assumptions still look reasonable as we go to press, we will need to continue monitoring developments closely in coming weeks and months. To help understand the macroeconomic risks around our baseline we have set out some alternative scenarios and their consequences in more detail on px. One that we are paying particularly close attention to is the risk that global energy supply remains moderately impaired throughout 2027. Separately, a fire at a refinery in Victoria that accounts for around 5% of Australia's fuel supply will clearly exacerbate local shortages as well, although the scale of this disruption is still uncertain.

Westpac Card data shows clear weakening

Locally, households are at the forefront of the energy shock. Latest indicators show the spike in fuel prices is starting to squeeze incomes and discretionary spend, while a sharp fall in sentiment suggests there is more belt tightening to come.

Our **Westpac–DataX Card Tracker** is once again proving its worth. The measure monitors credit and debit card activity across the Westpac system with weekly reads available up to April 11. Over the six weeks since the beginning of Iran conflict, the average value of card transactions has been 0.3% higher than the six weeks prior. However, all of this has been due to a sharp 12% surge in fuel spend, 1.6ppts of which is from an initial rise in fuel transaction volumes as consumers brought forward purchases. Excluding fuel, the average value of activity has been 0.6% lower.

Westpac-DataX Card Tracker: fuel vs non fuel activity



Note that there had already been some slowing in activity through January and February, partly reflecting the shifting interest rate backdrop. For the March quarter as a whole, the value of card activity is up 1.2%qtr, a clear moderation on the average 2%qtr rise over the previous three quarters, with growth excluding fuel slower still at 0.9%qtr.

This likely represents a stalling in real, inflation-adjusted terms. That said, official ABS estimates of real consumer spending (due June 3) are likely to still show a positive result due to areas that are not well covered by the card data (changes to electricity rebates and vehicle sales in particular).

The full force of the shock will become more apparent as we roll into the June quarter. This is expected to see annual headline CPI inflation push above 5% with a 1.7% increase in the June quarter alone. With interest rate rises in the mix as well, real disposable income (after tax and interest) will contract materially. Consumers will likely reduce their savings rates as well but even allowing for this cushioning effect, real spending is expected to flat-line in the quarter, implying a 0.5% decline in per capita terms, similar but not quite as large as the string of per capita spending declines seen during the height of the 'cost of living' crisis in 2023–24.

Consumer sentiment crashes

That is broadly consistent with the picture from consumer sentiment. The **Westpac–Melbourne Institute Consumer Sentiment Index** fell heavily in April, declining 12.5% to 80.1. The move takes the Index back towards historical lows, albeit above the extremes seen at the onset of the pandemic and during the recessions of the early 1990s and 1980s.

… as energy shock impacts …

The biggest falls were across components tracking assessments of current conditions although these remained a touch above the levels seen in 2022–24. However, consumers' near-term expectations also deteriorated sharply, suggesting they are bracing for more difficulties. Notably, most consumers – over 80% – expect mortgage interest rates to rise over the next year.

Notably, the shock is having a deeper impact on consumers' labour market expectations than the 2022–24 'cost of living' crisis. The **Westpac–Melbourne Institute Unemployment Expectations Index** jumped 9.7% to 147.8 in April (higher reads mean more consumers expect unemployment to rise). This is the worst read on job expectations since August 2020, one of the darkest moments of the COVID pandemic just before the Federal government significantly expanded its JobKeeper policy to prevent widespread job losses. While the index is still well below previous cycle peaks, which have been in the 160–180 range, the shift should be monitored closely. While the signal is not always a reliable guide to actual labour market outcomes, changes in consumers' sense of job security can still have a direct impact on their behaviour – the purchase of 'big ticket' durable items in particular but also house purchase decisions.

Business confidence also impacted

The energy shock is also reverberating through Australia's business sector. The March NAB Business Survey, which was in the field towards the end of the month, showed a steep fall in business confidence, down –29pts from a neutral reading in February (see here for more). This was the largest monthly decline since the onset of the COVID pandemic, and steeper than falls recorded at the height of the GFC.

The detail shows that while business conditions were steady, costs are starting to surge and already putting some pressure on profitability with a degree of pass-through to final prices as well. That said, labour demand looks steady for now.

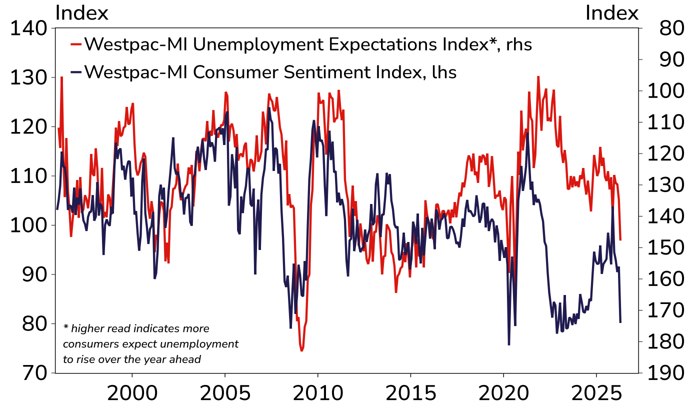
Economy-wide signal evolving slowly

Our **Westpac-Now** nowcast combines available measures into a timely gauge of economy-wide momentum. The latest reads suggest GDP growth has already moderated a touch to 0.6% in the March quarter. However the full effect of recent interest rate changes and the energy price shock have yet to really impact preliminary estimates for the June and September quarters. Within the framework of this measure, the sharp falls in sentiment need to be corroborated by other indicators to shift the wider signal (see here).

Both monetary and fiscal policy measures in play

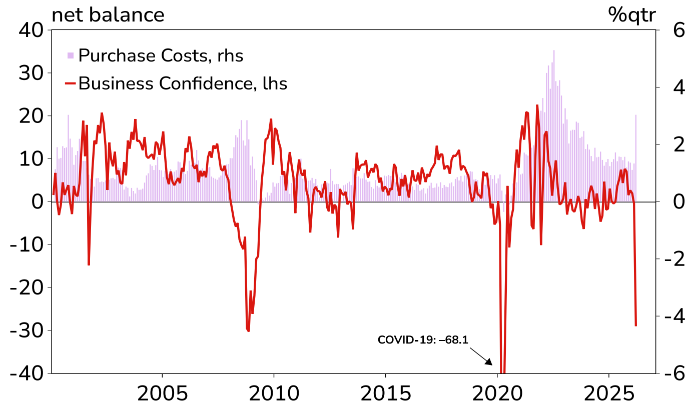
Even timely measures of activity and sentiment are only just starting to capture the energy shock impacts. And as the card data highlights, there is likely to be significant volatility in some of these measures as the situation evolves and policy responds. A key part of this will be the response from central banks with a further interest rate tightening from the RBA

Consumer sentiment and unemployment expectations



Source: Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Business confidence and purchase costs



Source: NAB, Macrobond, Westpac Economics

expected to weigh again in coming months. The temporary halving in fuel excise tax (and state government decision to temporarily exempt fuel from GST), provision of concessional loans to impacted businesses and diplomatic representation by the Government to shore-up our fuel imports and supply, will also likely be followed by other fiscal measures, with the Federal budget on May 12 set to be a centrepiece.

Through all of this it should also be remembered that Australia's position as a net energy exporter means there will also be positives for our economy, flowing through our commodity export sector. The boost from this and higher inflation to tax revenues also gives governments more room to provide fiscal support measures than many countries have.

On monetary policy, the RBA's greater concern will be evidence of a more rapid pass-through of costs to prices, including in areas that are less heavily impacted by higher fuel costs. There have been numerous anecdotal reports of both temporary fuel levies and more permanent price changes being made.

... and policy and downstream prices respond

In the building space, there is firmer evidence of adjustments coming from price notification announcements. The chart below shows a simple average of these price adjustments where the size of changes (or range) has been given and the number of announcements across two major suppliers. The March and June quarters have seen over 300 products re-priced with an average increase of 12.6%. That is about double the number of notifications and well above the 5.5% average we were seeing through 2025 but less widespread than the adjustments through 2022. Of course, these very crude measures should be treated with caution – they are not nearly as systematic as the ABS price measures with no weighting being applied. Nevertheless they may be an early indicator that pricing behaviour and expectations are shifting. The RBA will no doubt be collecting more thorough and systematically measured evidence as part of its liaison round ahead of the May policy decision and Statement of Monetary Policy forecast updates.

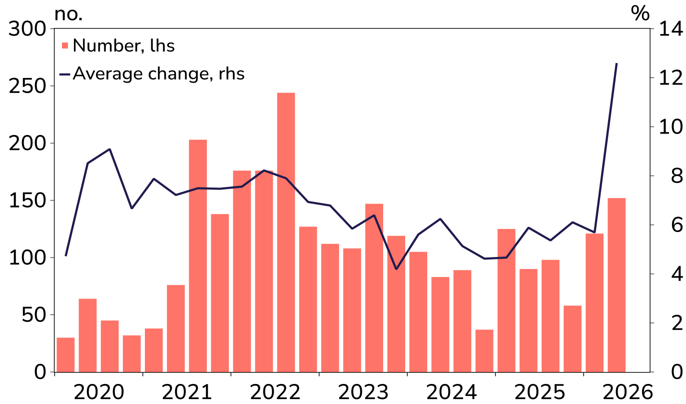
Oil price shocks in the past

While we wait for these developments to play out and the impacts to show through, what can we tell from history? There are of course precedents we can look to for energy shocks although, as always, there are limitations on the guidance these provide.

There have been six substantive energy price shocks since the early 1970s, relating to: the oil embargo in 1973; the Iranian revolution in 1979; the Iran–Iraq war in the early 1980s; Iraq's invasion of Kuwait in 1990; Hurricane Katrina in 2005; and Russia's invasion of Ukraine in 2022. All of these had different scales, profiles and contexts. Comparisons over longer time horizons also need to allow for the changing structure of our economy, including a significant reduction in energy intensity, the shrinking of fuel in total consumer spend and higher generalised inflation prior to the 1990s.

Amongst these, the 1970s shocks saw bigger fuel price rises with the 1979 shock the largest in real terms. Consumer sentiment dropped by a touch more through these periods

Building product price notifications



Source: Tradelink and Reece, Macrobond, Westpac Economics

compared to the fall recorded this month, consumption growth slowing by 2.5–3ppts with the wider economy ultimately entering recessions in the mid-1970s and early 1980s.

Energy shocks since then have been milder (particularly when viewed in real, inflation adjusted terms). There are again extenuating circumstances that limit their relevance to 2026: the invasion of Kuwait came just as the economy was moving into a deep recession for mostly unrelated reasons; the fuel price spike associated with Hurricane Katrina was very short lived; and the 2022 spike was in the context of a much larger and more pervasive shock to global supply chains coming out of COVID and an associated rapid tightening in monetary policy.

Consumption growth slowed sharply through all of these episodes but it is unclear how much of this was a direct consequence of energy price effects. Notably, the spending detail shows growth in fuel spend slowed by much more than non-fuel spend in real terms in 1990 and 2015 but by considerably less in 2022 (suggesting wider cost pressures and interest rate changes were the more substantive driver of that slowdown).

Energy price shocks: historical episodes

Peak to trough change	Oil embargo	Iran revolution	Iran–Iraq war	Iraq invasion of Kuwait	Hurricane Katrina	Russian invasion of Ukraine	Iran war
	1973	1978	1980	1990	2005	2022	2026
Automotive fuel, %chg							
– nominal	51	83	31	24	29	23	28
– real	8	55	17	21	24	14	23
Consumer sentiment, %chg	–13	–15	–4	0	–9	–19	–12
Consumption, real per capita, ppt change in annual growth							
Total	–2.9	–2.4	–0.1	–2.5	–1.2	–4.0	n.a.
– operation of vehicles	n.a.	–0.6	–6.8	–4.9	–7.5	–0.7	n.a.
– total excl. operation of vehicles	n.a.	–2.7	0.0	–2.4	–0.8	–4.3	n.a.

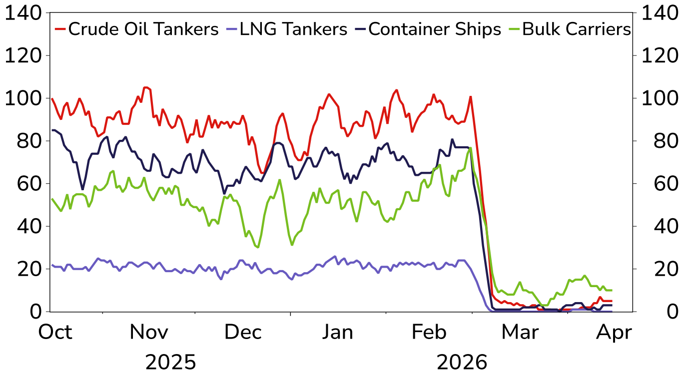
An alternative path under a truce scenario ...

Sian Fenner
Head of Business & Industry Economics

A two-week ceasefire was agreed on 7 April, with a key stipulation being the immediate reopening of the Strait of Hormuz. This has not happened. In fact, following the failure to reach a broader agreement, the US moved to blockade vessels entering or leaving Iranian ports. This has meant that no crude or LPG carriers have transited the Strait over the past week. The loss of mostly Iranian oil, around 1.6mb/d destined to China, further exacerbates what the IEA has called the largest global oil supply disruption in history.

Strait of Hormuz, Outbound Vessels

Vessel Crossings, 7-Day Rolling Total, West to East



Source: Bloomberg, Macrobond, Westpac Economics

Encouragingly, outright hostilities have not restarted and negotiations are ongoing with talks of a further two-week extension of the ceasefire. However, as we have previously highlighted, any meaningful recovery in energy supply is dependent not only on the length of the conflict but how long it will take for production and shipping to return to normal. Shipping companies need time to re-establish vessel rotations and contractual delivery arrangements across energy and upstream industrial inputs. Oil production for several Gulf states also needs to recover given the estimated 10mb/d of shut-in production and damage to some facilities. To achieve any meaningful increase in physical oil flows will require a sustained improvement in security conditions and confidence.

We continue to monitor shipping movements and signs of any improved confidence among shipping and energy participants. However, as things currently stand the ceasefire, including any extension, does not materially change the near-term path. Our central case remains one where there is a gradual reopening of the Strait from May, with flows initially recovering to around 20% of capacity initially and only returning to near-normal levels in late 2026.

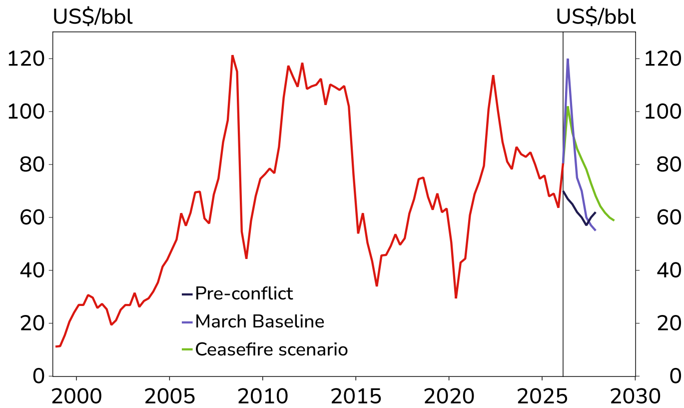
That said, the ceasefire has reduced the probability of severe escalation and given the extreme degree of uncertainty there are multiple plausible paths on both sides of our central case. We have published several scenario iterations since the conflict began that have looked at the impact of more extended disruptions. But there is also a path where meaningful progress around the ceasefire, coupled with the US continuing to clear mines, allows the system to begin preparing for reopening with shipping operators starting to reposition vessels. This could see some of the precautionary delays that have built up across the system start to unwind earlier than we currently have pencilled in.

Higher reopening but slower normalisation

In this scenario, we consider a higher initial reopening of the Strait. Supply–demand balance remains the key dynamic component, with persistent imbalances influencing realised prices. As with the base case and alternative scenarios, the physical supply path is built up from production shut-ins and flows through the Strait, with the transmission of higher oil prices to global energy demand captured via the globally integrated Oxford Economics model.

In this scenario, reopening begins at around 30% of pre-conflict shipping capacity. Brent crude spot prices shift lower, largely reflects an unwinding of the supply risk premium. Indeed, we saw this following the announcement of the ceasefire, when the June Brent contract hit a low of US$90.40, down from the high at US$111.80 in the lead up. This has already led us to lower our Q2 Brent crude spot price to an average US$105/bbl versus US$120 previously. In this scenario we would expect prices to peak slightly lower at closer to US$100/bbl.

Brent Crude Spot Oil price scenarios



Source: EIA, Macrobond, Westpac Economics

... but damage already done

However, oil prices for physical delivery, which matter for businesses and consumers, remain elevated at around US$15 above the spot price, as it will still take time for physical supply to return to normal and reach destinations. Refined oil will also remain at a premium until flows from the Middle East reach Asian refineries and inventories begin to rebuild.

Moreover, a higher starting point to the reopening does not necessarily mean that a full restoration of flows will happen sooner. Indeed, production will take weeks and in some cases months to return to normal, shipping through the Strait remains constrained. As such, after an initial improvement, normalisation become slower and more uneven. In this scenario, supply does not return to near normal levels until mid-2027.

Meanwhile, the conflict has also highlighted the vulnerability of a number of countries, particularly across Asia which has been more exposed both due to their dependency on Middle East oil imports and more limited strategic reserves. This reinforces the case for building resilience against future oil supply shocks. While the timing of any response remains uncertain, and is unlikely to be even, we include a more decisive, policy driven push to rebuild reserves from mid 2027, lifting demand across most advanced and Asian economies by the equivalent of around 0.5%. This is materially higher than the historical average pace of reserve builds and provides some price support in the medium term.

Prices elevated for longer ...

As such while spot oil prices are lower than in our base case in the near term, they do not fall back as quickly further out as the underlying physical demand and supply shortfall is not fully resolved. Brent oil prices are on average US$15.50/bbl higher in 2027 than in our central case, ending 2027 at US$68/bbl. In this scenario, Australian diesel and petrol prices continue to ease over 2027 but not only remain above pre-conflict levels but also slightly higher at $1.71/l and $1.67 by the end of the year.

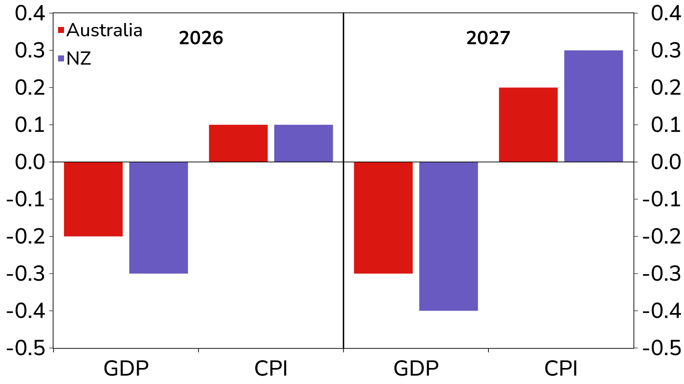
As before, the impact on gas prices remains larger. The initial improvement followed by a slower and more uneven normalisation sees Japanese LNG prices broadly unchanged in Q2 at around US$26mmbtu. Natural gas prices do drift marginally lower by year end to under US$20 but with the case remaining that there is no viable route that bypasses the Strait, and the damage on Qatar's Ras Laffan LNG plant potentially taking up to five years to fully repair, prices remain elevated. In Q4 2027, prices average US$14mmbtu, nearly US$4 higher than in our baseline.

... and more pressure on prices and growth

In this scenario, of a relatively stronger recovery early, but more persistent constraint on energy supplies, Australian and New Zealand headline inflation is a modest 0.1ppt higher at end 2026. However, higher energy prices and costs for fertilisers, plastics and chemicals sees Australian CPI lift a further 0.2ppt in Q4 2027. As discussed previously the impact of higher gas prices will be fairly muted, particularly compared to the energy shock following Russia's invasion of Ukraine given the limited transmission to electricity prices as caps on domestic gas prices are now in place. The Trimmed Mean inflation also 0.1ppt higher than in our base case, leaving it firmly above 3% with GDP 0.3ppt lower in Q4 2027 reflecting a larger and more persistent squeeze on real household incomes.

Middle East ceasefire scenario

Percentage point difference to Q4 yr end growth



Source: ABS, Macrobond, Westpac Economics

In New Zealand, the same shock transmits somewhat more forcefully as higher oil prices represent a negative terms-of trade and income shock. Moreover, unlike in Australia electricity prices respond to higher LNG prices. Overall, headline inflation in Q4 2027 is 0.3ppt higher than in the base case with core inflation, excluding energy and food prices, up 0.2ppt higher than otherwise.

Overall, even in a scenario where there is a relatively stronger recovery earlier than in our base case, the damage has been done. We have already adjusted our outlook for the Australian economy significantly lower reflecting both higher borrowing and input costs with real GDP slowing to just 1% in 2026 and remaining subdued at 1.6% in 2027.

Note: These estimates reflect the modelled impact of higher energy and commodity prices in isolation. Final forecasts incorporate a broader set of interacting forces, which may offset or amplify these effects.

A fragile ceasefire eases the pressure on crude oil ...

Justin Smirk
Senior Economist
Luka Belobrajdic
Economist

Commodities had a mixed March as the conflict in the Gulf of Arabia unfolded. Our overall index is down 2.5% since our March report. Crude oil retraced to around US$94/bbl, broadly unchanged over the month, while Asian LNG rose a further 9%. Aluminium and metallurgical coal gained 4% and 5%, respectively. In contrast, gold fell 7%, while iron ore was flat at US$107/t. Since the last report, we have shifted to a more severe conflict scenario, assuming a two-month blockage of the Strait of Hormuz. Under this assumption, we now expect Brent to average US$105/bbl in the June quarter, before easing back to around US$75/bbl by year end.

Oil prices eases but risks skewed to upside

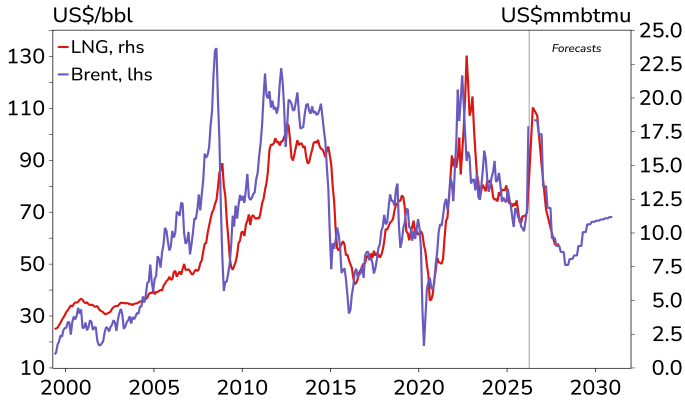
A fragile ceasefire in the Middle East has reduced immediate escalation risks but uncertainty remains high. While there have been steps towards a renewed US–Iran dialogue, progress has been tentative and limited to date. Intermittent vessel transits through the Strait of Hormuz fall well short of restoring the roughly 20mbpd of crude flows that existed pre-conflict. Supply conditions remain tight due to production shut-ins, infrastructure damage and ongoing shipping dislocation, with many vessels continuing to avoid the Strait, creating persistent logistical backlogs. Although global inventories (~8.4bn barrels) provide some buffer, draws outside the Gulf, around 200mb in March, highlight growing downstream stress.

Our baseline assumes the Strait remains largely closed through April, followed by only partial reopening. We expect throughput to recover to around 20% of normal capacity by May, with flows normalising towards end-2026 as security and insurance risks linger. Brent prices are now expected to average around US$105/bbl in Q2 2026, around 33% above our March forecast, before easing as geopolitical risks unwind and high prices drive demand destruction. Dated Brent briefly reached US$145/bbl in early April and our economic modelling places greater weight on this physical crude price rather than financial market pricing. As such, we have trimmed our Q2 estimates to be more in line with financial market pricing, and instead capture more of the economic impact of tighter conditions through wider refining margins, particularly for diesel and jet fuel. Brent is forecast to ease to US$75/bbl by Q4 2026, with further moderation through early 2028 as supply and shipping conditions normalise.

LNG supply constraints boosting Asian prices

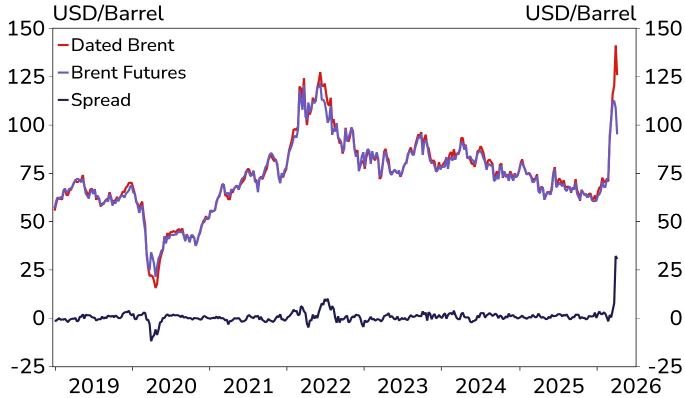
LNG markets remain acutely exposed to the conflict, with an estimated 300mcm/day - around one-fifth of global supply - lost from Qatar and the UAE. Ras Laffan in Qatar, the world's largest LNG export complex, has been offline since early March, while global storage levels were already depleted coming out

Both crude and LNG hit by Strait closure



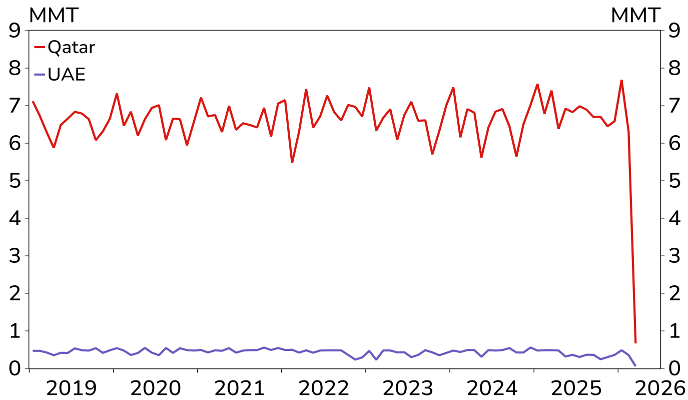
Source: EIA, Macrobond, Westpac Economics

Dated Brent and Brent futures



Source: CME Group, Macrobond, Westpac Economics

Monthly LNG Exports



Source: Bloomberg, Macrobond, Westpac Economics

... while gold is set to retest US$5,000

of the Northern Hemisphere heating season. Asia is particularly vulnerable, with an estimated 80–90% of LNG volumes transiting the Strait of Hormuz destined for Asian markets, driving sharp increases in Japanese LNG prices. We continue to expect Japanese LNG prices to peak around US$26/mmbtu in the September quarter and while prices remain elevated into the December quarter they are expected to ease back to just under US$20/mmbtu. Given the scale of infrastructure damage and the lack of viable alternative export routes, LNG prices are not expected to return to the pre-conflict level until mid-2027.

Iron Ore

Iron ore continues to find near term support from higher freight and operating costs related to the energy shock, with freight accounting for an estimated 15–30% of delivered costs. It has also been supported by resilient steel output in China. The medium-term outlook is increasingly challenged, however, with surplus conditions expected to emerge. Supply side pressures are building, led by new low-cost supply from Simandou and historically high iron ore inventories at Chinese ports.

At the same time, global steel demand is softening as major economies face energy-related cost pressures. Increased use of steel scrap and a structural decline in Chinese steel production continue to erode underlying demand, with growth in India and South-East Asia providing only a partial offset.

Adding to the downside risk, an apparent near-term resolution of industrial tensions between China Mineral Resources Group and BHP has also removed a source of temporary support. Together, these dynamics point to rising downside risk over the medium term so we continue to expect the 62%fe index to soften, averaging around US$92/t in the June quarter, before declining further to approximately US$83/t by December.

Gold consolidating before a push

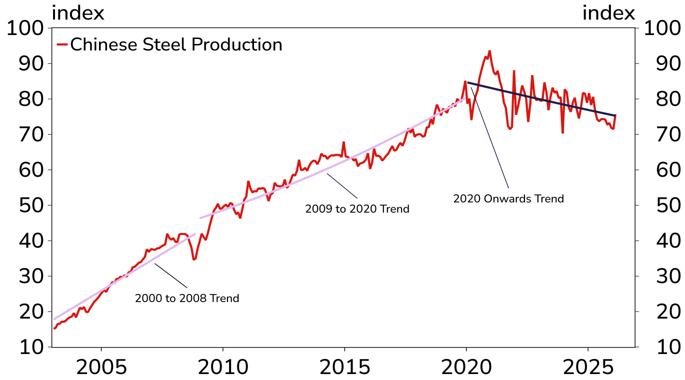
Gold has been under pressure in recent weeks as markets focused on the inflationary impact of higher oil prices and the prospect that central banks may keep policy tighter for longer. A rapid rise in US real yields alongside renewed USD strength has weighed on bullion, prompting a notable retracement from the all time high reached in late January.

We expect consolidation to persist over coming weeks. Gold has already corrected materially and speculative positioning has been flushed out. A period of range trading, with easing volatility, should allow a base to form and encourage longer-term investors to gradually rebuild positions.

Geopolitical risks tend to have an uneven and often short lived impact on gold, with near term safe haven rallies typically fading as markets adjust. More durable support usually comes through second round effects, including shifts in the growth inflation mix, policy responses and strengthening strategic demand as investors diversify. If geopolitical disruptions

Chinese steel production peaked in 2020

Since peaking steel production has been trending down



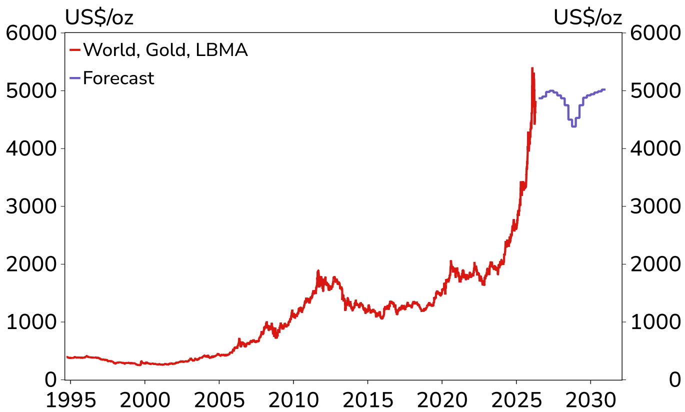
Source: World Steel Association, Macrobond, Westpac Economics

persist and energy prices remain elevated, the combination of higher inflation and weaker growth, alongside the risk of renewed fiscal and monetary stimulus, would present upside risks for gold. Persistent geopolitical uncertainty also underpins overall demand.

Concerns about central bank selling resurfaced following recent price weakness and headlines around Turkey. While some central banks may sell modest amounts at times, there is little evidence of a structural shift away from gold. We continue to expect official sector net purchases to be broadly in line with recent trends.

Headline risks remain as markets re-price geopolitical and macro developments. Nevertheless, positioning is cleaner, long term investors remain under invested, and diversification demand is rising so we expect to see a new high in gold.

Gold continues the rally from 2024



Source: LBMA, FTSE Russell, Macrobond, Westpac Economics

US dollar increasingly …

Elliot Clarke
Head of International Economics

Last month we highlighted that US dollar gains in the lead-up to March Market Outlook had been narrow and capped around 100 for the DXY index. Since then, despite a material escalation in the Middle East conflict, the nascent ceasefire being threatened by a complete breakdown of negotiations between the US and Iran, and the US subsequently blockading Iranian ports, the US dollar has continued to struggle for upward momentum. Indeed, on rumours of a resumption of negotiations, the past few days have seen it edge lower against numerous currencies across developed and developing markets.

In our view, there is a degree of hope in current market pricing. That said, typically the market impact of a crisis such as this begins to unwind long before a formal peace agreement is disclosed. And, in this particular instance, the short-term workarounds for supply and the intent shown by world leaders excluding the US to restore shipping capacity are also helping alleviate anxiety over downside risks.

While certainly not a panacea for the conflict's ill effects, if we are right in expecting a slow-but-steady resumption of shipping through the Strait of Hormuz in coming weeks, which continues to year end, then the US dollar is likely to weaken further, to the benefit of currencies most affected by the crisis (Euro and Sterling being developed world examples) and of nations set to benefit from improving global growth opportunities – China being the obvious example, particularly given their market share for equipment related to renewable energy and the green transition more broadly.

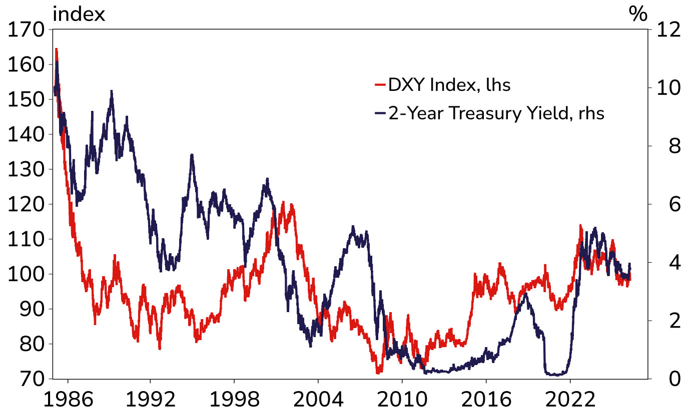
Our base case to June 2028 is largely unchanged from last month for the US dollar, the DXY index projected to fall from 98.2 today to 96.8 at end-2026, then 94.0 come end-2027, where it is forecast to settle. Gains for Euro and Sterling are key contributors, respectively rising from USD1.18 and USD1.35 at present up to USD1.22 and USD1.41 by end-2027.

Starting from such weak levels, the anticipated gains for Japan's Yen and Canada's dollar are also powerful supports for the US dollar downtrend. We expect USD/JPY to fall from JPY159 currently to JPY142 by mid-2028, as USD/CAD declines from CAD1.37 to CAD1.30.

If second-round inflation risks can be managed effectively without a material hit to economic growth or the labour market, then these currencies could experience sustained opportunities to outperform our base expectation further out.

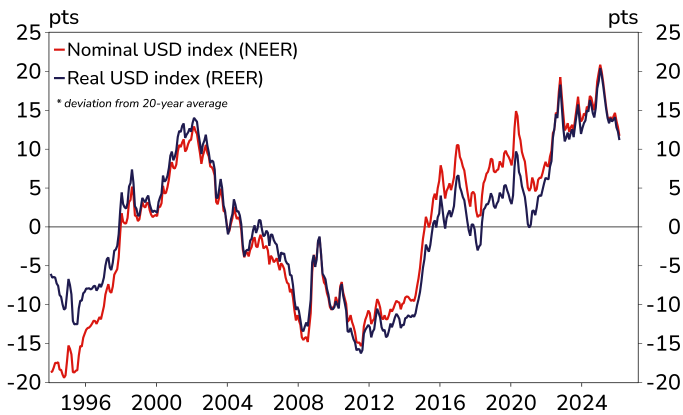
It is not just core developed world currencies that are set to benefit from this turn, however. China's Renminbi has been remarkably resilient during the crisis, only edging up from

USD safehaven status in question



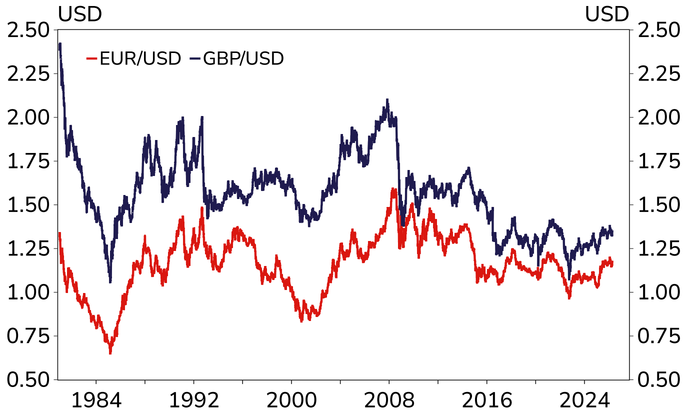
Source: Bloomberg, Macrobond, Westpac Economics

USD risks to downside



Source: BIS, Macrobond, Westpac Economics

Euro and Sterling exposed to energy



Source: Bloomberg, Macrobond, Westpac Economics

... lacks support

around CNY6.85 at end-February to a high of CNY6.91 during March, then steadily moving lower to CNY6.82. This makes sense given China's strategic energy reserves and access to Russian and Iranian oil, among other relationships. But, once the scale and depth of China's manufacturing base across green technologies is taken into consideration, and the acute need for these goods recognised by the world ex-US, this appreciation seems likely to only be the start. To mid-2028, we therefore look for USD/CNY to fall to CNY6.35, and suspect the risks are skewed in one direction, in the Renminbi's favour.

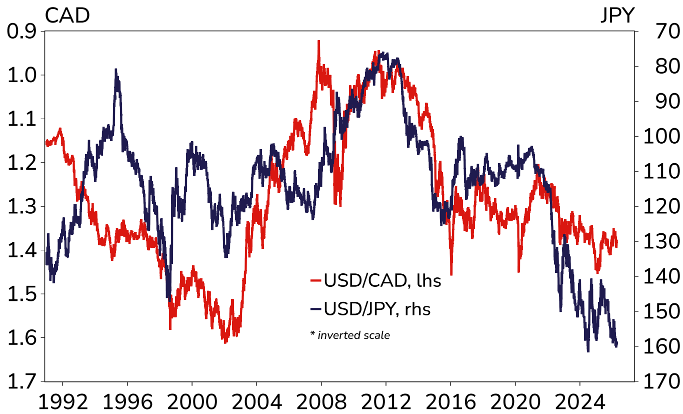
While China's Renminbi is likely to outperform many other US dollar bilaterals over the period, seeing a rise in the currency on a trade-weighted basis, this appreciation is unlikely to upset the nation's competitive advantage. The rest of Asia in particular are likely to use the technology and know-how imported from China to improve their own capacity and lower production costs, aiding their economic performance and attractiveness to foreign capital. Each of the currencies of the region have their own starting points – Singapore's dollar is strong, Indonesia's Rupiah weak as examples – and domestic narratives to play out. But, over the course of two years, all are likely to gain against the US dollar and, to a lesser extent, other cornerstone currencies of the global system, such as Euro and Sterling.

While the uncertainty created by the Middle East conflict leaves us unsure as to when, we increasingly believe that historic safe-havens could find themselves under growing pressure over the forecast period as investors and businesses recognise the scale and breadth of developing market opportunities. These are broad across both manufacturing and service industries – along with core and technological infrastructure – and have very long runways ahead.

For the US dollar in particular, we see a heightened susceptibility, with this global outturn to follow an extended period of US' outperformance and as US geopolitical and fiscal decision making is debated at length across the globe.

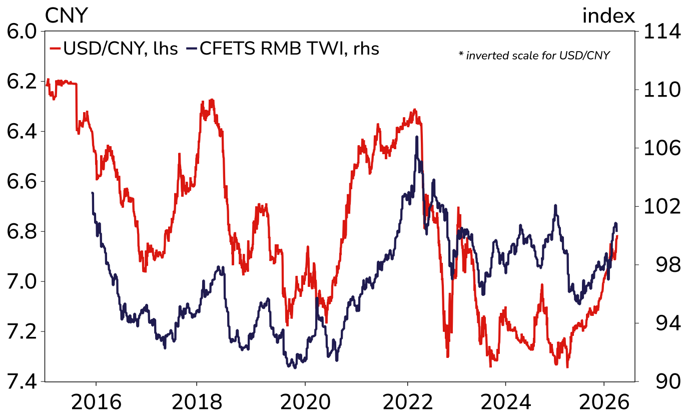
Our current baseline forecast takes the US dollar DXY index near its 20-year average of 90.6, and so we will wait to see how developments break over coming weeks before considering the scale of further downward pressure the US dollar may face. For now we merely highlight that the average of the past 20 years muddies two eras, early-2015 to now when the DXY oscillated around today's level, and mid-2006 to mid-2014 when it instead averaged 80.2, 18% below spot. Coming years may well see a very different FX environment to that experienced post-pandemic.

Concern over CAD to slowly abate



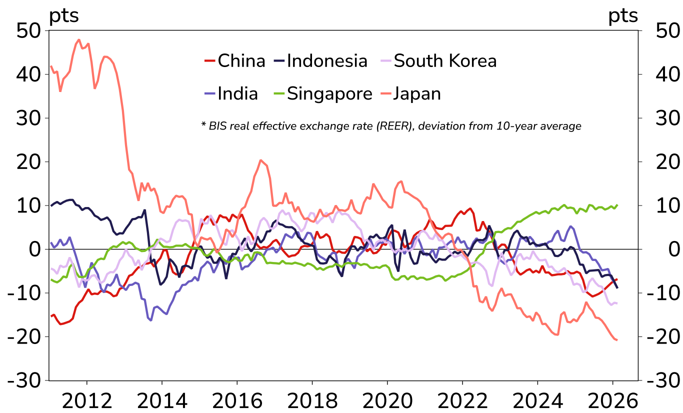
Source: Bloomberg, Macrobond, Westpac Economics

Renminbi to sustain rally



Source: Bloomberg, Macrobond, Westpac Economics

Asia's outlook still promising



Source: BIS, Macrobond, Westpac Economics

War uncertainties are impacting the economy ...

Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war have waxed and waned over the month as markets wavered between very negative and more optimistic scenarios. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. The RBNZ channelled themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a 'hawkish hold' in April. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

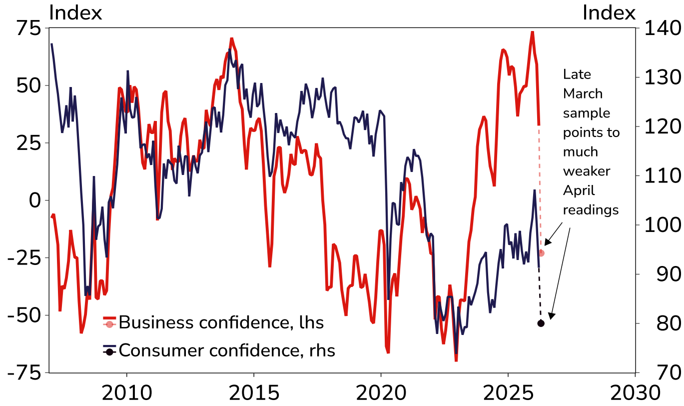
The Iran war and its impacts on New Zealand remained front and centre this month. It is very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And we have seen the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

Fortunately, a hastily arranged cease-fire "deal" has allowed breathing space for further negotiations towards a permanent truce to occur. Unfortunately, initial negotiations failed, leading to the US countering the Iranian plan to restrict maritime traffic with their own blockade of Iranian traffic. This is especially unfortunate since it seems the bulk of tanker traffic exiting the Gulf since hostilities commenced has been Iranian sourced oil. The reality of the situation and the wide disparity between opposing parties' views on the 'deal' does not bode well for a quick resolution. Hence, as we stand today, nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring.

The upshot is that New Zealand's fuel security position remains adequate for now but uncertain looking beyond the next month or so. The Government is working on additional storage options and is fine-tuning plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary. But businesses and consumers remain on edge, which will likely hamper economic activity for at least the next few months.

Against this backdrop of uncertainty, the RBNZ has adopted a more hawkish tone in recent weeks as the prospect of inflation peaking over 4% becomes more tangible. The RBNZ MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps May or July; and a more dovish camp

Business and Consumer confidence



Source: ANZ, Macrobond, Westpac Economics

that is happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, the issue now for the MPC is when, not if, to tighten. And that tightening might come as soon as May, although we are opting for September right now.

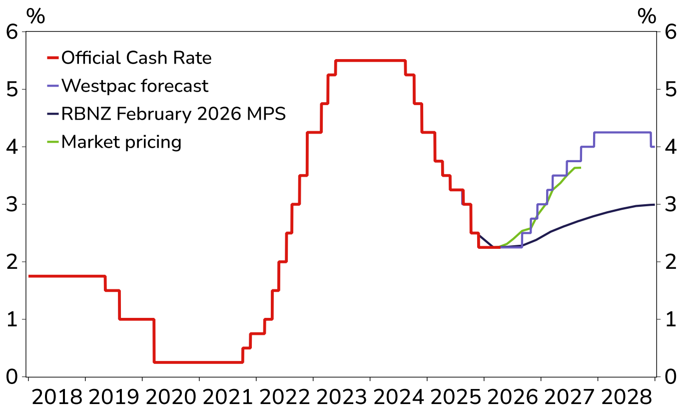
One interesting message from the RBNZ's communications is that they see the economy as having gathered momentum following a slightly disappointing December quarter. Hence, the RBNZ retains optimism that economic momentum will not be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data recently seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, the ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was resilient in March and migration and tourism data showed strong momentum. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started. Our card spending data shows that total spending stalled in March, but there has been a decided swing from spending on discretionary items to petrol.

This more hawkish take from the MPC prompted us to bring forward when we expect OCR increases to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After that, the outlook is cloudier and we expect a more gradual pace of tightening, with OCR increases only at Monetary Policy Statements. We

... and the RBNZ seems set to act decisively

continue to expect that the OCR will peak at 4.25% (above our assessment of neutral, which remains at 3.75%). However, that peak is now expected to be reached in December 2027 - two meetings earlier than we previously assumed. The OCR is expected to remain at that level through 2028 before returning to 3.75% in 2029.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it is easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to start lifting the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking ahead, Governor Breman has noted that further MPC reforms are forthcoming soon. This could at least include more details on individual members' views. Named votes might also be possible – although the time taken perhaps indicates some push-back against transparency somewhere in the system. We hope not and continue to advocate for named votes and a discussion from each MPC member about the rationale for their advice. These reforms will nicely complement the steps forward already taken.

	2025									2026		
Monthly data	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**
REINZ house sales %mth	1.3	–2.1	–4.0	2.5	–2.8	–1.7	6.3	0.6	1.1	–5.1	2.8	–
Residential building consents %mth	–16.1	10.9	–5.2	5.5	6.1	7.4	–0.7	2.7	–4.5	2.0	2.7	–
Electronic card transactions %mth	0.0	–0.1	0.5	0.2	0.6	–0.4	0.3	1.3	–0.2	–1.1	1.4	–
Private sector credit %yr	3.0	3.0	3.2	3.5	3.8	4.2	4.6	4.4	4.6	4.6	4.7	–
Commodity prices %mth	0.0	1.9	–2.4	–1.8	0.7	–1.1	–0.3	–1.6	–2.1	2.0	4.2	4.1
Trade balance $mn	19	–250	–521	–360	–98	278	–225	–362	–206	–336	–851	–

Quarterly data	**Q4:23**	**Q1:24**	**Q2:24**	**Q3:24**	**Q4:24**	**Q1:25**	**Q2:25**	**Q3:25**	**Q4:25**	**Q1:26**
Westpac McDermott Miller Consumer Confidence	88.9	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7
Quarterly Survey of Business Opinion	9	–27	–25	–29	–27	–22	–21	–15	–3	–
Unemployment rate %	4.0	4.4	4.7	4.9	5.1	5.1	5.2	5.3	5.4	–
CPI %yr	4.7	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	–
Real GDP %yr	2.2	1.8	1.1	0.5	–0.3	–0.9	–1.1	–0.6	0.2	–
Current account balance % of GDP	–6.3	–5.7	–5.5	–5.2	–4.7	–4.2	–3.7	–3.5	–3.7	–

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

China set to benefit …

Elliot Clarke
Head of International Economics

China's economy has begun 2026 in good health despite the conflict in the Middle East, registering annual GDP growth of 5.0% in Q1. In time, recent developments are likely to prove a net positive for China, spurring greater demand for green technology across developed and developing markets.

Not only were the March readings for the official NBS manufacturing and services PMI's favourable, registering increases to 50.4 and 50.1, but the partial data through February and March showed the beginning of a long-awaited stabilisation in consumer demand and turn for housing investment, retail sales growth beating estimates in February at 2.8%ytd (although growth slowed again in March to 2.4%ytd) and the decline in property investment almost halving from –17.2%ytd in December to –11.2%ytd in March. The latter result is particularly welcome given construction activity has declined almost 40% since end-2021.

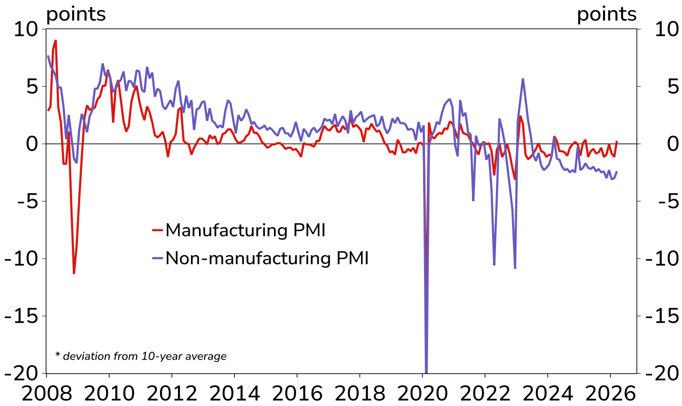
In the short term, an end to the sharp decline in property investment will add meaningfully to economic growth given the sector still makes up circa 15% of the aggregate economy. In the medium to long-term though, not only will investment activity need to expand sustainably, but wealth have to follow. As yet, there is no evidence of price growth, with new and existing home prices falling a further 0.2% in March.

We remain circumspect on the rate at which retail sales growth will accelerate from here near term, anticipating it is unlikely to return to trend, let alone outperform, until pro-active fiscal policy comes into effect. Authorities signalled an intention to act at the March NPC, but detail has been scarce since.

It is potentially the case that the Government wants clean air for reforms, which the Middle East conflict and the upcoming May meeting between President Xi and President Trump precludes for now. Though authorities may also feel the domestic economy has been given additional time to find its own path without intervention. The response of consumers and businesses across developed and developing markets to the current surge in energy prices will almost surely be an acceleration in demand for renewable energy products and electric vehicles, which China is globally dominant in and has ample spare capacity to produce and ship.

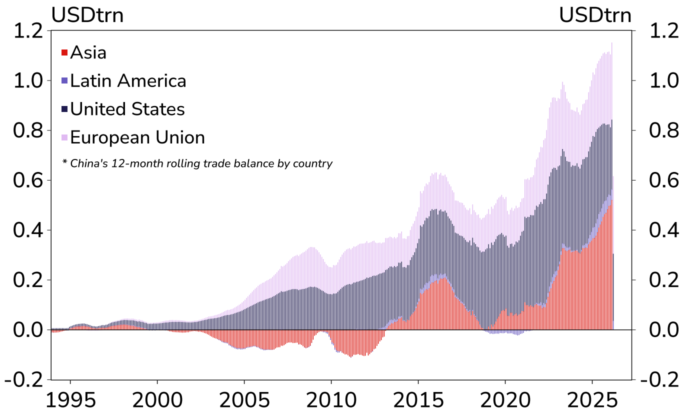
Even without a further material improvement in domestic demand, the short-term downside risks for Chinese GDP growth are receding thanks to this catalyst. Note too, the positive impulse is likely to prove lasting as geopolitical uncertainty over energy supply produces a national imperative to reduce reliance on the Middle East, particularly amongst south-east Asia, Latin America and Africa, where Chinese firms are experiencing particularly rapid demand growth.

Industry resilient to oil shock



Source: CFLP, Macrobond, Westpac Economics

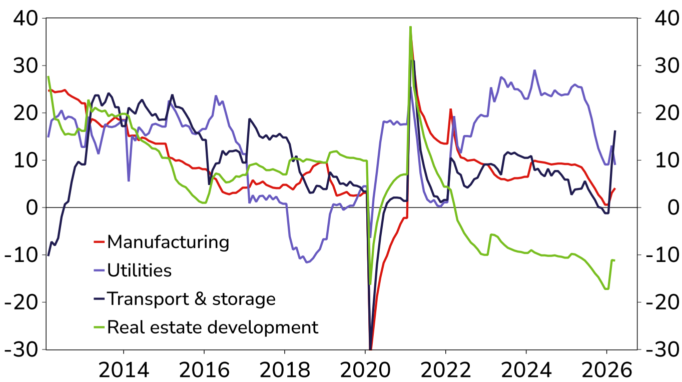
Trade surplus to widen



Source: GAC, Macrobond, Westpac Economics

Property contraction coming to end?

Fixed Asset Investment by Industry (%ytd)



Source: NBS, Macrobond, Westpac Economics

... from global unrest

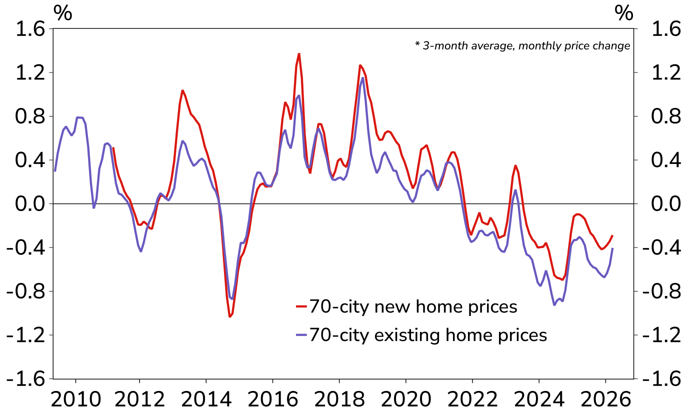
Indeed, the learnings from this crisis, and what is expected to be a favourable result from the May meeting between President Xi and President Trump, could also skew long-term risks for Chinese growth and sentiment to the upside. This is not to say that 5.0% growth is probable for 2026–2028, but rather that growth is increasingly likely to stabilise around 4.5% instead of 4.0%.

Attaining annual growth of 5.0% over successive years would require material gains for trade, industrial investment and property construction and household consumption. The latter would necessitate a dramatic turn in actual and expected wealth and sentiment, however. While not impossible, given the poor starting point on both fronts, this is best considered a low probability and long-coming upside risk.

Sooner than later though, the favourable shift in global opportunities and risks for China is likely to support stronger demand in Chinese financial instruments. Yields and credit spreads will remain compressed, enticing additional real economy investment, and equities should see sustained inflows of new capital.

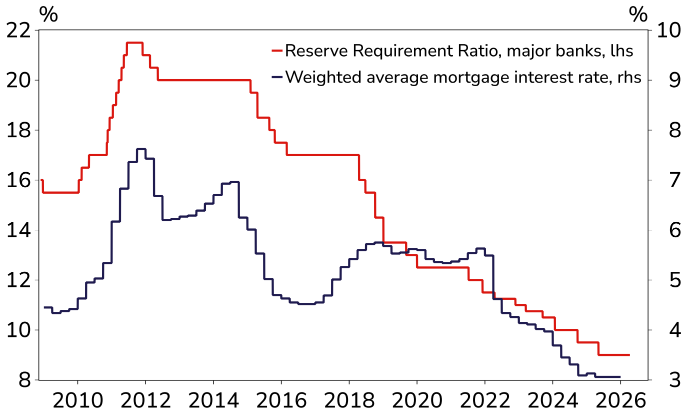
Paired with continued strength in the trade balance and the returns from offshore investments currently being made by Chinese firms, demand for the renminbi will grow in depth and breadth. Given the diversity of Chinese interests across the globe, currency gains are expected on a trade-weighted basis, but will be most acute bilaterally versus the US dollar – the only currency Chinese entities look to be reducing their exposure to. Importantly, trade-weighted currency gains are likely to be proportional to China's competitiveness opportunities, and so should not materially narrow the current account.

Wealth needs support



Source: Bloomberg, Macrobond, Westpac Economics

Pro-active policy crucial



Source: Bloomberg, Macrobond, Westpac Economics

	2025									2026		
Monthly data %yr	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar
Headline CPI %yr	-0.1	-0.1	0.1	0	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0
M2 money supply %yr	8.0	7.9	8.3	8.8	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5
Manufacturing PMI (official)	49.0	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4
Fixed asset investment ytd %yr	4.0	3.7	2.8	1.6	0.5	-0.5	-1.7	-2.6	-3.8	-3.8	1.8	1.7
Industrial production %yr	6.1	5.8	6.8	5.7	5.2	6.5	4.9	4.8	5.2	5.2	6.3	5.7
Exports %yr	8.0	4.6	5.7	7.0	4.2	8.2	-1.3	5.8	6.5	10.0	39.6	2.5
Imports %yr	-0.3	-3.3	1.3	4.2	1.5	7.6	1.1	1.8	5.6	25.6	13.8	27.8
Trade balance USDbn	95.8	102.7	113.9	97.5	101.3	89.7	89.4	111.6	114.1	122.6	91.0	51.1

Quarterly data	Dec–24	Mar–25	Jun–25	Sep–25	Dec–25	Mar–26
Real GDP %yr	5.4	5.4	5.2	4.8	4.5	5.0
Nominal GDP %yr	4.6	4.6	3.9	3.7	3.9	4.9

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

An adverse turn …

Elliot Clarke
Head of International Economics

Headlines tied to the US economy continue to focus on President Trump's Middle East actions and the consequences for global energy prices. Abstracting from this news storm, however, the message from available economic data is the US economy slowed below trend ahead of the conflict, leaving the economy at risk of stalling, at least briefly.

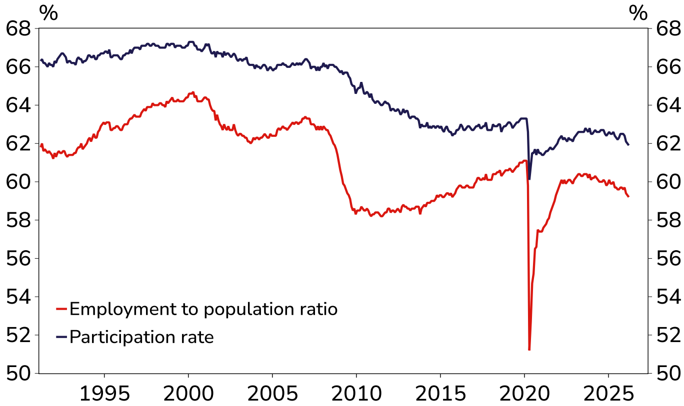
In understanding the US' current state and outlook, it is best to assess recent data chronologically. First estimated at 1.4% annualised, Q4 GDP growth has since been revised to just 0.5%. Underlying the headline revisions, personal consumption growth throttled back from a near-trend 2.4% to a sub-par 1.9%, and business investment from an already-weak 3.7% annualised to 2.4%, as residential investment contracted 1.7% annualised.

Come January and February 2026, personal consumption expenditure was essentially flat and core goods order growth slowed to less than a third of Q4's pace. We do not have reliable data to back the assertion, but it is hard to believe the recent rise in the US 10-year yield and pass-through to the 30-year mortgage rate won't put additional pressure on residential construction. The current Atlanta Fed GDPNow estimate of 1.3% annualised therefore seems likely to slip through April before the formal Q1 GDP result is released by the BEA.

Another step down in momentum, perhaps outright contraction, come Q2 is clearly a risk. The only data to hand for April is the University of Michigan's consumer sentiment survey. Worryingly, the headline index fell to its weakest read on record at 47.6 – an impressive feat considering the survey dates back to 1978 and has averaged 83.8 since, 43% above April's read. Notably, both current conditions and expectations are at all-time lows, and this is despite nonfarm payrolls having bounced back in March and equity markets, in aggregate, showing resilience.

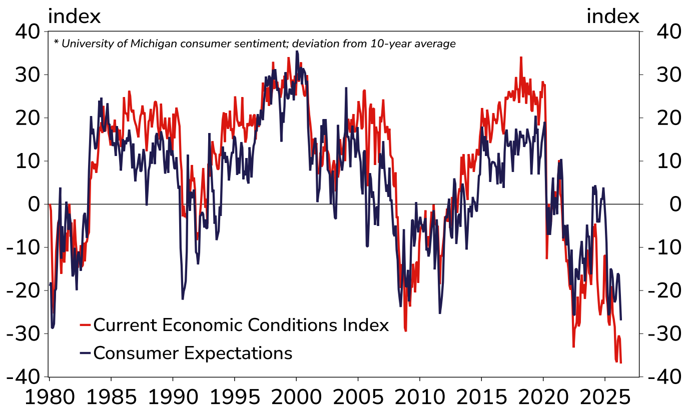
While nonfarm payrolls have averaged a gain of 68k the past three months, this follows the average loss of 8k jobs per month through the second half of 2025 and material downward revisions to historical estimates prior to that. Household employment outcomes have also been materially weaker over the period. The unemployment rate is essentially unchanged since Q2 2025, but the participation rate has fallen almost 0.7ppts over the period, implying an unemployment rate of 5.0% on a constant participation basis. While not an alarming level historically, relative to the average of the past five years, it implies a marked turn in job creation and building downside risks for activity. This is corroborated by the 1.5ppt decline in the household savings rate since April 2025.

Labour market slack is building



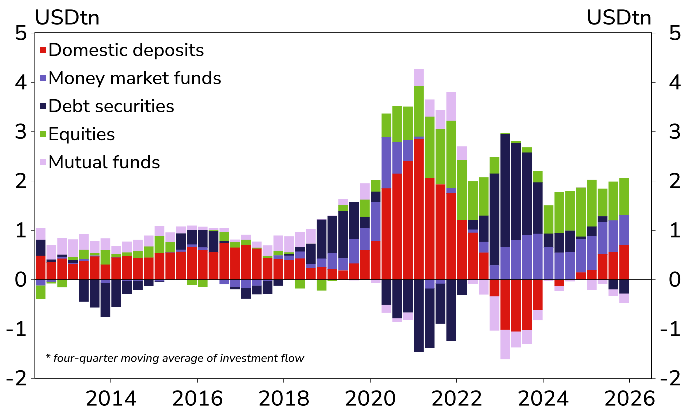
Source: BLS, Macrobond, Westpac Economics

Confidence is at its lows



Source: University of Michigan, Macrobond, Westpac Economics

Wealth being accumulated not spent



Source: Fed, Macrobond, Westpac Economics

... in the making

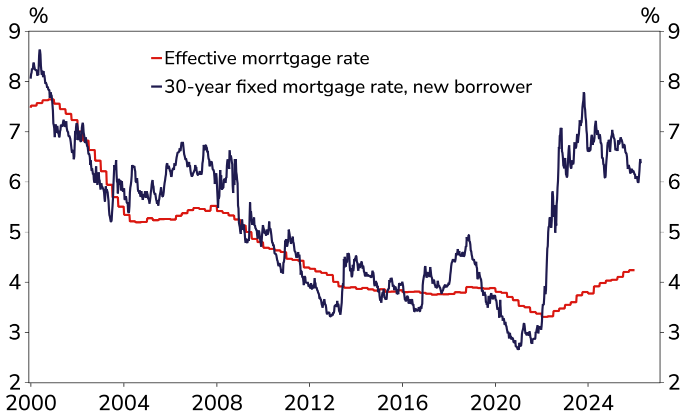
Providing a potential offset is record household wealth. Still, with sentiment as it is, and wealth needing to be liquidated or leveraged to be spent, any wealth effect for consumption is likely to take considerable time to materialise. Furthermore, whereas in the past, the use of wealth by higher-income households could have been complemented by tax breaks and/or cash support for those on lower-incomes, US fiscal authorities no longer have capacity outside of recession.

Taken together, current income and wealth dynamics in the US not only suggest growth is at risk of stalling out mid-year, but also that it could remain weak for an extended period. Thankfully, the FOMC remains equipped with the capacity to support the economy should risks to activity become dominant.

As such, it will be important to assess how the FOMC incorporates upcoming inflation detail into their risk calculations. We expect they will be heartened that the Middle East conflict only impacted headline inflation in March, a 10.9% increase in energy prices tripling the total monthly CPI gain to 0.9%, while core inflation printed a benign 0.2% (core goods prices up 0.1%, and services 0.2%). Although we still believe capacity constraints across the US economy are likely to hold annual core inflation around the 2.6%yr registered in March throughout 2026, this deviation from target is not material enough to preclude further easing if downside risks for the labour market crystallise come Q2 or Q3.

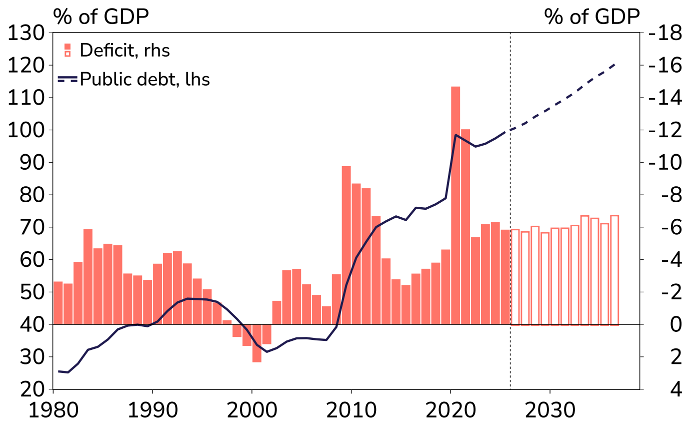
In contrast to the UK and Europe (and Australia and New Zealand), the chance of a policy rate increase is also slim to non-existent in the US. The outlook for short-end rates should therefore limit gains in term yields to a modest upward drift, a function of gradual portfolio reallocation away from US dollar assets and the edging higher of the US fiscal deficit and government debt.

Rates to hold back housing



Source: BEA, Freddie Mac, Macrobond, Westpac Economics

Debt and deficit a constraint



Source: CBO, Macrobond, Westpac Economics

	2025								2026			
Monthly data	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr
PCE deflator %yr	2.5	2.6	2.6	2.7	2.8	2.7	2.8	2.9	2.8	2.8	-	-
Unemployment rate %	4.3	4.1	4.3	4.3	4.4	4.4	4.5	4.4	4.3	4.4	4.3	-
Nonfarm payrolls chg ‘000	13	-20	64	-70	76	-140	41	-17	160	-133	178	-
House prices* %yr	2.8	2.1	1.8	1.6	1.4	1.3	1.5	1.4	1.2	-	-	-
Durables orders core 3mth %saar	2.6	-0.9	8.4	4.0	10.9	9.8	9.8	8.9	5.5	4.7	-	-
ISM manufacturing composite	48.6	49.0	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	-
ISM non–manufacturing composite	50.2	50.8	50.5	51.9	50.4	52.0	52.4	53.8	53.8	56.1	54.0	-
Personal spending 3mth %saar	4.7	3.6	5.1	7.3	6.6	5.5	4.5	4.7	4.3	4.9	-	-
UoM Consumer Sentiment	52.2	60.7	61.7	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	47.6
Trade balance USDbn	-70.6	-57.6	-74.2	-56.0	-49.2	-31.1	-56.0	-72.9	-54.7	-57.3	-	-

Quarterly data	Dec–24	Mar–25	Jun–25	Sep–25	Dec–25	Mar–25(f)
Real GDP % saar	1.9	–0.6	3.8	4.4	0.5	0.8
Current account USDbn	-312.0	-438.3	-247.8	-239.1	-190.7	–

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20–city measure.

Energy, food and a …

Illiana Jain
Economist

Asia is disproportionately impacted by the Middle East conflict because it imports most of its energy from the region and is also more reliant on agriculture. Though agriculture accounts for a small share of GDP, it employs a large share of Asia's labour force, 20-40% in India and parts of ASEAN. Agricultural labour is not easily redeployed given geographic and education constraints. As a result, adverse shocks to agriculture translate quickly into household income losses and weaker domestic demand.

The timing of this energy shock further compounds its impact. Asia is entering this episode with monetary policy having only just normalised after 2022-23's inflation cycle. Further, household balance sheets, particularly in rural areas, are also yet to fully recover from pandemic-era income losses. This may see a rapid pass-through from higher input costs to activity.

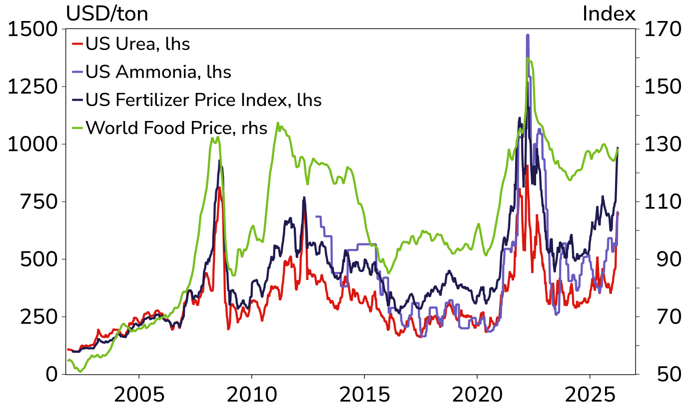
The conflict has also seen the price of fertilizer precursors surge and supply questioned, causing distress among farmers. Given the large agricultural employment share, higher input costs and potential supply shortages threaten incomes for a substantial portion of the population, particularly across India, Thailand, the Philippines, and Indonesia. At the same time, food accounts for a disproportionately large share of household spending in Asia, impacting discretionary spending capacity more than in developed economies.

Even if energy price growth does subside quickly, anecdotal evidence suggests farmers are considering decreasing harvest sizes to reduce their fertiliser usage. This in turn could see food shortages over a number of seasons, turning a transitory shock into an enduring one. In economies where rural credit is used in scale, sustained income pressure also raises the risk of rising delinquencies and a change in lending conditions amplifying the initial shock.

Food and energy accounts for an outsized share of CPI baskets across Asia. India is the most impacted with food and energy encompassing 40% of the CPI basket compared to the US' 17%. The share is even higher for the rural inflation measure. This composition leaves central banks facing a difficult trade-off between supporting growth and anchoring inflation expectations.

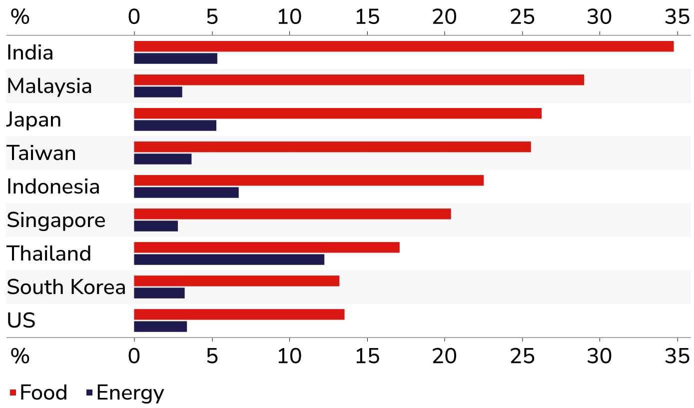
We anticipate they will likely prioritise managing inflation expectations and pause the normalisation of policy. Early evidence of this bias can be seen in Singapore, where the Monetary Authority of Singapore has steepened the appreciation path of the SGD — a pre-emptive tightening, despite slowing growth. The longer the effects of the conflict are felt, the greater the risk of outright contractionary policy.

Risks to food prices tilted up



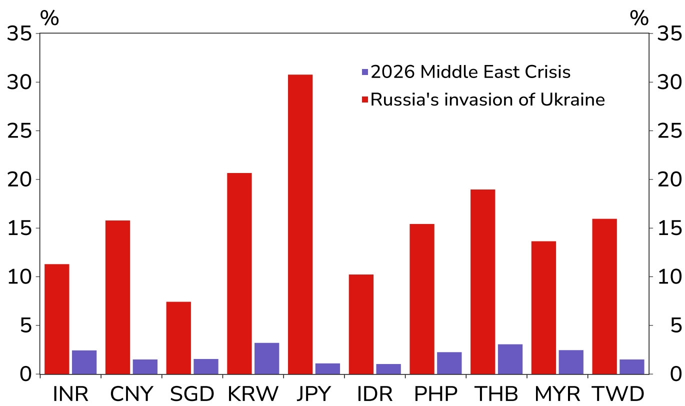
Source: FAO, Bloomberg, Green Markets, Macrobond, Westpac Economics

Asia's CPI basket carries a high share of food



Source: MODS, SBJ, MoS&PI, BPS, DOSM, SingStat, DGBAS, BLS, BTEI, Macrobond, Westpac Economics

Trough to peak depreciation of Asian currencies



Source: Bloomberg, Macrobond, Westpac Economics

... fragmenting Asia

That said, there is plenty of opportunity ahead for Asia.

Asian currencies have held up better than expected in the current risk-off environment. This partly reflects a moderation in broad USD strength, alongside the structural strength in CNY stemming from demand for green investment supporting the trade surplus. This in turn has prompted to Chinese authorities' to cap USD/CNY fixing. By stabilising the renminbi, China has helped bolster confidence in the region overall. During Russia's invasion of Ukraine, major Asian currencies experienced average peak-to-trough depreciations of around 15%; in the current episode, the average move has been closer to 3%. Though there has been considerable variation, with the Korean won and Thai baht among the weakest performers, reflecting their relatively high exposure to energy and food imports and, in South Korea's case, a high degree of equity market volatility.

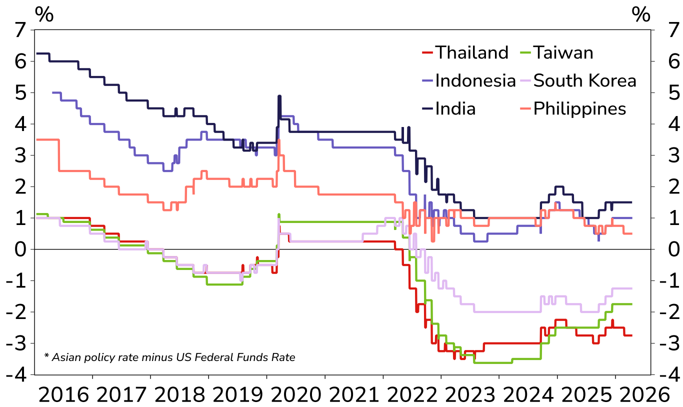
Also supporting growth in the region is the global AI boom and a shot in the arm for green technology demand. Semiconductors demand and investment related to these factors has not slowed, and is continuing to drive growth across northeast Asia.

However, these growth drivers are unevenly distributed. The resilience provided by the AI, green technology and semiconductor cycle is concentrated in Northeast Asia, where export-oriented manufacturing and technology supply chains dominate. In contrast, much of South and Southeast Asia remains more exposed to domestic demand. This divergence suggests that regional growth outcomes are likely to widen further, with technology-intensive economies outperforming as agriculture-dependent economies face continued pressure from higher prices and constrained policy options.

Asia's growth opportunity is therefore strong overall, but fragmented, and there remains multiple sources of vulnerability. Our base case for the Middle East conflict and global economy lays out a constructive period of supply normalisation to year end. As long as this transpires, then the downside risks apparent for the region will fade, and the growth drivers concentrated currently in the northeast should broaden through tertiary and primary industry.

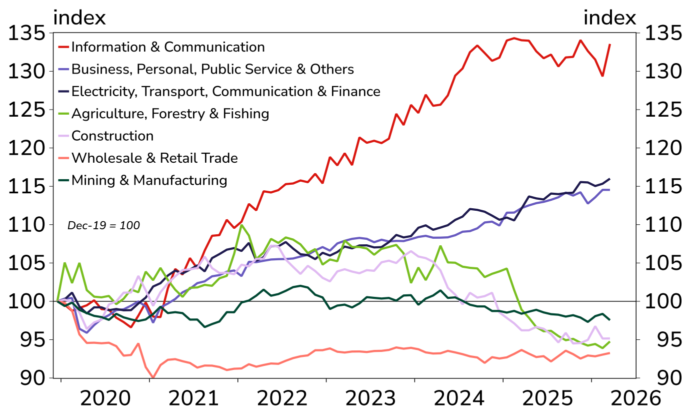
Still, at least for the next few months, it will be important to closely assess the impact of price and supply shocks on those most susceptible to them, and whether policymakers across the region see a need to react forcefully. A shock on either front could destabilise confidence in the real economy and financial markets, precluding benefit from apparent growth opportunities bearing fruit.

Asia at neutral settings but for how long



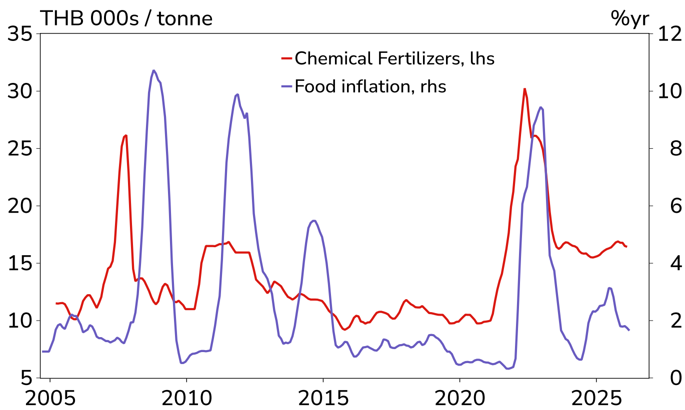
Source: Fed, BOT, CBC, BOK, BSP, BI, RBI, Macrobond, Westpac Economics

South Korea's two-speed labour market



Source: MODS, Macrobond, Westpac Economics

Thai fertiliser and food prices



Source: OAE, BTEI, Macrobond, Westpac Economics

To hike or not to hike ...

Mantas Vanagas
Senior Economist

The major economies of Europe are particularly sensitive to global energy prices. Petrol prices in the euro area are substantially higher than in other major economies, including Australia. And, once household utilities are taken into account, energy represents a larger share of household budgets, and thus a higher weight for consumer inflation.

Over the past week, a ceasefire has held between US/Israel and Iran alongside a modest pick up in shipping through the Strait of Hormuz, despite the US' blockade of Iranian ports. If further negotiations lead to a formal peace agreement, the resumption of energy trade could progress more quickly than our broadly unchanged baseline assumes. Yet, with the full scale of damage still to be assessed and considerable disruption evident across global supply chains, there remains considerable 'known unknowns' for Europe's short-term inflation pulse and medium-term expectations.

Following its March policy meeting, the ECB updated its baseline economic projections and also published a set of stress scenarios to provide colour on the Governing Council's initial thoughts on the impact of the Middle East conflict on the Euro Area's economy and policy outlook.

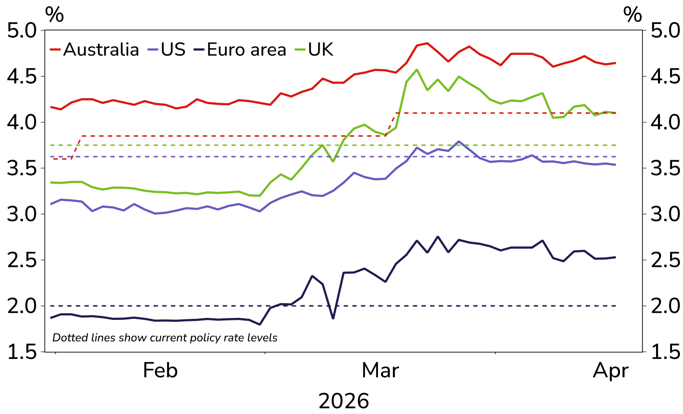
Under the 'adverse' scenario, the ECB assumed a blockade of the Strait of Hormuz in Q2 2026, disrupting 40% of oil and LNG flows. Commodity prices surge and financial market uncertainty rises temporarily. But with the region's energy infrastructure assumed to remain largely intact, supply recovers quickly once restrictions are lifted in Q3 2026.

The 'severe' scenario assumed a more prolonged and intense disruption, however, with 60% of flows affected and military action damaging energy infrastructure. Supply restoration is delayed, beginning only in Q1 2027 and proceeding gradually thereafter. Under such conditions, financial market uncertainty is also more pronounced and persistent.

Oil and European gas prices are currently only moderately above the ECB's baseline assumptions – a Brent oil price of almost US$90/bbl and gas price of €50/MWh.

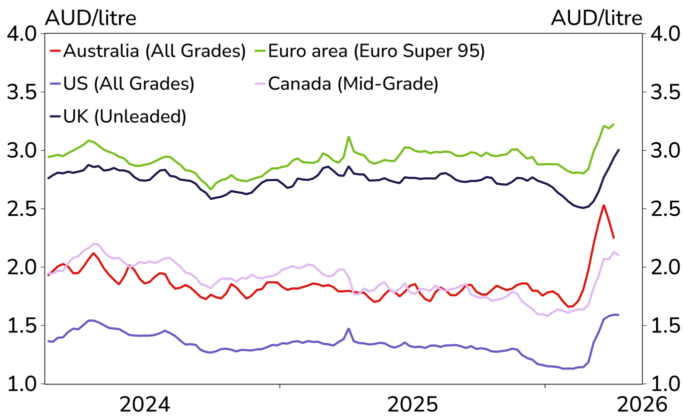
However, elements of both stress scenarios are apparent in present circumstances in the Middle East. With shipping flows through the Strait of Hormuz still negligible, the Q2 assumption of 60% of traffic under the adverse scenario – equivalent to a 40% disruption – is beginning to look like a stretch target. If little progress is made in coming weeks, traffic will have to surge back to pre-war levels in June for the quarter average to be close to 60%.

Market-implied policy rates for December 2026



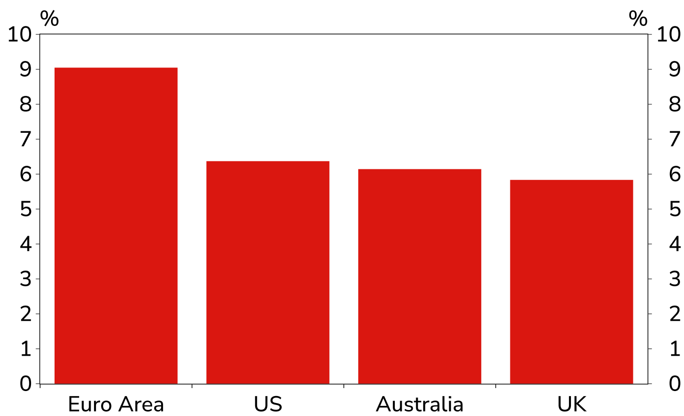
Source: Bloomberg, Macrobond, Westpac Economics

Petrol prices



Source: EIA, BEIS, DG ENERGY, NRCan, Macrobond, Westpac Economics

Energy weight in CPI basket



Source: ABS, Eurostat, ONS, BLS, Macrobond, Westpac Economics

... to remain an open question

The degree of infrastructure damage could also be closer to the severe scenario's assumptions. Indeed, ECB President Lagarde highlighted concern on this front, warning that "too much has already been damaged, and there is no way it can be restored in the matter of months".

Hence, euro area inflationary pressures may exceed the ECB's baseline inflation projections in coming months and the recovery could still prove materially slower than this scenario assume, raising the risk of second-round price effects and unsettled expectations.

In her speech at the ECB Watchers Conference on 25 March, President Lagarde outlined how the central bank would navigate such shocks. She noted that policy should look through a supply shock that is limited in size and short lived. By contrast, the response should be "appropriately forceful" if inflation is expected to deviate significantly or persistently from target. Between these extremes, "some measured adjustment of policy could be warranted".

While circumstances are fluid, we think the current situation is likely to fall into this intermediate category warranting a 25bp hike at the June meeting when the staff's forecasts are next updated. We anticipate another hike in Q3 provided some degree of supply restrictions persists beyond June, as per our current baseline.

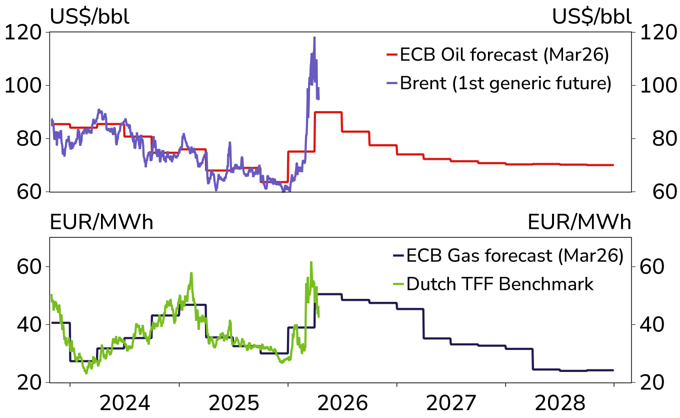
Meanwhile in the UK, an abrupt shift in the policy outlook has occurred, from a rate cutting cycle before the war to an expectation of successive hikes over the coming months, fuelled by even the most (previously) dovish MPC members voting to keep policy rates unchanged in March.

Year-ended inflation will probably continue falling in the near-term thanks to base effects and regulated household energy prices smoothing the price shock. However, the inflation pulse will then turn, peaking near 4.0%yr, twice the policy target.

The smoothing influence of regulated prices also buys the BoE time to assess underlying price dynamics and second-round price risks. An update of forecasts at the next meeting, scheduled for 30 April, and guidance provided by the MPC will set expectations for subsequent policy deliberations.

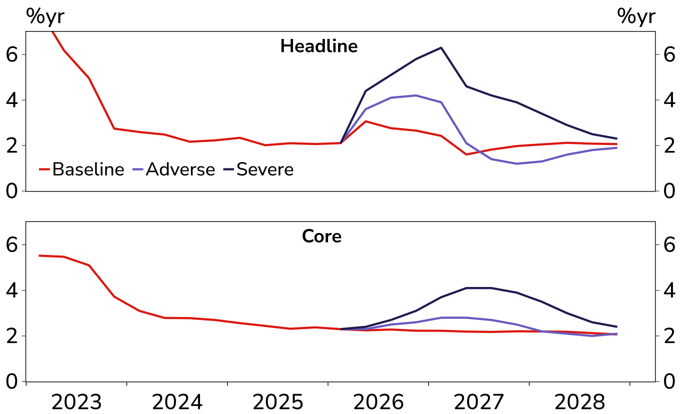
Some MPC members may conclude that a shift from an easing cycle to a prolonged pause is sufficient to restrain momentum and ward off update inflation risks. Though, in our view, the more probable path is at least one hike in Q2 and a clear message that the policy stance will shift as current momentum and risks dictate. A second hike in Q3 is, at this stage, best considered a 50/50 proposition.

ECB forecast assumptions



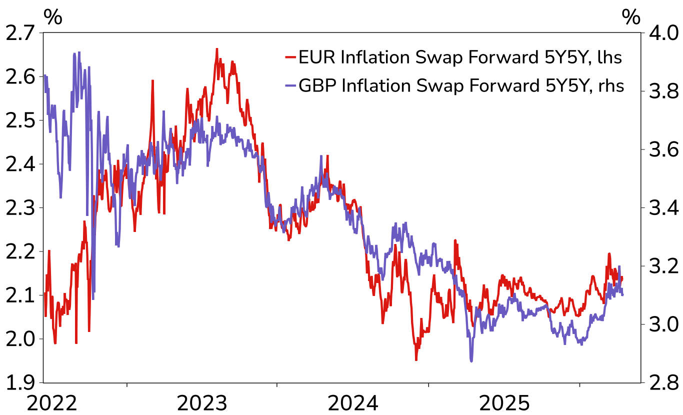
Source: ECB, Macrobond, Westpac Economics

ECB HICP inflation scenarios



Source: ECB, Macrobond, Westpac Economics

Medium-term inflation expectations



Source: , Macrobond, Westpac Economics

Australia

Interest rate forecasts

	Latest (Apr 17)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.63	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	69	65	65	60	55	50	40	30	20	15

Currency forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD vs										
USD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
JPY	114.00	114	112	112	111	111	110	108	105	104
EUR	0.6079	0.61	0.61	0.61	0.61	0.61	0.61	0.61	0.60	0.60
NZD	1.2159	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10
CAD	0.9814	0.99	0.98	0.98	0.98	0.99	0.98	0.98	0.96	0.95
GBP	0.5295	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52
CHF	0.5611	0.55	0.55	0.55	0.55	0.55	0.55	0.55	0.55	0.55
DKK	4.5427	4.56	4.56	4.58	4.55	4.57	4.53	4.53	4.49	4.49
SEK	6.5834	6.61	6.61	6.64	6.59	6.62	6.57	6.57	6.51	6.51
NOK	6.7044	6.73	6.73	6.76	6.71	6.74	6.69	6.69	6.62	6.62
ZAR	11.75	11.8	11.8	11.9	11.9	11.9	11.9	11.9	12.0	12.0
SGD	0.9118	0.91	0.91	0.92	0.92	0.93	0.93	0.93	0.92	0.92
HKD	5.6067	5.62	5.61	5.68	5.66	5.74	5.74	5.74	5.66	5.66
PHP	43.09	42.5	42.1	42.3	42.0	42.2	41.4	40.7	39.4	39.4
THB	22.94	22.8	22.6	22.8	22.6	22.8	22.6	22.3	22.0	22.0
MYR	2.8349	2.84	2.84	2.85	2.85	2.85	2.85	2.85	2.77	2.77
CNY	4.8833	4.90	4.86	4.89	4.82	4.81	4.77	4.74	4.64	4.64
IDR	12278	12240	12096	12118	12045	12136	12062	11988	11680	11680
TWD	22.61	22.5	22.1	22.0	21.7	21.6	21.2	21.0	20.6	20.6
KRW	1060	1058	1051	1051	1037	1036	1021	1006	978	978
INR	66.81	66.2	65.5	65.7	65.0	65.9	65.1	65.1	63.5	63.5

Australia

Activity forecasts

	2025		2026				2027		Calendar years			
%qtr / %yr end	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
Household consumption	0.5	0.3	0.6	0.0	0.2	0.4	0.5	0.5	2.4	1.2	2.1	3.3
Dwelling investment	2.0	0.6	1.4	1.3	1.0	0.9	0.8	0.8	5.5	4.7	3.2	5.5
Business investment *	3.8	0.5	0.9	0.3	0.4	0.3	0.3	0.4	4.4	1.8	2.0	3.5
Private demand *	1.3	0.4	0.7	0.2	0.3	0.4	0.5	0.5	3.2	1.7	2.2	3.5
Public demand *	1.3	0.8	0.8	0.7	0.5	0.5	0.6	0.6	2.1	2.5	2.4	2.6
Domestic demand	1.3	0.5	0.8	0.3	0.4	0.4	0.5	0.5	2.9	1.9	2.3	3.3
Stock contribution	–0.5	0.4	–0.2	0.0	0.0	0.0	0.0	–0.1	0.1	–0.2	–0.1	0.1
GNE	0.8	0.9	0.6	0.4	0.3	0.4	0.5	0.5	3.0	1.8	2.2	3.3
Exports	1.4	1.4	0.4	0.4	0.4	0.4	0.6	0.7	5.2	1.6	2.5	2.4
Imports	2.0	1.8	1.0	1.2	1.3	1.4	1.2	1.2	6.7	4.9	5.1	4.5
Net exports contribution	–0.1	–0.1	–0.1	–0.2	–0.2	–0.2	–0.1	–0.1	–0.3	–0.8	–0.6	–0.5
Real GDP %qtr / %yr avg	**0.5**	**0.8**	**0.5**	**0.2**	**0.1**	**0.2**	**0.3**	**0.4**	**2.0**	**1.8**	**1.2**	**2.4**
%yr end	**2.1**	**2.6**	**2.6**	**1.9**	**1.6**	**1.0**	**0.9**	**1.1**	**2.6**	**1.0**	**1.6**	**2.8**
Nominal GDP %qtr / %yr avg	1.9	1.8	3.0	1.5	1.6	0.5	0.6	0.7	4.7	7.8	3.4	0.0
%yr end	5.4	6.0	7.7	8.5	8.2	6.8	4.3	3.5	6.0	6.8	3.1	0.0
Real household disp. income	0.8	1.0	–0.6	–0.8	0.0	0.2	0.4	1.0	3.7	–1.2	2.3	3.4

Other macroeconomic variables

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
Employment %qtr **	0.2	0.2	0.7	0.3	0.2	0.1	0.4	0.5	–	–	–	–
%yr end **	1.4	1.1	1.5	1.4	1.4	1.3	1.1	1.3	1.1	1.3	1.7	2.3
Unemployment rate % **	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4
Current account $bn, qtr	–18.3	–21.1	–18.9	–20.5	–23.3	–27.1	–29.7	–31.1	–	–	–	–
% of GDP	–2.6	–2.9	–2.5	–2.7	–3.0	–3.5	–3.9	–4.0	–2.6	–3.5	–4.2	–4.0
Terms of trade %yr avg	–3.3	–2.3	0.0	2.0	3.1	4.0	1.8	-0.4	–2.3	4.0	–4.0	–2.5
Population %yr end	1.6	1.6	1.5	1.5	1.5	1.5	1.4	1.4	1.6	1.5	1.4	1.4

Calendar year changes are annual through–the–year percentage changes unless otherwise specified.
* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

Macroeconomic variables – recent history

	2025								2026			
Monthly data	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**
CPI %yr	2.1	1.9	3.0	3.2	3.6	3.8	3.4	3.8	3.8	3.7	–	–
Employment '000 chg	–5.9	–5.0	35.2	–13.7	11.2	34.2	–34.6	64.3	25.6	49.7	17.9	–
Unemployment rate %	4.1	4.3	4.3	4.3	4.5	4.3	4.3	4.1	4.1	4.3	4.3	–
Westpac-MI Consumer Sentiment	92.1	92.6	93.1	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.2
Household spending %mth	1.1	0.3	0.4	0.0	0.3	1.3	1.0	–0.5	0.3	0.3	–	–
Dwelling approvals %mth	3.3	13.6	–8.5	–4.3	11.7	–6.8	14.9	–14.2	–7.2	29.7	–	–
Private sector credit %mth	0.6	0.6	0.7	0.6	0.6	0.7	0.6	0.8	0.5	0.6	–	–
Trade in goods balance AUDbn	1.8	4.7	6.4	0.9	3.5	4.6	2.3	3.4	2.3	5.7	–	–

New Zealand

Interest rate forecasts

	Latest	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.44	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.68	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US	36	50	55	55	55	55	50	45	40	35
10 Year Spread to Aust	-33	-15	-10	-5	0	5	10	15	20	20

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
NZD vs										
USD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
JPY	93.76	93	95	95	97	99	99	98	96	95
EUR	0.5000	0.50	0.52	0.52	0.53	0.55	0.55	0.55	0.55	0.55
AUD	0.8225	0.82	0.84	0.85	0.87	0.89	0.90	0.91	0.91	0.91
CAD	0.8072	0.81	0.83	0.83	0.85	0.88	0.89	0.88	0.87	0.87
GBP	0.4355	0.44	0.45	0.45	0.46	0.47	0.48	0.48	0.47	0.47
CNY	4.0195	4.01	4.10	4.15	4.21	4.29	4.31	4.29	4.23	4.23

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
Private consumption	0.1	–0.1	0.5	–0.6	0.3	1.5	1.4	1.4	1.4	0.6	4.7	4.3
Government consumption	1.4	2.2	–1.1	0.2	0.3	0.3	0.3	0.3	2.4	1.7	1.4	2.2
Residential investment	1.1	–0.1	1.5	1.0	1.0	1.0	2.0	3.0	–6.0	2.7	8.3	10.5
Business investment	2.9	–3.1	3.7	–0.3	1.6	2.2	2.5	2.0	0.4	3.6	7.3	4.0
Stocks (ppt contribution)	–0.5	0.8	0.3	–0.3	0.0	–0.1	0.2	0.0	–0.1	0.6	0.0	–0.1
GNE	0.6	0.5	1.1	–0.6	0.6	1.2	1.6	1.3	0.8	2.1	4.7	4.0
Exports	3.0	0.1	0.5	–0.3	–0.4	0.2	1.0	1.1	2.7	2.4	2.1	2.7
Imports	2.3	1.0	2.1	–1.1	0.1	1.2	1.8	2.7	3.4	2.8	6.3	5.2
GDP (production)	0.9	0.2	0.8	–0.4	0.5	1.0	1.4	0.8	0.2	1.5	3.5	3.3
Employment annual %	–0.7	0.2	0.5	0.6	1.0	1.2	1.9	2.8	0.2	1.2	3.1	2.0
Unemployment rate % s.a.	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.4	5.4	4.6	4.2
LCI, all sect incl o/t, ann %	2.1	2.0	2.0	1.9	2.2	2.3	2.3	2.2	2.0	2.3	2.2	2.3
CPI annual %	3.0	3.1	2.8	4.3	4.2	3.9	3.5	1.6	3.1	3.9	1.7	2.6
Current account % of GDP	–3.5	–3.7	–3.9	–4.1	–4.3	–4.3	–4.1	–4.0	–3.7	–4.3	–4.0	–4.2
Terms of trade annual %	5.2	3.5	0.8	–3.3	0.0	1.2	5.3	6.3	3.5	1.2	5.0	0.4

Sources: Statistics NZ, Westpac Economics.

Commodity prices

End of period	Latest (Apr 17)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Australian commodities index#	402	421	425	405	389	380	370	362	353	347
Bulk commodities index#	**387**	**400**	**360**	**340**	**340**	**340**	**340**	**340**	**350**	**350**
iron ore finesTSI @ 62% US$/t	108	92	86	83	84	85	85	86	86	87
Premium low vol met coal (US$/t)	232	230	220	200	201	203	204	205	207	208
Newcastle spot thermal coal (US$/t)	141	150	135	120	121	121	122	123	124	124
crude oil (US$/bbl) Brent	96	105	90	75	70	55	58	53	48	54
LNG in Japan US$mmbtu	17.45	26.0	25.3	18.9	15.0	13.7	10.6	9.9	9.7	9.0
gold (US$/oz)	4,815	4,850	4,930	5,000	5,000	4,950	4,900	4,850	4,700	4,400
Base metals index#	**265**	**265**	**269**	**273**	**273**	**269**	**263**	**248**	**233**	**249**
copper (US$/t)	13,210	13,150	13,250	13,350	13,350	13,250	13,150	12,360	11,540	13,030
aluminium (US$/t)	3,637	3,650	3,800	4,000	4,000	3,850	3,650	3,500	3,350	3,300
nickel (US$/t)	18,024	17,800	17,900	17,950	17,950	17,850	17,550	17,000	16,000	15,750
zinc (US$/t)	3,388	3,370	3,380	3,390	3,390	3,380	3,360	3,080	2,800	3,030
lead (US$/t)	1,932	1,930	1,940	1,940	1,940	1,900	1,800	1,610	1,430	1,560
Rural commodities index#	**141**	**139**	**142**	**143**	**142**	**137**	**133**	**128**	**117**	**129**
NZ commodities index ##	**410**	**407**	**413**	**412**	**410**	**410**	**412**	**414**	**415**	**416**
dairy price index ##	352	342	342	342	345	349	353	357	359	361
whole milk powder USD/t	3,687	3,450	3,420	3,400	3,500	3,600	3,670	3,750	3,790	3,830
skim milk powder USD/t	3,381	3,000	2,970	2,950	3,000	3,050	3,100	3,150	3,180	3,210
lamb price index ##	631	656	679	651	633	622	621	620	617	612
beef price index ##	391	407	427	413	404	398	398	397	396	395
forestry price index ##	153	153	153	153	154	154	154	154	155	156

	levels				% change			
Annual averages	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
Australian commodities index#	**324**	**412**	**375**	**350**	**4.1**	**27.3**	**–8.9**	**–6.7**
Bulk commodities index#	**378**	**378**	**345**	**354**	**–12.7**	**0.1**	**–8.8**	**2.5**
iron ore fines @ 62% USD/t	102	93	85	87	–6.9	–8.8	–8.8	2.8
LNG in Japan $mmbtu	11.8	20.5	13.0	9	–9.6	74.3	–36.5	–28.2
ave coking coal price (US$/t)	166	181	174	179	–19.6	9.6	–4.3	2.9
ave thermal price (US$/t)	119	130	119	121	–12.1	9.2	–9.1	2.4
iron ore fines contracts (US¢ dltu)	143	137	120	123	–12.2	–4.1	–12.0	1.8
Premium low vol met coal (US$/t)	188	223	203	184	–21.7	18.4	–9.1	–9.5
crude oil (US$/bbl) Brent ICE	67	92	61	53	–13.2	36.6	–33.7	–12.9
gold (US$/oz)	3,470	4,910	4,940	4,541	44.0	41.5	0.6	–8.1
Base metals index#	**208**	**262**	**264**	**245**	**3.1**	**25.7**	**0.8**	**–7.4**
copper (US$/t)	10,000	13,100	13,100	12,800	8.7	31.0	0.0	–2.3
aluminium (US$/t)	2,600	3,600	3,800	3,300	8.3	38.5	5.6	–13.2
nickel (US$/t)	15,300	17,700	17,700	16,100	–9.5	15.7	0.0	–9.0
zinc (US$/t)	2,900	3,300	3,300	3,000	3.6	13.8	0.0	–9.1
lead (US$/t)	2,000	1,900	1,800	1,500	–4.8	–5.0	–5.3	–16.7
Rural commodities index#	**120**	**139**	**135**	**125**	**–5.0**	**16.0**	**–2.7**	**–7.4**
NZ commodities index ##	**390**	**407**	**411**	**416**	**9.2**	**4.2**	**1.2**	**1.2**
dairy price index ##	348	339	351	361	9.7	–2.7	3.6	2.9
whole milk powder USD/t	3,902	3,509	3,594	3,829	13.5	–10.1	2.4	6.5
skim milk powder USD/t	2,702	3,020	3,054	3,216	0.6	11.7	1.1	5.3
lamb price index ##	587	657	626	609	27.0	11.8	–4.6	–2.7
beef price index ##	337	408	400	394	19.1	20.9	–1.9	–1.4
forestry price index ##	152	152	154	156	–4.9	0.5	1.1	1.1

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Weekly averages except for the Bulks Index. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

United States

Interest rate forecasts

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Fed Funds*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.31	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (Apr 17)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
USD vs										
DXY index	98.22	98.0	97.7	96.8	95.9	95.1	94.3	94.0	94.1	93.9
JPY	159.11	158	156	154	152	150	148	146	144	142
EUR	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
AUD	0.7164	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD	0.5892	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
CAD	1.3699	1.37	1.36	1.35	1.34	1.34	1.33	1.32	1.31	1.30
GBP	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
CHF	0.7831	0.77	0.76	0.75	0.75	0.74	0.74	0.74	0.75	0.75
ZAR	16.40	16.4	16.4	16.2	16.2	16.1	16.1	16.1	16.5	16.5
SGD	1.2726	1.27	1.26	1.26	1.26	1.26	1.26	1.25	1.25	1.25
HKD	7.8253	7.80	7.79	7.78	7.76	7.75	7.75	7.75	7.75	7.75
PHP	60.00	59.0	58.5	58.0	57.5	57.0	56.0	55.0	54.0	54.0
THB	32.02	31.6	31.4	31.2	31.0	30.8	30.6	30.2	30.1	30.1
MYR	3.9541	3.95	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
IDR	17139	17000	16800	16600	16500	16400	16300	16200	16000	16000
TWD	31.55	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2
KRW	1480	1470	1460	1440	1420	1400	1380	1360	1340	1340
INR	93.20	92.0	91.0	90.0	89.0	89.0	88.0	88.0	87.0	87.0

Activity forecasts

	2025				2026				Calendar years			
% annualised, s/adj	**Q1**	**Q2**	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**2025**	**2026f**	**2027f**	**2028f**
Private consumption	0.6	2.5	3.5	1.9	1.1	1.3	1.7	1.7	2.6	1.8	1.9	2.1
Dwelling investment	–1.0	–5.1	–7.1	–1.7	0.8	0.0	0.0	0.8	–2.2	–1.3	0.9	2.0
Business investment	9.5	7.3	3.2	2.4	2.0	1.7	2.4	3.1	4.1	2.6	3.0	3.4
Public demand	–1.0	–0.1	2.2	–5.6	0.0	0.4	0.4	0.4	1.1	–0.7	0.4	0.4
Domestic final demand	1.5	2.5	2.9	0.6	1.1	1.2	1.5	1.7	2.4	1.4	1.8	2.0
Inventories contribution ppt	0.7	–0.4	–0.4	–0.1	–0.8	0.1	0.1	0.1	–0.1	0.1	0.0	0.0
Net exports contribution ppt	–1.8	–0.1	0.5	0.4	1.6	0.2	–0.3	–0.4	–0.3	0.3	–0.3	–0.3
GDP	–0.6	3.8	4.4	0.5	0.8	1.0	1.3	1.5	2.1	1.5	1.6	1.8
%yr annual chg	2.0	2.1	2.3	2.0	2.4	1.6	0.9	1.1	–	–	–	–

Other macroeconomic variables

Non–farm payrolls mth avg	68	56	11	–30	44	60	60	70	26	59	90	120
Unemployment rate %	4.1	4.2	4.3	4.4	4.3	4.5	4.6	4.7	4.4	4.7	4.8	4.7
CPI headline %yr	2.7	2.4	2.9	2.7	2.7	3.2	3.1	2.9	2.7	2.9	2.4	2.3
PCE deflator, core %yr	2.8	2.7	2.9	2.9	2.9	2.9	2.7	2.5	2.8	2.5	2.3	2.2

Sources: Official agencies, Factset, Westpac Economics.

Europe & the United Kingdom

Interest rate forecasts

	Latest (Apr 17)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Euro Area										
ECB Deposit Rate	2.00	2.25	2.50	2.50	2.50	2.50	2.25	2.00	2.00	2.00
10 Year Bund	3.03	3.10	3.10	3.10	3.05	3.00	2.95	2.90	2.90	2.90
10 Year Spread to US	–128	–125	–130	–135	–145	–155	–165	–175	–180	–185
United Kingdom										
BoE Bank Rate	3.75	4.00	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
10 Year Gilt	4.85	4.90	4.95	4.95	4.95	4.90	4.85	4.80	4.75	4.75
10 Year Spread to US	54	55	55	50	45	35	25	15	5	0

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (Apr 17)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
euro vs										
USD	1.1786	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
JPY	187.53	186	184	183	182	182	181	178	175	173
GBP	0.8710	0.87	0.87	0.87	0.87	0.87	0.87	0.87	0.86	0.86
CHF	0.9230	0.91	0.90	0.90	0.90	0.90	0.91	0.91	0.91	0.91
DKK	7.4730	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47
SEK	10.83	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8	10.8
NOK	11.03	11.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0
sterling vs										
USD	1.3532	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
JPY	215.31	214	212	211	210	209	207	206	202	200
CHF	1.0597	1.04	1.03	1.03	1.03	1.03	1.04	1.05	1.05	1.06
AUD	0.5295	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026f	2027f	2028f
Euro area GDP	3.7	0.5	0.9	1.5	0.8	1.3	1.6
private consumption	5.3	0.6	1.3	1.5	1.1	1.2	1.4
fixed investment	2.2	2.7	–2.6	3.1	1.5	2.2	2.5
government consumption	1.3	1.5	2.3	1.6	2.2	2.1	1.9
net exports contribution ppt	–0.1	0.3	0.3	–0.6	–0.4	–0.1	–0.2
Germany GDP	1.9	–0.7	–0.5	0.4	0.6	1.4	1.7
France GDP	2.8	1.6	1.1	0.9	0.9	1.0	1.3
Italy GDP	5.0	1.0	0.6	0.7	0.6	0.8	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.1	2.0	2.1
Netherlands GDP	5.0	–0.6	1.1	1.9	1.3	1.3	1.6
United Kingdom GDP	5.1	0.3	1.1	1.4	0.7	1.2	1.5

Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026f	2027f	2028f
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	–0.3	0.1	0.1	0.9	1.3	1.7
Producer prices %yr	10.3	–0.7	–2.7	–2.3	–2.6	0.3	0.8	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.0	4.8	4.6
Retail sales	12.5	–0.2	7.2	3.5	4.1	4.4	4.6	4.8
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.5
Fixed asset investment	4.9	5.1	3.0	3.2	–1.0	3.6	4.0	4.5
Exports %yr	20.9	–9.9	–2.3	10.7	5.1	3.0	2.8	2.5
Imports %yr	19.5	–7.5	0.2	0.9	0.0	1.5	1.5	1.2

Source: Macrobond, Bloomberg. Year–to–date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1–year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (Apr 17)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Policy Rate	0.75	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
10 Year Bond Yield	2.41	2.20	2.15	2.10	2.05	2.00	1.95	1.90	1.85	1.80

Currency forecasts

	Latest (Apr 17)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
JPY	159.11	158	156	154	152	150	148	146	144	142
SGD	1.2726	1.27	1.26	1.26	1.26	1.26	1.26	1.25	1.25	1.25
HKD	7.8253	7.80	7.79	7.78	7.76	7.75	7.75	7.75	7.75	7.75
PHP	60.00	59.0	58.5	58.0	57.5	57.0	56.0	55.0	54.00	54.00
THB	32.02	31.6	31.4	31.2	31.0	30.8	30.6	30.2	30.1	30.1
MYR	3.9541	3.95	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80
CNY	6.8227	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
IDR	17139	17000	16800	16600	16500	16400	16300	16200	16000	16000
TWD	31.55	31.2	30.7	30.2	29.7	29.2	28.7	28.4	28.2	28.2
KRW	1480	1470	1460	1440	1420	1400	1380	1360	1340	1340
INR	93.20	92.0	91.0	90.0	89.0	89.0	88.0	88.0	87.0	87.0

Source: Bloomberg, Westpac Economics.

Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025f	2026f	2027f	2028f
World	6.7	3.8	3.3	3.4	3.4	3.1	3.2	3.3
United States	6.2	2.5	2.9	2.8	2.1	1.5	1.6	1.8
Japan	3.6	1.3	0.7	–0.2	1.2	0.6	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.5	0.8	1.3	1.6
Group of 3	5.9	**2.8**	1.8	1.7	1.8	1.1	1.4	1.6
United Kingdom	8.5	5.1	0.3	1.1	1.4	0.7	1.2	1.5
Canada	6.0	4.7	2.0	2.0	1.7	1.2	1.8	2.0
Australia	5.4	4.2	2.1	1.0	2.0	1.8	1.2	2.4
New Zealand	5.5	2.6	2.2	–0.3	0.2	1.5	3.5	3.3
OECD total	6.2	**3.2**	1.9	1.8	1.7	1.3	1.5	1.7
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	2.0	2.0	1.9
Taiwan	6.7	2.7	1.1	5.3	8.7	5.5	4.0	3.0
Hong Kong	6.5	–3.7	3.2	2.6	3.5	2.9	2.5	2.3
Singapore	10.1	4.0	1.5	5.3	5.0	3.3	2.6	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.0	5.2	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	1.6	2.4	2.5
Malaysia	3.3	9.0	3.5	5.1	5.2	4.4	4.4	4.3
Philippines	5.7	7.6	5.5	5.7	4.4	4.5	5.5	5.9
Vietnam	2.6	8.5	5.1	7.0	8.0	6.9	7.0	7.2
East Asia	7.1	3.6	4.7	4.8	4.9	4.5	4.5	4.3
East Asia ex China	4.4	4.6	3.4	4.5	4.7	4.2	4.2	4.1
NIEs*	6.1	**2.3**	1.6	3.4	4.0	3.3	2.7	2.3
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Russia	5.9	–1.4	4.1	4.9	1.0	1.1	1.1	1.4
Brazil	4.8	3.0	3.2	3.4	2.3	1.6	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	–1.9	–1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex–East Asia	6.8	3.7	3.7	4.7	4.4	4.0	4.3	4.3
Other countries	6.7	**5.2**	4.9	2.0	2.3	2.8	3.0	3.1
World	6.7	**3.8**	3.3	3.4	3.4	3.1	3.2	3.3

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

April

PNG ECONOMIC UPDATE

Monthly update on the PNG economy

CONTENTS

westpaciq.com.au

The **PNG Economic Update** report is produced by Westpac Economics (Australia and Fiji) with support from Westpac PNG.

Editor: Justin Smirk, Shamal Chand
Internet: www.westpac.com.au
Email: economics@westpac.com.au

This issue was finalised on 14 Apr

Non-resources keeps the economy running

A resilient outlook amid global uncertainty

Papua New Guinea entered 2026 with a comparatively resilient macro position despite heightened global volatility driven by Middle East conflict, energy market disruption and rising geopolitical fragmentation. Real GDP growth in 2025 was estimated at 5.3% by the Bank of Papua New Guinea (Westpac estimate 5.5%) and is expected to moderate in 2026 as activity normalises, with official and institutional forecasts clustering around 3–4%. Inflation remained contained at around 4%yr in the December quarter, supported by GST exemptions and easing non-fuel price pressures, although rising global fuel prices increased upside risks into mid-2026 and through the second half of the year.

Underlying economic momentum improved through February and March, supported by firm commodity prices, easing foreign exchange constraints and improving business sentiment, despite delays in major resource project decisions.

Resource Projects

Papua LNG, valued at around US$14 billion, remains in the Final Investment Decision window, although the time line has slipped beyond earlier expectations for early 2026. Developers are reported to be seeking an additional US$3 billion in concessions amid cost escalation, while the Government has maintained a target of 55% total state benefit under existing fiscal laws. A more optimistic outlook around the P'nyang gas project provides some confidence in the resources sector.

Macroeconomic tone strengthens

The World Bank, ADB and IMF alongside Westpac Pacific all upgraded PNG's outlook relative to earlier expectations, citing stronger mineral output, supportive gold and copper prices and improving macro-financial stability.

The World Bank's Public Finance Review noted that resource revenues averaged only 1.9% of GDP between 2013 and 2024, despite a doubling in production, while estimating that PNG requires additional public investment of around 4.5% of GDP annually in health, education and social protection to meet development goals.

Business confidence lifts

Business sentiment improved sharply. Results from the 2026 PNG CEO100 Survey showed:

- 72% of CEOs expect higher profits in 2026,
- Over 50% plan substantial increases in capital investment, and
- Foreign exchange availability fell from the top business constraint to 12th place.

Utilities reliability and infrastructure quality were among the few impediments reported to have worsened, underscoring capacity stress despite improving demand conditions.

Foreign exchange liquidity normalising

Foreign exchange conditions improved significantly. The Bank of PNG reported a reduction in the backlog of FX orders from around K1.8 billion to roughly K200 million, with outstanding orders now met on a daily or weekly basis, compared with a multi-month delay previously. Weekly FX auctions averaged around US$30 million, with oversubscription signalling still-strong demand but improved allocation efficiency.

The Kina depreciation continues. BPNG reaffirmed its crawling-peg approach, with further gradual depreciation expected through 2026 in the absence of major project inflows. Westpac projects a trough of USD 0.2150 by end-2026, before stabilisation as LNG-related capital inflows begin in 2027.

FATF grey listing

Papua New Guinea was formally placed on the FATF grey list in February 2026 following assessments identifying effectiveness gaps in AML/CTF supervision. The Government has committed to an 18-point action plan, including six legislative amendments, with a National Risk Assessment due by September 2026.

Authorities allocated K10 million to strengthen AML/CTF systems, while the US Treasury and other partners confirmed technical cooperation to accelerate removal. Commercial banks reported increased compliance costs and scrutiny but no systemic disruption to trade finance or domestic liquidity.

Key themes

Cyclone and humanitarian crisis

Severe Tropical Cyclone Maila dominated April, causing widespread destruction across Bougainville and parts of the New Guinea Islands. Fatalities were confirmed, over 100,000 people were affected, and major damage occurred to housing, roads, power and coastal communities. Emergency responses were mobilised, with Australia providing humanitarian assistance.

Fuel price shock

Fuel prices surged due to Middle East conflict–driven global oil disruptions. The government introduced a K1 billion stabilisation package, directed the ICCC to freeze prices at March levels, and warned suppliers against increases. Despite this, transport operators and businesses reported rising operating costs and ongoing logistics strain. Authorities highlighted exposure through transport, electricity generation and household living costs, reinforcing macro downside risks for the second half of 2026.

Law and order, elections and government reset

Law and order dominated the policy agenda. Parliament passed the Vagrancy Act 2025/26 with an 80–1 vote, granting courts powers to issue exclusion orders and reinforcing urban security ahead of major events including NRL matches from 2028 and APEC 2033. The Government allocated early funding for 2027 election preparations, with election costs projected to exceed K1 billion. Firearms amnesty and forced recovery operations are scheduled to run until August 2026.

Public-sector reform and delivery

Under the Reset@50 agenda, all departments were directed to submit Delivery & Outcomes Reports by 31 March 2026, tied to the MTDP IV. The Prime Minister ordered reviews of underperforming SOEs following repeated blackouts, water failures and infrastructure delays. A public-service census was initiated to address payroll integrity ahead of a 3% public-sector base salary increase implemented under the 2026 Budget. Prime Ministers (Amendment) Bill 2026 looking into improving Government efficiency was tabled in the Parliament recently.

Energy security and domestic fuel vulnerability

Treasury warned PNG would feel the full effect of Middle East energy disruptions by early April, with domestic fuel prices already rising in March. The Government invoked emergency powers under the Essential Services Act and signalled willingness to intervene via subsidies or structural market changes if global prices spike further. Five new energy regulations were launched in March to modernise electricity licensing, off-grid systems and appliance standards.

Infrastructure stress

Severe weather events caused repeated transport disruption. Floods destroyed the Aumea Bridge, landslides cut the Madang–Lae–Highlands Highway, and wet-season damage isolated multiple districts. While Connect PNG allocations exceed K1.7 billion for works in 2026, parliamentary inquiries revealed deficiencies in trust-fund compliance and project governance, amplifying execution risk.

Digitalisation prospects

PNG accelerated digital infrastructure reforms. LEO satellite permits, including Starlink testing, expanded broadband access. Digital national ID (SevisPass) progressed as a mandatory KYC tool, while financial sector innovation continued through digital superannuation platforms, green finance pilots and capital-market reforms aimed at reducing PNGX concentration risk.

Rising strategic relevance

PNG's geopolitical profile strengthened through deeper engagement with the US, Australia, Japan and the EU, spanning security cooperation, critical minerals, digital infrastructure and governance reform. PNG's selection as APEC 2033 host reinforced its long-term strategic positioning, raising both opportunity and accountability expectations.

Labour markets, migration and human capital constraints

Skills mismatches are becoming more binding as non-resource growth of about 4% lifts labour demand, while public-sector capacity came under scrutiny through a national workforce census targeting payroll integrity and performance ahead of July 2026 pay adjustments. Migration frictions increased after PNG was added to the US visa bond list, requiring a US$15,000 bond from April.

Interest Rates

- The Bank of Papua New Guinea maintained a neutral monetary policy stance at its March 2026 meeting, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%. Headline inflation remained contained at around 4%, with core inflation trending lower, supported by GST exemptions and easing non-fuel price pressures.
- The MPC reaffirmed the exchange rate as the key nominal anchor, continuing the crawl-like adjustment of the kina to address remaining foreign-exchange imbalances. FX backlog has reduced sharply, from around K1.8 billion at its peak to roughly K200 million, according to the Bank of Papua New Guinea. Outstanding import and dividend orders are now being met daily or weekly, rather than over several months previously.
- The Bank flagged upside inflation risks from global fuel prices and ongoing Middle Eastern crisis, while judging current policy settings as appropriate to balance price stability and growth amid heightened global uncertainty.
- Fixed Rate Full Allotment 7–day C–Bill remains pegged to the KFR at 5.00%
- March 2026 saw a rebound in the 365–day Treasury bill yield, 5.56% in 20th February 2026 to 5.63% by 20th March 2026.
- March 2026 saw yield increases as market participants had bid the rates higher.
- The last Government Bond Auction was held on the 17th March 2026. Auctions were undertaken in the 3–15 year buckets - were comfortably oversubscribed.
- Total bids reached K280.5 million, exceeding the offer by K80.5 million (40%), with successful allotments totaling K200.45 million across five maturities.
- Demand was strongest in the 5-year, 7-year and 10-year tenors, reflecting investor preference for medium- to long-dated paper.
- Weighted average yields rose steadily along the curve:
  - 3-year: 6.48%
  - 5-year: 6.80%
  - 7-year: 6.95%
  - 10-year: 7.14%
  - 15-year: 7.48%

Foreign Exchange

- The gradual, crawling peg depreciation of the PGK continues, with February and March 2026 seeing PGKUSD fall from 0.2337 to 0.2317 on the 26th March 2026.
- Total FX Market turnover increased by PGK474.7m to PGK 6.1bn in February 2026, from PGK 5.625bn in January 2026 reflecting more FX liquidity in the PNG Market.
- There is still no guidance on the target rate of the depreciation or on where BPNG views the rate aligned to fundamentals.
- PGK/AUD remained rangebound throughout February to March 15th 2026. Breaking previous highs, AUD/USD peaked at 0.7151 during the month of February to March 15th 2026.
- The PGK/AUD dropped significantly, reflecting a high of 0.3249 and a low of 0.3127.
- PGK/AUD had a range of 122 basis points reflecting a volatile AUD/USD exchange rate. This reflects a weakening US Dollar amid global tension and market uncertainty.
- Weekly FX auctions continue, typically around US$30 million per auction, with consistent oversubscription. This indicates strong demand, but improved allocation efficiency compared with 2023–24.

Government Bond Auction

Series	Amount on offer	Bid recieved	Successful bids	Successful yields	Weighted average rate	Coupon Rate	Overall Auction
	K'million	K'million	K'million				
Issue ID 2026/5256 (3 Years)	30.00	33.35	23.45	5.75% - 6.57%	6.48%	5.75%	3.45
Issue ID 2026/5257 (5 Years)	40.00	65.00	55.00	6.58% – 6.89%	6.80%	6.00%	25.00
Issue ID 2026/5258 (7 Years)	50.00	68.00	68.00	6.25% - 7.11%	6.95%	6.25%	18.00
Issue ID 2026/5259 (10 Years)	50.00	72.00	42.00	7.05% - 7.23%	7.14%	6.50%	22.00
Issue ID 2026/5260 (15 Years)	30.00	42.00	12.00	7.46% - 7.55%	7.48%	6.75%	12.00
TOTAL	200.000	280.450	200.450				80.450

Auction Number:17-MAR-26 /GOB/ Government Bond; Settlement Date: 20-MAR-26; Amount on Offer: K200.000 million

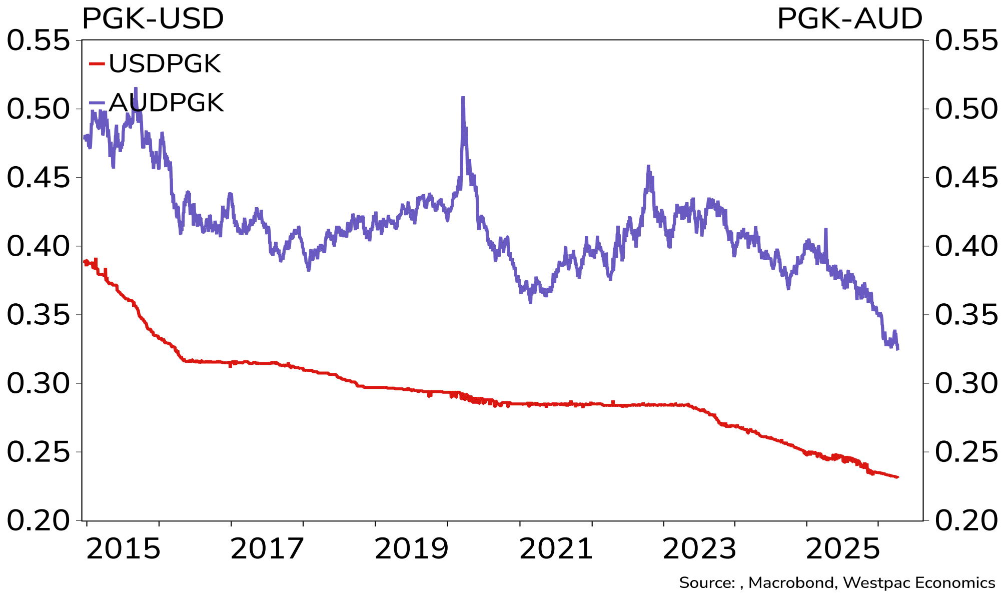
Government Treasury Auctions

Terms	Issue ID 2025	Issue ID 2025	Issue ID 2025/4516	Issue ID 2025/4517	Issue ID 2025/4518	Total
	63	91	182	273	364	
Weighted Average Yield	0.000	0.00%	5.41%	5.58%	5.59%	
Amount on offer Kina Million	0.000	0.000	10.000	60.000	217.000	K287.000
Bids Received Kina Million	0.00	0.000	37.530	177.100	493.780	K708.410
Successful Bids Kina Million	0.00	0.000	20.530	50.000	312.780	K383.310
Overall Auction OVER- SUBSCRIBED	0.00	0.000	27.530	117.100	276.780	K421.410

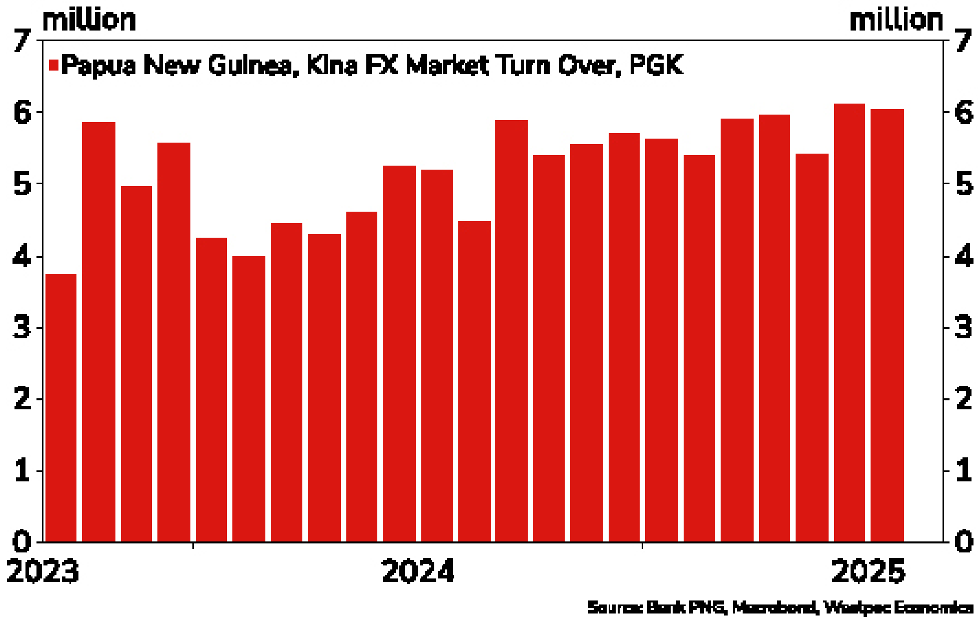
Auction Number: 08-APR-26 / GOI/ Government Treasury Bill; Settlement Date: 10-APR-26; Amount on Offer: K287 million

Gradual kina depreciation continues

Kina Foreign Exchange Rate



Foreign Exchange Market Turnover



"PNG/AUD weakened through December to find some stabilty through March as AUD softened."

PNG and Middle Eastern Conflict

The escalation of the Middle Eastern conflict since late February 2026 triggered a severe global energy shock. While PNG is a major LNG exporter, the domestic economy remains highly exposed to global fuel price volatility due to its continued reliance on imported refined petroleum products, limited domestic fuel storage capacity and weak, short term shock absorption buffers.

Westpac assumes that the Strait of Hormuz remains closed until the end of April, a total of eight weeks, and takes longer to reopen fully. This compares with our earlier assumption of a one-month disruption followed by a relatively rapid normalisation.

The slower recovery reflects limited shipping traffic through the Strait, insurance premiums remain elevated given the risk of further attacks by regional factions while shipping companies require time to re-establish vessel rotations and contractual arrangements.

We now assume traffic through the Strait reaches only 20% of normal levels in May. Traffic is expected to continue to improve thereafter, although capacity is not expected to return to normal until end 2026.

A longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil is expected to peak at an average of US$120/bbl in Q2 and Japanese LNG prices at US$26mmbtu.

A prolonged three month disruption would see oil average closer to US$130/bbl, LNG remain above US$20/mmbtu, and global growth reduced by about 0.5 percentage points.

Despite being a net exporter of energy, PNG imports most of its refined fuels, mainly from Singapore, which relies heavily on Middle Eastern crude. Refined petroleum imports totalled about US$886 million in 2024, equivalent to roughly 16% of total merchandise imports.

Westpac's baseline implies significant spillovers. A 10% increase in fuel prices would add roughly US$90 million to annual import costs, widening the trade deficit and intensifying foreign exchange pressures.

PNG's fuel insecurity magnifies these risks. The Napa Napa refinery, with a capacity of around 32,000bbl/day, has been largely non operational due to cost, margin and operational constraints, leaving PNG reliant on imported fuels. Inventories are thin, covering around just 2–3 weeks of demand. In early March, some regions reported 2–5 days of cover forcing emergency imports and state of emergency style measures prioritising fuel for essential services. PNG is among the most fuel vulnerable economies in the Pacific.

Headline inflation was 4.1% in Q4 but under the baseline scenario, higher fuel, freight and electricity costs will push inflation higher from April 2026, even if global prices ease later in the year. Transport intensive sectors such as food distribution, construction, manufacturing and mining will bear the brunt.

For mining, particularly open pit gold and copper mines, rising diesel costs are partially offset by gains in robust commodity prices. While gold may have surged through US$5,00/oz, it has since eased with operators flagging margin pressure from fuel driven cost inflation.

In 2025 PNG growth was a robust 5.5% supported by LNG, mining and agriculture. For 2026, growth is set to moderate to 4.6% as higher energy costs, global uncertainty and delayed investment decisions weigh on activity. Large projects remain sensitive to elevated construction costs and tighter global financial conditions. Further delays weaken medium term growth prospects and foreign exchange inflows.

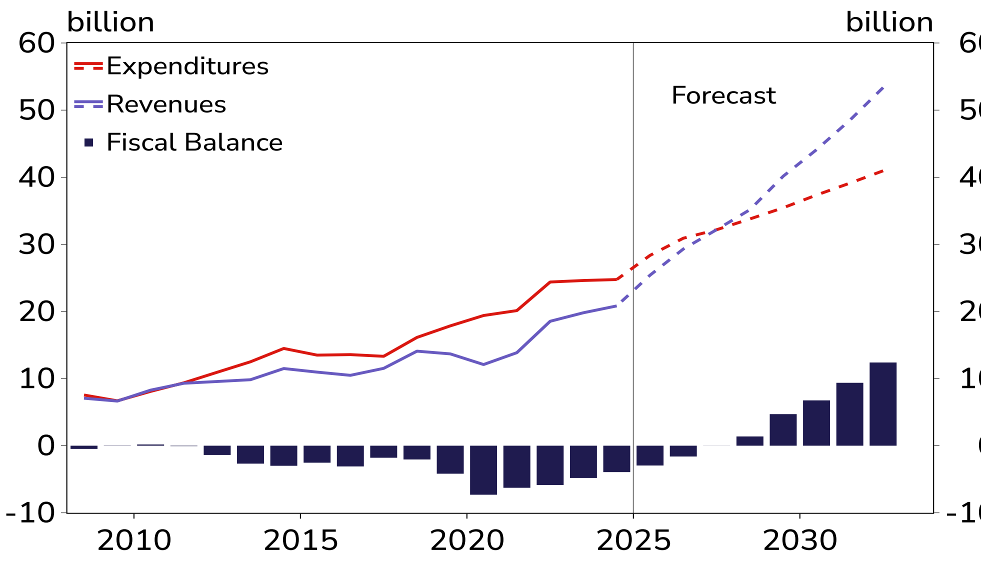
The K30.9 billion 2026 Budget targets a near balance but is exposed to downside risks. Resource revenues averaged only about 1.9% of GDP between 2013 and 2024, limiting their value as shock absorbers. The World Bank's estimate that PNG requires an additional 4.5% of GDP annually in social and human capital spending underscores the limited scope to absorb external shocks.

While three new fuel storage projects are planned, including a US funded 264ml facility near Port Moresby, they are unlikely to be operational until around 2030. PNG remains reliant on emergency shipments and ad-hoc policy responses, leaving the economy highly exposed even under our current scenario.

Fiscal Consolidation Path Intact

- The 2026 Papua New Guinea National Budget, themed "Security with Growth", puts forward a record expenditure number and aims to further consolidate fiscal repair plan while heavily directing funding towards key economic and social sectors. The total expenditure for fiscal year 2026 is projected at K30.9 billion with the estimated revenues at K29.3 billion.
- The central focus of the budget remains the continuation of the 13-Year Budget Repair Plan, with the government aiming to achieve a small budget surplus by 2027. PNG Government claims it is 88% of the way down the path toward achieving the surplus.
- The budget deficit is projected to fall substantially to just 1.1% of GDP in 2026, down sharply from 8.9% in 2020, demonstrating significant progress toward fiscal recovery. Revenues are projected to increase by 15.3%, outstripping the estimated 9.0% growth in expenditure, aligning with responsible budget repair efforts. Total domestic revenues are expected to reach 18.8% of GDP.
- Due to strong fiscal discipline, debt growth is slower than economic growth, leading the debt to GDP ratio to fall from estimated 48.4% in 2025 to the projected 45.5% in 2026 fiscal year.
- To mitigate temporary fiscal imbalances and reinforce the consolidation drive, PNG Government is also amending the Papua New Guinea Fiscal Responsibility Act 2006 to reduce the interim debt ceiling from 55% down to 52.5% of GDP for a period of five years.
- The National Budget also introduces Bill that details mechanisms allowing the Minister for Treasury to direct the reallocation of unspent funds or funds from the "Contingency Fund" to cover shortfalls in other activities.
- In order improve cash flow management, the budget proposed amendments to the Central Banking Act which details mechanism for the Bank of PNG to provide Treasury and Finance with weekly data on the closing balances of all Government accounts.
- The Budget further tries to strengthen tax administration by establishing at the Internal Revenue Commission the formal IRC Board that will be responsible to oversee revenue performance, strategic directions and budget approvals.

Budget Surplus target from 2027



Source: Bank of Papua New Guinea, Macrobond, Westpac Economics

"...PNG Government targets budget surplus from 2027...debt ceiling lowered to 52.5% from 55%..."

Key sectoral allocation

The 2026 National Budget, themed "Security with Growth", allocates K30.3 billion in total expenditure, with K19.4 billion (64.1%) for operational costs and K10.9 billion (35.9%) for capital investment. The budget prioritizes education, health, law and justice, infrastructure, and provincial development.

Education Sector – K4,935.2 million (16.3%)

Education receives the largest share, reflecting the Government's commitment to universal access and quality learning. Operational spending of K4,325.7m includes K2,532.1m for teacher salaries, K904.5m for Tuition Fee Subsidy, and K103.9m for TESAS scholarships. Capital investment of K609.5m supports higher education programs, TVET, and infrastructure upgrades.

Provinces – K4,720.9 million (15.6%)

Funding for subnational service delivery through District Support Improvement Program (DSIP) and Provincial Support Improvement Program (PSIP). Includes K1,854m for GoPNG capital projects.

Administration – K4,609.5 million (15.2%)

Covers revenue collection agencies (IRC, Customs), governance reforms, and flagship programs like District Infrastructure Program (K480m) and Kina-for-Kina Project (K400m). Capital allocation of K3,011.1m supports digital governance and infrastructure.

Health Sector – K3,204.9 million (10.6%)

Operational allocation of K2,346.8m funds medical supplies (K264.6m), public health commodities (K84.9m), and Provincial Health Authorities. Capital allocation of K858.1m supports hospital development, cancer treatment facilities, and the new Medical University.

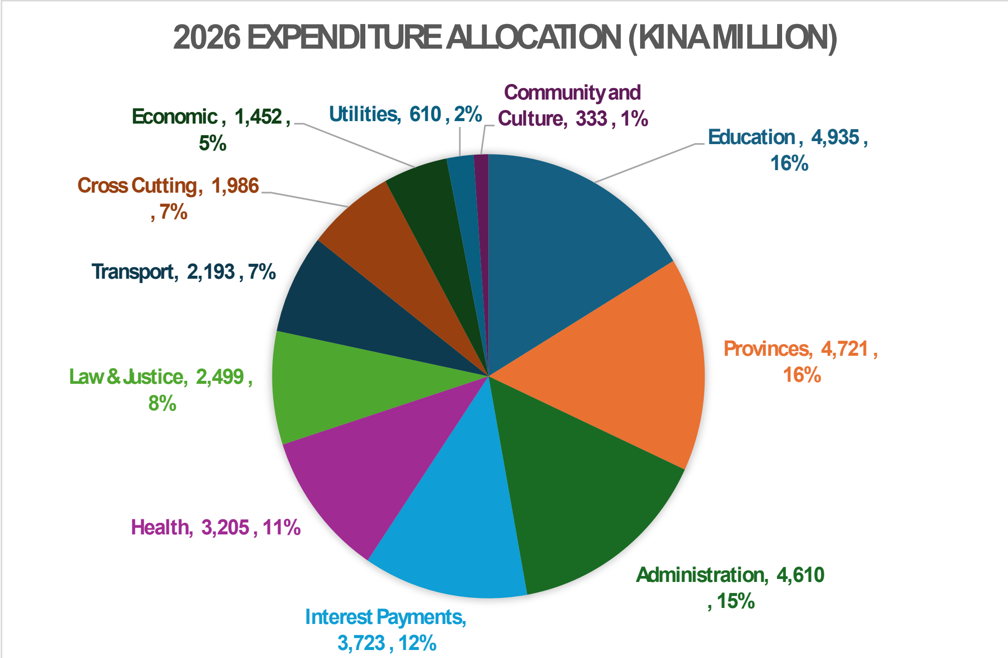
Law & Justice – K2,498.6 million (8.3%)

Increased funding for police recruitment, judicial reforms, and correctional services. Capital allocation of K468m targets infrastructure upgrades for courts, prisons, and security facilities.

Transport – K2,193.1 million (7.2%)

Focused on Connect PNG infrastructure projects, including roads, bridges, and aviation facilities. Includes K1,191m GoPNG funding and K842m from grants and loans.

Other sectors include Economic (K1,452.1m), Utilities (K609.5m), Community & Culture (K332.9m), and Cross-Cutting programs (K1,985.5m) for rentals, utilities, and arrears clearance.



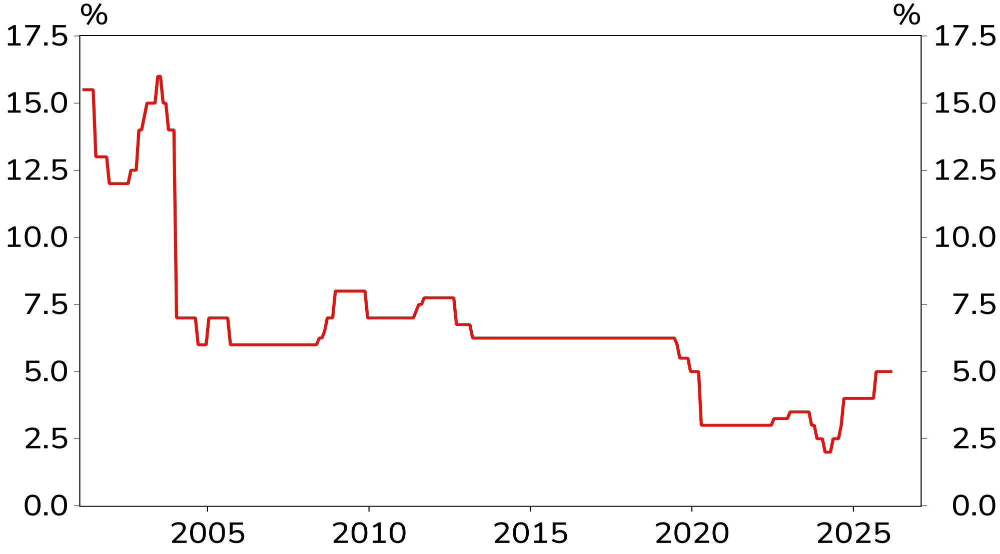
"...education receives the highest budget allocation at K5 billion"

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

March BPNG rate unchanged

- The Bank of Papua New Guinea's Monetary Policy Committee at its March 2026 meeting decided to maintain a broadly neutral policy stance, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%. The Committee judged current settings as appropriate to support non-mineral sector activity while preserving macroeconomic stability amid ongoing foreign exchange constraints and global uncertainty.
- Global growth remains resilient and inflation pressures have eased, but escalation of the Middle East conflict has heightened risks through higher energy prices, shipping costs and imported inflation. Domestically, growth remains moderate, supported by mineral output with the Porgera mine operating close to full capacity, while non-mineral sector growth remains subdued. GDP growth is expected to moderate to around 3.0% in 2026.
- The Committee noted that GST relief is temporary and cautioned that further Kina depreciation could lift inflation pressures through 2026.
- The exchange rate remains the primary nominal anchor for monetary policy given weak interest rate transmission and high import dependence. The MPC reaffirmed continuation of the crawl-like exchange rate arrangement, noting that despite recent adjustments, the Kina remains overvalued relative to its estimated equilibrium, with a continued backlog of foreign exchange orders. Further gradual adjustment is considered necessary to restore market clearing, reduce intervention reliance and progress toward full convertibility, while safeguarding reserves.
- All members supported maintaining central bank liquidity operations, including continued issuance of 7-day and 28-day central bank bills, FX auctions, and repo and reverse repo margins at 2.0 percentage points around the policy rate.
- Voting decisions showed one dissent. Four members voted to maintain the KFR at 5.0% and CRR at 9.0%. Professor David Kavanamur dissented, voting for a rate cut to 3.0%, a reduction in the CRR to 8.0% and a slower pace of exchange rate depreciation, citing low core inflation, fiscal consolidation's deflationary impact and delayed supply-side responses. Mr Dairi Vele supported holding rates but argued that further Kina depreciation should be paused, emphasising improved balance of payments prospects and increased FX interventions.

Kina Facility Rate



Source: Bank of Papua New Guinea, Macrobond, Westpac Economics

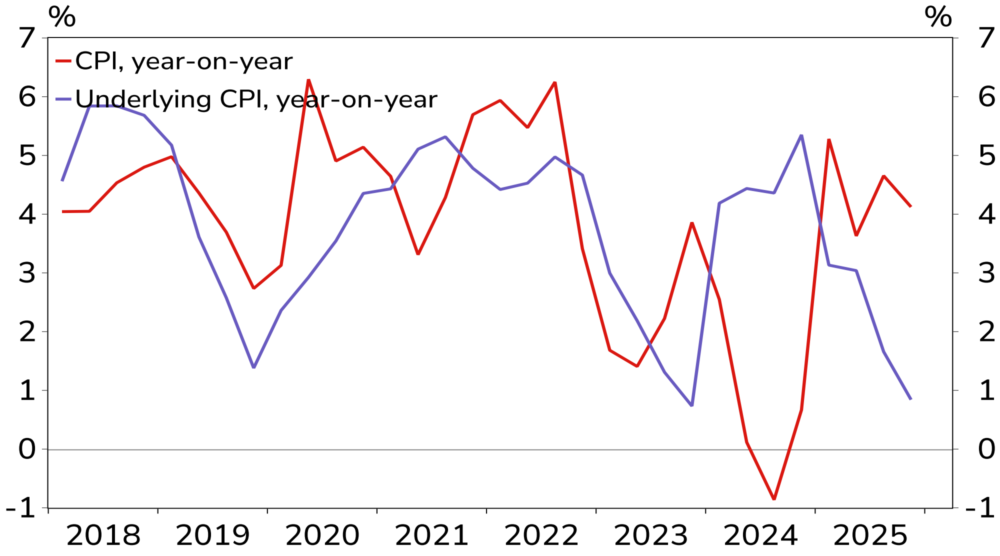
"...The Committee also discussed medium-term reforms, including a potential shift to a trade-weighted currency basket"

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

2025 inflation update

- PNG's headline CPI rose 4.1%yr in the December 2025 quarter, easing from 4.7%yr in the September quarter, driven by a 0.7%yr increase in Food & Non-Alcoholic Beverages, a still elevated 21.8%yr rise in Alcoholic Beverages, Tobacco & Betel Nut, and a 2.2%yr increase in Transport.
- Apart from these main drivers, consumer prices rose across all other broad items in the December quarter.
  - Clothing & Footwear +1.6%yr
  - Health +3.3%yr
  - Restaurant & Hotels +2.6%yr
  - Education +1.7%yr
  - Communication +0.7%yr
  - Housing +2.3%yr
- Underlying inflation eased sharply to 0.8%yr in December 2025, down from 1.7%yr in September. Underlying inflation is now noticeably below.
- Headline inflation excluding seasonal items rose 0.8%yr in December 2025, while excluding seasonal items and customs excise rose 1.0%yr, and excluding seasonal, customs excise and price controlled items rose 0.7%yr.
- Betel nut prices remain the largest single source of volatility. Although moderating from their September spike, betel nut prices still rose 29.0%yr and 21.9%qrt in Q4 and continue to heavily influence headline inflation.
- Food & Non-Alcoholic Beverages increased 0.7%yr, though the category fell modestly –0.27% in the quarter, helping moderate the broader inflation impulse. As in Q3, food sub-components remained mixed with several staples continued to ease while some dairy and fresh produce lines recorded small increases.
- Transport rose 0.6%qtr in Q4. Fuel items remained higher (diesel, petrol and lubricants all modestly up), and motor vehicle increased slightly. Airfares also edged higher, consistent with ongoing domestic aviation disruptions. With aircraft grounding and capacity constraints persisting at Jacksons Airport and other key routes, pressure on airfares and freight costs remains a near-term inflation risk for transport and perishable food supply chains.

Core inflation falls to 2-year low at 2025-end



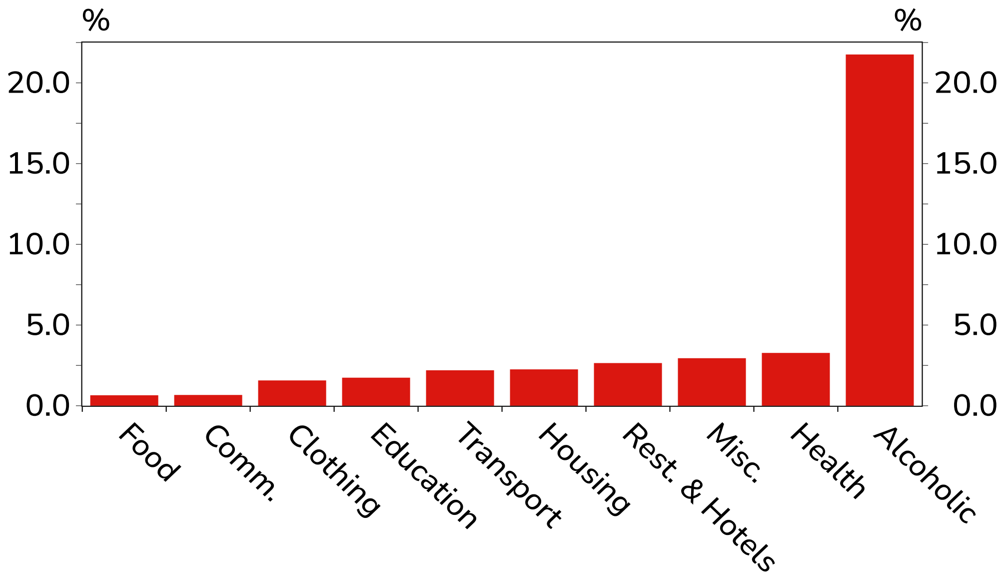
Source: NSO, Macrobond, Westpac Economics

"...Betel Nut a key driver for surge in headline inflation as underlying inflation register lower"

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Highlands and Islands inflation up

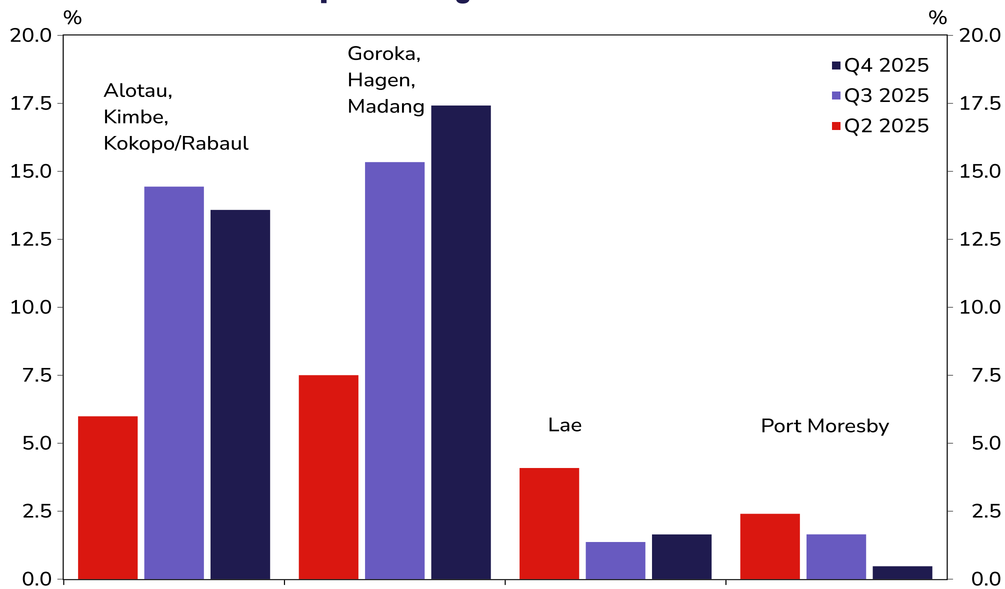
PNG's inflation categories in Q4 2025



Source: NSO, Macrobond, Westpac Economics

"... Betel nut prices remain the largest single source of volatility, pushing up the Alcoholic, Beverages and Narcotics component"

Headline inflation in respective regions



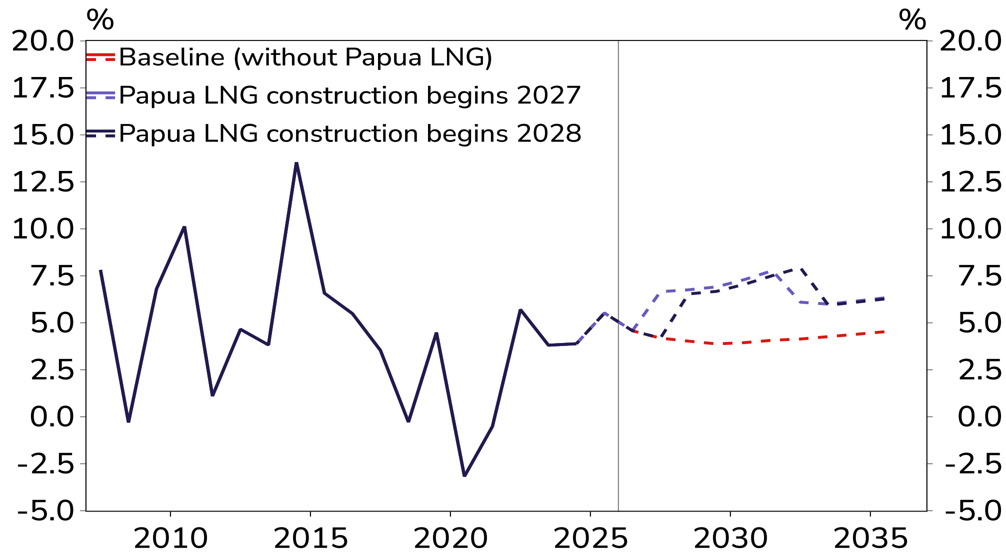
Source: NSO, Macrobond, Westpac Economics

"...double digit inflation in Alotau, Kimbe, Kikipo/Rabaul, Goroka, Hagen and Madang"

PNG's growth holds despite project delays

- Papua New Guinea's moved through last year with a sense of cautious steadiness rather than any dramatic turning point As such, we upgraded our 2025 growth estimate to 5.5% from our earlier 4.7%, with strong performance in mining, industries and services sectors.
- PNG's medium-term outlook is characterised by a stable baseline growth profile, with the prospect of a significant uplift once the Papua LNG project enters construction and production. However, repeated delays to the Final Investment Decision, initially expected in 2018 and now anticipated in the second half of 2026, continue to complicate near-term forecasts.
- Under our baseline scenario, assuming no Papua LNG FID within the forecast horizon, real GDP growth remains solid but moderates gradually. We forecast growth of 4.6% in 2026, easing to 4.2% in 2027 and 4.0% in 2028, before stabilising around 3.9–4.1% in the longer term. Sectoral dynamics are steady: primary sector growth slows as agriculture plateaus and mining stabilises near 1.4–1.6%, industry expands by 4.2–4.6%, with services the strongest driver, lifting from 5.6% in 2026 to around 6.5% by 2035. This trajectory assumes continued normalisation following earlier shocks and no major new projects altering aggregate growth.
- Papua LNG is modelled as a two-phase overlay on this baseline. The construction phase assumes US$14 billion in capital expenditure spread evenly over five years, equivalent to an effective ~10% demand uplift relative to PNG's 2024 nominal GDP. Construction generates a substantial growth surge, lifting real GDP growth by +2.5 to +3.4 percentage points, with growth peaking at around 7.3% during peak construction years.
- The production phase, assumed to commence around 2032, delivers a smaller but persistent uplift. With output of 5.6 Mtpa and estimated revenues of US$2.7 billion per year, mining growth lifts by around +6–7 percentage points, raising economy-wide growth by +1.6 to +2.0 percentage points on a sustained basis.

PNG Growth Outlook

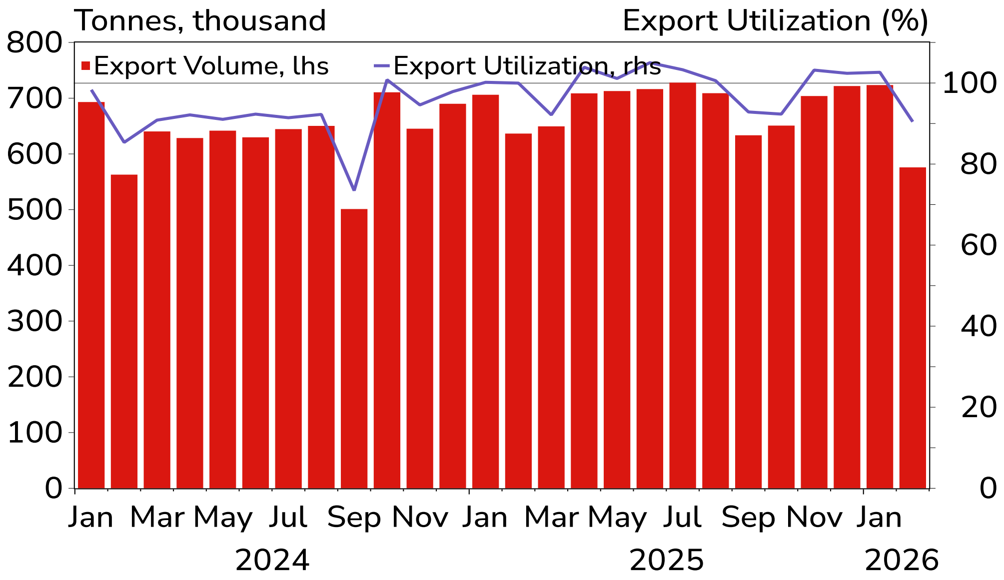


Source: NSO, Macrobond, Westpac Economics

"Even allowing for further delays, Papua LNG remains the single most consequential driver of PNG's growth outlook over the coming decade."

PNG LNG export to rise

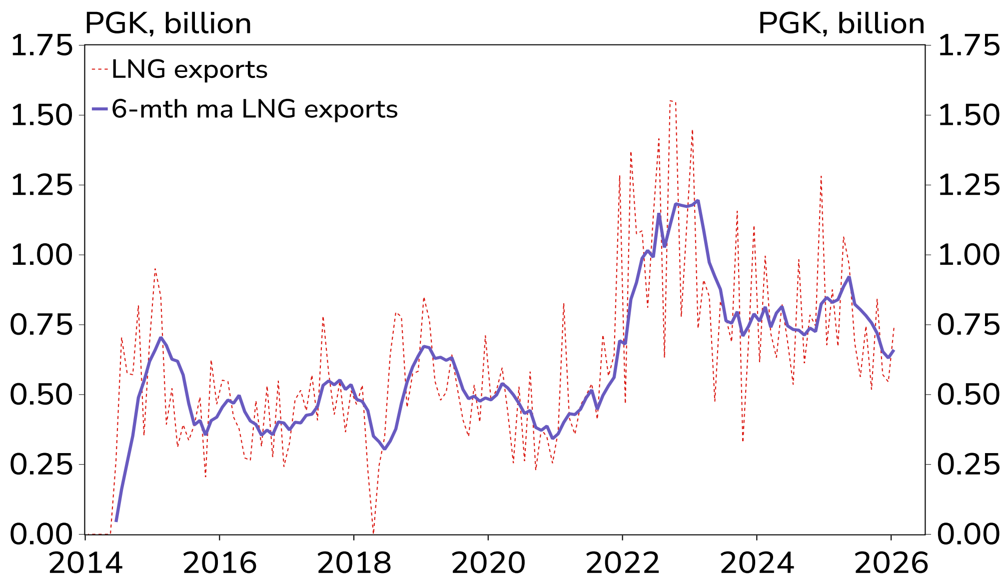
PNG LNG Export



Source: Bloomberg, Macrobond, Westpac Economics

"...PNG LNG export utilization at 114% in March 2026, as output ramps up amidst Middle Eastern Crisis"

PNG's LNG export to Japan



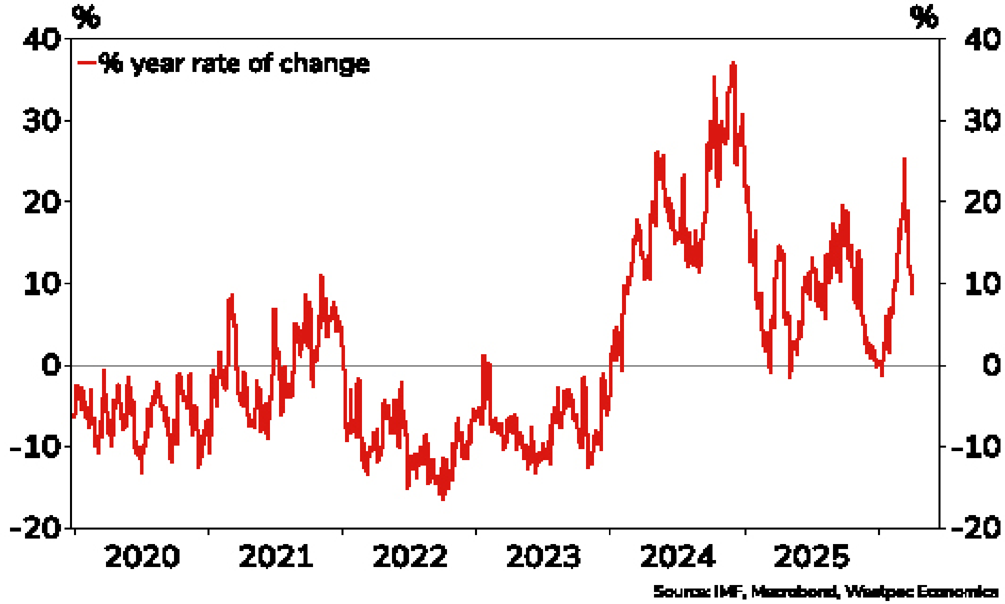
Source: MOF, Macrobond, Westpac Economics

"...LNG exports to Japan rose 9% in January 2026 with more uplift in revenue expected"

Signs of strength in import activity

- Westpac has developed a proprietary index tracking import activity at PNG ports, known as the PNG Ports Imports Indicator.
- While the data can be volatile and subject to revision as updates are received, when used judiciously, it provides a timely signal of import momentum and, by extension, domestic economic activity.
- The latest update from the Indicator suggests the strength in import activity has strengthed through early 2026 up to mid March since when we have seen a moderation which could be related to shipping disruptions associated with the conflict in the Middle East.
- Annual growth in the Port Imports Indicator peaked at 2% around mid July before easing back to just under 10% in September. As we moved through 2026 the annual pace pick up again peaking at around 25%yr in mid March before easing back to just under 10%yr in early April.
- We are always cautious about drawing firm conclusions from a single indicator such as this. Nevertheless, the consistent gains throughout 2025 and into 2026 until the recent Middle East crisis pointed to a positive underlying momentum in the PNG economy.
- **Why do we track imports?** The PNG domestic economy continues to grow at just under 5%, a sound pace but less than what is needed to lift more out of poverty.
- The anticipated Final Investment Decisions (FID) for several large resource projects will provide a significant boost. While these projects can deliver multi-decade benefits, they do not drive permanent positive change on their own. Additional measures are required to ensure inclusive and sustained growth. These include:
  - Improving domestic physical infrastructure.
  - Building human capital through better health, education, and training.
  - Reforming State Owned Enterprises to enhance service delivery.
  - Strengthening government services.

PNG Imports Indicator



"...strength in imports continued as 2026 started..."

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Cocoa at its lowest since early 2023

Cocoa

Cocoa prices have been under pressure as markets focus on improving supply conditions and frequent rain in West Africa supporting pod development and rising stockpiles, with ICE-monitored certified stocks lifting to around a 7.5-month high (2.34m bags) by late March.

Demand has also softened with Barry Callebaut, a Swiss-based global cocoa and chocolate company reported a 22% decline in cocoa division sales volumes (quarter to Nov 30), while grindings fell 8.3% y/y in Europe in Q4, with weaker outcomes also reported in Asia. This indicates that consumers have become quite resist to high chocolate prices.

Cocoa remains economically important, particularly in Bougainville, which reported K750m in cocoa revenue and assumed full control over its cocoa export system. Supply resilience efforts are also emerging, including the launch of a cocoa seed bank in Madang.

Softer cocoa prices are a downside risk for rural incomes and export receipts.

Coffee

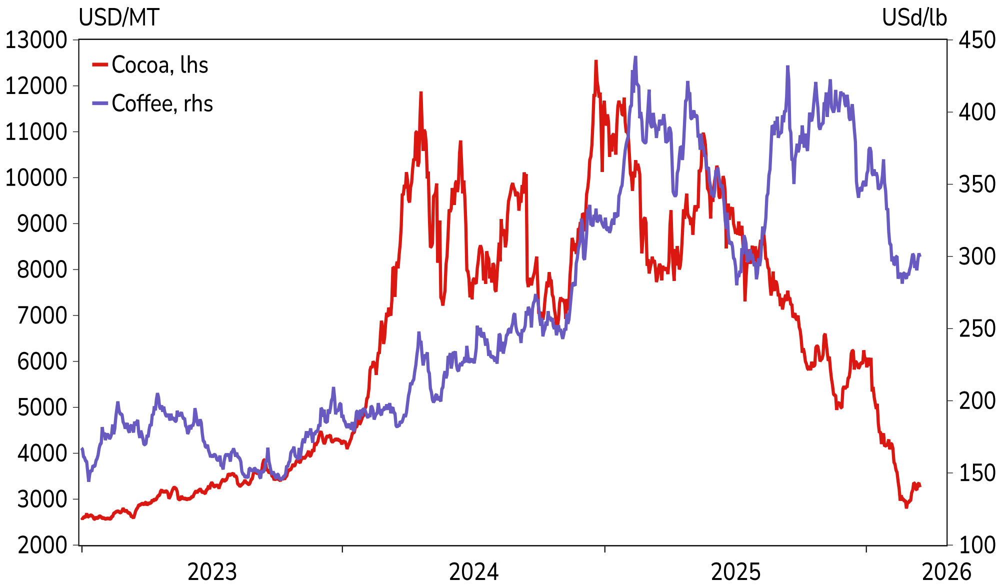
Global coffee prices have been choppy but recently firmer due to near-term supply tightness in Brazil and logistics risk, even as the medium-term supply outlook looks more comfortable.

Brazil's Cooxupé expects exports to fall 10% in 2026 to around 4.4m bags (from 4.9m in 2025) because the smaller 2025 harvest is constraining export availability early in 2026, while some growers are holding back sales.

Offsetting this, expectations of a large Brazil crop and rising inventories have been a recurring bearish force, and Vietnam's export performance is also adding to supply availability. Demand risks remain tied to higher delivered costs from shipping, fuel and insurance when global logistics are disrupted.

PNG recorded a record 1.5 million coffee bags exported in 2025 (highest since the 1980s), improving rural cashflow and FX inflows

Cocoa and Coffee



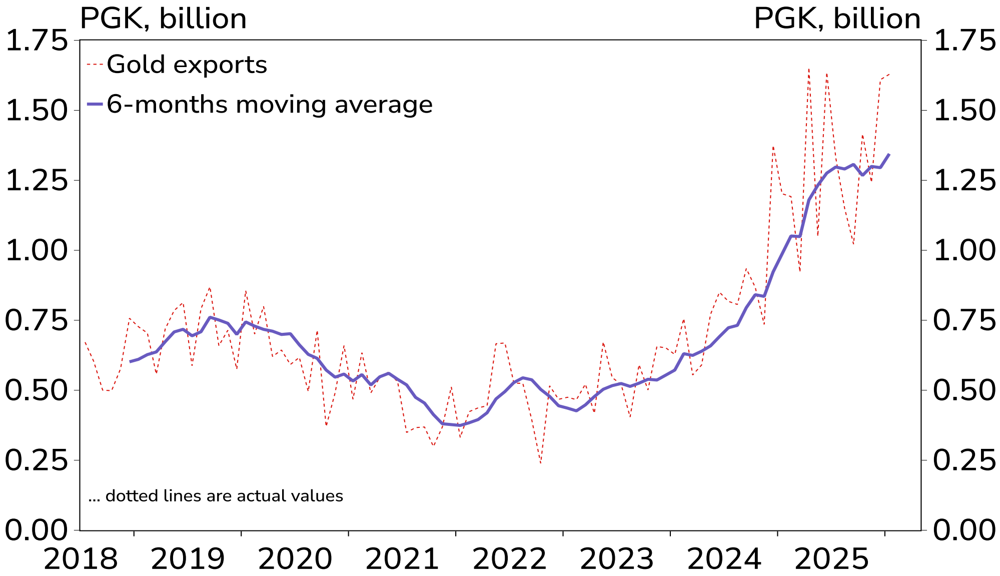
Source: Bloomberg, Macrobond, Westpac Economics

"...subdued global prices threatens PNG's cocoa sector which thrived in 2024-25 period..."

Gold export rally supports PNG economy

- Gold production momentum strengthened across several key operations. K92 Mining's Kainantu mine continues to stand out as a top-tier performer. The company reported 174,134 ounces of gold-equivalent production in 2025, exceeding guidance, and issued 2026 guidance of up to 225,000 ounces as the Stage 3 expansion ramps up. Over calendar 2025, K92 contributed approximately K423 million in corporate taxes, alongside significant royalties, levies and local procurement, cementing its importance to both fiscal and FX inflows.
- At Porgera, New Porgera Limited exceeded expectations in 2025, producing 376,057 ounces of gold and paying K985.8 million in taxes, while declaring around US$400 million (≈K1.7 billion) in dividends, with 51% accruing to PNG interests. Porgera is on track to move back toward Tier-1 status, with production capacity expected to rise further by 2027.
- Elsewhere, Simberi (St Barbara) reported a return to profitability, supported by expanded resources of nearly 7.9 million ounces, while Adyton Resources and Great Pacific Gold reported encouraging exploration outcomes, pointing to a strengthening pipeline of future output.
- Gold export values to Australia surged into early 2026. In January 2026, PNG's gold exports to Australia totaled approximately PGK 1.63 billion, up from PGK 1.61 billion in December 2025 and significantly higher than the PGK 0.63–0.94 billion range seen through much of early 2024.
- Over 2025, monthly gold exports to Australia were consistently above PGK 1.0 billion, peaking near PGK 1.65 billion, reflecting higher prices rather than large volume swings.
- This export strength has materially supported foreign exchange liquidity, helping reduce the FX backlog from around K1.8 billion to near K200 million, according to Bank of PNG assessments. Gold receipts have also cushioned the kina under the crawling-peg regime and partially offset higher fuel import costs.

Gold exports to Australia K1.6bn in January



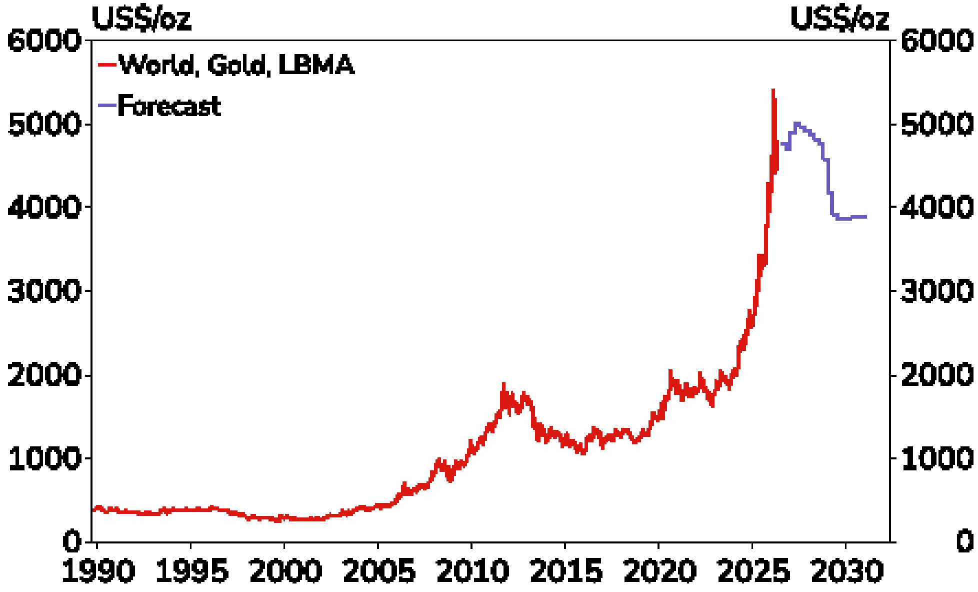
Source: DFAT, Macrobond, Westpac Economics

"...the rally in 2025 is largely attributed to elevated global gold prices driven by economic uncertainty and inflationary pressures ..."

Gold consolidation before retesting $5,000

- Gold has been under pressure over recent weeks as markets focused on the inflationary implications of higher oil prices and the prospect that central banks may need to keep policy tighter for longer. A rapid rise in US real yields alongside renewed USD strength weighed on bullion, prompting a notable retracement from the all-time high reached in late January.
- Consolidation to persist over coming weeks, but recent pullbacks may been seen as opportunities to re-engage. Gold has already corrected and speculative positioning has been flushed out. We are looking for a period of range-trading in which volatility subsiding should allow a base to form. This environment is likely to encourage longer-term investors to rebuild positions.
- Geopolitical risks tend to have an uneven and often short-lived impact on gold with near-term safe-haven rallies typically fading as markets adjust. More durable support for gold usually comes via second-round effects: shifts in the growth–inflation mix, policy responses and a strengthening of strategic demand as investors look to diversify. If geopolitical disruptions persist and energy prices remain elevated, the combination of higher inflation and weaker growth, with the associated risk of renewed fiscal and monetary stimulus, would present upside risks for0 gold. Persistent geopolitical uncertainty also continues to underpin strategic demand from institutional, official-sector and retail investors.
- Concerns about central-bank gold selling have resurfaced, particularly following recent price weakness and headlines around Turkey. While some central banks may sell modest amounts of gold at times, we see little evidence of a structural shift away from gold accumulation. We continue to expect official-sector net purchases to slow only gradually, broadly in line with recent trends. Temporary monthly selling episodes are not uncommon and often reflect idiosyncratic factors rather than a change in strategic intent.
- Headline risks remain as markets continuously re-price geopolitical and macro developments. Nevertheless, speculative positioning is cleaner, long-term investors remain under-invested, and diversification demand is rising. We continue to expect new highs in gold over time.

Gold is consolidating



Source: LBMA, FTSE Russell, Macrobond, Westpac Economics

"Geopolitical and market risks remain elevated.... against this backdrop, we expect gold to retest US$5,000/oz in early 2027..."

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Financial forecasts

Interest rate forecasts

Australia	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.35
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90	4.90
US											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75	4.75
New Zealand											
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	3.75
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10	4.95

Exchange rate forecasts

	Latest (14 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28
PGK/USD	0.2311	0.2250	0.2200	0.2150	0.2150	0.2170	0.2220	0.2270	0.2320
PGK/AUD	0.3262	0.3125	0.3056	0.2945	0.2945	0.2932	0.3000	0.3068	0.3178
PGK/NZD	0.3934	0.3814	0.3618	0.3468	0.3370	0.3288	0.3323	0.3388	0.3483
PGK/EUR	0.1964	0.1907	0.1864	0.1807	0.1792	0.1793	0.1820	0.1861	0.1909
PGK/GBP	0.1709	0.1661	0.1618	0.1569	0.1558	0.1561	0.1586	0.1610	0.1651
PGK/JPY	36.78	35.55	34.32	33.11	32.68	32.55	32.86	33.14	33.41
PGK/SGD	0.2943	0.2846	0.2772	0.2709	0.2709	0.2723	0.2786	0.2847	0.2909

Sources: Bloomberg, Westpac Economics.

Economic and financial forecasts

Major trading partner growth forecasts (year average)

Real GDP %ann	2020	2021	2022	2023	2024f	2025f	2026f	2027f
World Economy	**–2.7**	**6.6**	**3.6**	**3.5**	**3.3**	**3.2**	**3.1**	**3.2**
US	–2.2	6.1	2.5	2.9	2.8	1.9	1.3	1.6
Eurozone	–6.0	6.3	3.5	0.4	0.9	1.4	1.1	1.4
Australia	-2.0	5.4	4.1	2.1	1.0	1.8	2.4	2.5
New Zealand	–1.3	5.7	2.9	1.8	–0.6	0.3	2.1	3.4
Japan	–4.2	2.7	0.9	1.5	0.1	1.1	0.8	0.8
China	2.3	8.4	3.1	5.4	5.0	4.8	4.6	4.5
India	–5.8	9.7	7.6	9.2	6.5	6.6	6.4	6.3

Sources Macrobond, Westpac Economics

Economic indicators

		2023	2024 (est)	2025 (est)
Inflation	**ADB**	2.3%	0.7%	3.8%
	BPNG	3.9%	0.7%	3.0%
	IMF	2.3%	0.6%	5.5%
	Westpac	3.9%	0.7%	4.7%
GDP growth	**ADB**	3.8%	4.3%	4.2%
	BPNG	3.0%	3.0%	4.0%
	IMF	3.8%	3.7%	4.6%
	Westpac	3.8%	4.3%	4.7%

Sources Macrobond, Westpac Economics

PNG Economic Statistics

	2019	2020	2021	2022	2023	2024	2025
Money supply (% year)	4.4	7.0	13.4	14.8	11.5	–6.4	6.9
Private Sector Credit (% year)	4.0	4.2	2.5	6.9	19.0	3.0	4.0
Current Account (K millions)	18,522	17,281	12,222	11,543	9,220	13,201	13,649
Total Imports Cover (months)	5.0	7.4	5.4	7.4	6.3	5.7	4.3
Non-mineral imports cover (mth)	8.2	11.8	8.4	15.1	11.6	12.2	9.3
Headline inflation (% year)	2.7	5.1	5.7	3.4	3.9	0.4	3.0
Fiscal Surplus/Deficit (K millions)	–4,172	–6,501	–6,270	–5,852	–4,935	–4,935	–3,984
Defecit as % of GDP	–5.0	–8.0	–6.7	–5.4	–4.4	–4.4	–3.3

Sources Macrobond, Westpac Economics

Financial Markets

Indicators	2022	2023	2024	2025f	2026f
Broad money supply	14.8	11.5	9.9	7.3	7.5
Monetary base	29.5	–8.7	–2.3	7.8	7.0
Claims on private sector	6.9	19.0	11.5	12.3	13.6
Net claims on government	–5.4	33.1	19.9	0.9	4.4
Net foreign assets	52.4	3.99	–6.0	–4.3	4.2
Fiscal Surplus/Deficit (K millions)	–5,852	–4,935	–3,984	–2,654	–1,314
Defecit as % of GDP	–5.4	–4.4	–3.3	–2.0	–0.9

Source: BPNG forecasts

Commodity Forecasts April 2026

End of period	Latest (14 April)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
LNG in Japan US$mmbtu	19.09	25.6	25.3	20.3	16.0	13.5	11.3	10.0	9.7	9.2
gold (US$/oz)	4,819	4,770	4,700	4,900	5,000	4,970	4,920	4,870	4,820	4,770
copper (US$/t)	13,013	12,460	12,470	12,670	12,920	13,100	13,050	12,480	11,680	12,390
aluminium (US$/t)	3,560	3,490	3,500	3,460	3,460	3,440	3,410	3,380	3,160	3,260
nickel (US$/t)	17,586	17,100	17,200	17,400	17,500	17,300	16,800	15,400	13,700	13,900
zinc (US$/t)	3,333	3,200	3,300	3,330	3,280	3,180	3,050	2,840	2,590	2,640
lead (US$/t)	1,907	1,900	1,910	1,930	1,930	1,840	1,770	1,630	1,450	1,470

Source: Bloomberg, Westpac Economics

Corporate directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Westpac PNG

Port Moresby.
Harbourside West Tower, L4 & L5,
Stanley Esplanade, Papua New Guinea

Patrick Wright
Head of CCB PNG
E: patrick.wright@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.co.nz

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product

Disclaimer continues overleaf ▸

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK and EU: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

Westpac Europe GmbH ("WEG") is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation. This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and